

Introduction to the New Zealand tax system [¶1-010]

[¶1-010]

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This chapter aims to provide an outline of the New Zealand income tax system.

The statutory basis of income tax in New Zealand is the Income Tax Act 2007 (IT07) and the Tax Administration Act 1994 (TAA). Together, these Acts are the latest in a series of statutes, dating back to the late 1800s, that deal with a tax on income. These Acts are the prime source of all the current law on the subject and an understanding of their basic provisions is essential to anyone studying the subject or dealing with income tax problems. Tax legislation is possibly the most complicated area of legislation in New Zealand and is subject to numerous amendments every year.

The passing of the IT07 in December 2007 completed the project to rewrite New Zealand's income tax legislation. The IT07 came into effect on 1 April 2008.

The IT07 deals with income tax and other taxes derived from the income tax system. Fringe benefit tax (FBT), employer's superannuation contribution tax (ESCT), resident withholding tax (RWT) and non-resident withholding tax (NRWT) are examples of taxes imposed under the main taxing statute. Amendments are made to the Act each year and are read as though they were part of the principal Act, applying from the time specified in the amendment Act. This means that the Act, as originally passed, does not state the law as it will apply in later years. The Act must be read along with its subsequent amendments.

IR administers the tax system. IR's powers and responsibilities are set out in the TAA. This Act charges the IR's chief executive, the Commissioner of IR, with the care, management and collection of the taxes covered by the IR Acts. In carrying out their duty, the Commissioner is required to collect, over time, the highest net revenue practicable within the law. The Commissioner is authorised to make binding rulings, assessments, determinations relating to financial arrangements and determinations for other purposes. The TAA also authorises the Governor-General to issue directions to the Commissioner, but only in relation to the administration of the IR Acts. These directions are made by Order in Council. The Governor-General is not authorised to give directions concerning the tax affairs of individual taxpayers or the interpretation of tax law.

The TAA and the IT07 require taxpayers to self-assess their income tax liabilities. However, it is the Commissioner who administers the tax system and issues assessments on default or after investigations.

Regulations for various purposes under the IT07 may be made by the Governor-General. Any regulations and orders made under earlier Acts continue to have effect as though they were made under the IT07, unless they are specifically revoked. Regulations have been made to deal with matters such as general administration and machinery provisions (eg the Taxation Review Authorities Regulations 1998, which outline the disputes resolution procedures). Numerous orders have been made under specific sections of the Act relating to very specialised matters.

Last reviewed on 31 December 2025

The tax statutes [¶1-020]

[¶1-020]

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A brief history of taxation

The origins of income tax can be traced to the Napoleonic Wars. To finance the conduct of the wars, a duty known as income tax was imposed in the United Kingdom, as a temporary measure, from 1799 to 1802 and 1803 to 1816. It was reintroduced as a temporary measure in 1842, but this time the duty was never removed. Income tax was first imposed in New Zealand by the Land and Income Assessment Act 1891. That Act, with subsequent amendments, was consolidated in 1900. Further consolidating Acts were passed in 1908, 1916, 1923 and 1954. Various other types of tax were imposed by those Acts. The importance of income tax increased, however, and the proportion of revenue collected by that tax rose, particularly compared with that from land tax, until it was the dominant source of government revenue. In 1976 Parliament split the Land and Income Tax Act 1954 into 2 Acts. These were the Income Tax Act 1976 and the Land Tax Act 1976 (the latter being abolished from 31 March 1992 by the Land Tax Abolition Act 1990). In December 1994 Parliament enacted the Income Tax Act 1994, the Tax Administration Act 1994 and the Taxation Review Authorities Act 1994, marking the first phase in a 4-step process to rewrite the Income Tax Act 1976. In July 1996 the Taxation (Core Provisions) Act 1996 rewrote Pts [A](#) and [B](#) of the Income Tax Act 1994. In May 2004 the Income Tax Act 2004 received Royal assent. Briefly, this Act rewrote Pts [A–E](#) and [Y](#) of the Income Tax Act 1994. In November 2007, the Income Tax Act 2007 was enacted, containing the rest of the rewritten Parts and Schedules and re-enacting the Parts enacted under the 2004 Act. It applies from the 2008–09 income year.

The significance of taxation

Income tax is important for 2 reasons. First, it is the government's principal source of revenue. In the “Annual Report 2025” document produced by IR, published October 2025, the breakdown of revenue collected in the 2024–25 year by the 3 key tax types is shown as:

- # income tax — 69% of revenue
- # GST — 25% of revenue, and
- # other indirect taxes, including excise taxes on tobacco, alcohol and petrol — 6% of revenue.

This revenue is applied to finance many of the benefits offered by New Zealand's welfare system. Secondly, it is a measure that influences most people's standard of living. Most adults pay income tax but any who did not do so would be financially better off. Many taxpayers see income tax as an appropriation of their earnings. Many businesses, particularly the large-scale ones, see income tax as a business cost that must be kept to a minimum. Consequently, taxpayers are usually conscious of the possible tax implications when they come to arrange their financial affairs, and this outlook on the part of taxpayers accounts for many features of the income tax system. It has required the creation of a large bureaucratic organisation to administer and enforce the system, with the administrators being given wide powers to inquire into people's financial affairs. It has also led to the pattern of constant amendment required not only to plug gaps but also to expand the tax base.

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Tax policy work programme [¶1-025]

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In October 2025, the government set out the latest version of its overarching priorities in respect of the Work Programme: simplify tax, reduce compliance costs, address integrity risks, and improve fiscal sustainability, in order to rebuild the economy.

It committed to transparency through public engagement on the design of tax policy through the Generic Tax Policy Process, with public consultation playing an important role in the creation of a sustainable, durable and widely accepted tax system.

While the Work Programme is updated periodically to reflect the government's current priorities, the October 2025 version covers the following workstreams:

- # Attracting and retaining capital and talent: aimed at making New Zealand a better place to invest capital, work and do business by minimising biases on economic decisions, reducing international tax barriers and rewarding effort and individuals' investment in their own skills.
- # Supporting small businesses: focuses on supporting small businesses by reducing costs and making tax treatment simpler and fairer.
- # Simplification and integrity of the tax system: aimed at reducing compliance costs for taxpayers and protecting against tax avoidance and evasion to maintain a simple, stable and predictable tax system.
- # Improve social policy: this workstream involves improving the delivery of income support payments administered through the tax system and increasing work incentives.
- # Other agency work: this workstream involves other agency work that aligns with government priorities that may have tax consequences or IR delivery implications.
- # The current public guidance work programme can be viewed on IR's Tax Policy website; Government Tax and Social Policy Work Programme.

Regulatory Stewardship Reviews

The donations tax credit regime

In February 2025, the "Donation Tax Credit Regime: regulatory stewardship review" was released. The review found the regime to be performing adequately but with recommendations for structural and/or incremental reform. IR accepted the findings, committing to a medium-term implementation programme to address those recommendations it could resource and that did not require significant system changes. These include:

- # links with FamilyBoost
- # review intermediary, AML and authority to act rules
- # introduce a 3-month grace period for losing donee organisation status
- # optimise myIR.

The recommendations IR was unable to prioritise are: delinking the credit from income tax, real-time payments and shift to payments-based system.

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Structure of the Tax Acts [¶1-030]

[¶1-030]

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The IT07 is organised in a structure of Parts and Subparts and follows the structure, drafting style and features of the Interpretation Act 1999. The following is a brief analysis of the Act:

- # Part [A](#) sets out the Act's purpose and principles for interpretation.
- # Part [B](#) contains the core provisions.
- # Part [C](#) defines income.
- # Part [D](#) defines the extent to which deductions are allowed, and sets out how specific rules on deductions interact with the general rules on deductions.
- # Part [E](#) deals with the timing and quantification of income recognition and deductions.
- # Part [F](#) recharacterises certain transactions.
- # Part [G](#) contains the provisions relating to tax avoidance and non-market transactions.
- # Part [H](#) provides for the tax treatment of certain specific entities.
- # Part [I](#) contains provisions relating to tax losses.
- # Part [L](#) sets out the entitlement to tax credits.
- # Part [M](#) deals with the tax credits which are paid in cash.
- # Part [O](#) contains the rules relating to memorandum accounts.
- # Part [R](#) contains the general collection rules relating to the payment and withholding of tax.
- # Part [Y](#) contains the definitions used in the Act and related matters.
- # Part [Z](#) contains the amendments, repeals, savings and transitional provisions.

Structure of the Tax Administration Act

The TAA contains most of the provisions relating to administrative and procedural aspects of income tax law. Formerly, these provisions were found in the IT07 and the Inland Revenue Department Act 1974 (except those provisions relating to the Taxation Review Authority (TRA)). Among other things, the TAA imposes reporting and disclosure obligations on taxpayers. It also sets out the offences and penalties imposed on taxpayers for breach of their tax obligations together with the procedure for disputes resolution. Its structure may be analysed as follows:

- # Part [1](#) — purpose and construction
- # Part [2](#) — the roles of the Commissioner and IR
- # Part [2A](#) — taxpayer's principal tax obligations
- # Part [3](#) — information, record-keeping and returns
- # Part [3B](#) — credits of tax
- # Part [4A](#) — disputes procedures
- # Part [5](#) — determinations
- # Part [5A](#) — binding rulings
- # Part [6](#) — assessments
- # Part [7](#) — interest
- # Part [7B](#) — third-party providers
- # Part [8](#) — objections (relating to pre-1 October 1996 assessments)
- # Part [8A](#) — challenges (to notices of disputable decisions issued after 1 October 1996)
- # Part [9](#) — penalties
- # Part [10](#) — recoveries
- # Part [10A](#) — tax recovery agreements
- # Part [10B](#) — transfers of excess tax
- # Part [11](#) — remission, relief, and refunds
- # Part [11B](#) — foreign account information-sharing agreements
- # Part [13](#) — miscellaneous
- # Part [14](#) — transitional provisions and savings.

Taxation Review Authorities Act and Regulations

The law relating to Taxation Review Authorities, whose function is to decide on challenges to assessments of taxes and to other decisions or determinations, is found in the Taxation Review Authorities Act 1994 and the Taxation Review Authorities Regulations 1998.

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Fixing the tax rates [¶1-040]

[¶1-040]

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Income tax rates are fixed annually. This is because of the constitutional convention that income tax should be imposed only on a yearly basis and that the Crown's ability to collect revenue be subject to Parliament's consent. The rates are fixed by an Act referred to as the annual taxing Act. In practice, such an Act simply adopts the tax rates set out in Sch 1 to the IT07. To remove the necessity of passing a separate Act each year for the sole purpose of fixing the tax rates, the rates may be set as part of a wider amending Act.

Taxation (Annual Rates for 2024–25, Multinational Tax, and Remedial Matters) Act 2025 set the rates for the 2024–25 year. Confirmation of the annual income tax rates for the 2025–26 year are set in the Taxation (Annual Rates for 2025–26, Emergency Response, and Remedial Measures) Bill. If an annual taxing Act is not passed, there is a savings provision in s 92A of the TAA which enables the assessment for a tax year at the basic rates set out in Sch 1 to the IT07. Such an assessment is not invalidated by the fact that it may have been made before the passing of an Act setting rates for the year concerned. Even without that provision, revenue would continue to flow to the Crown if Parliament did not sit or did not pass an annual taxing Act. This is because the pay as you earn (PAYE) tax deduction system under the principal Act would continue to operate.

Law: TAA s [92A](#)

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The core provisions of the Income Tax Act [¶1-050]

[¶1-050]

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The core provisions set out the key principles on which the rest of the income tax legislation is based. The provisions, found in Pt [B](#) of the IT07, are intended to:

- # impose tax liability
- # specify the steps that a taxpayer must follow to arrive at the taxpayer's tax liability
- # provide a basis for applying the other Parts of the Income Tax Act, and
- # set up the scheme of the Income Tax Act and the main links between its Parts.

Terminology

The Act follows a global or gross approach to the calculation of taxable income. Some of the key terms used in the core provisions include income, exempt income, excluded income, assessable income, deduction and allocation (or attribution). These components make up the taxpayer's annual gross income and annual total deduction for the tax year.

Law: IT07 Pt [B](#)

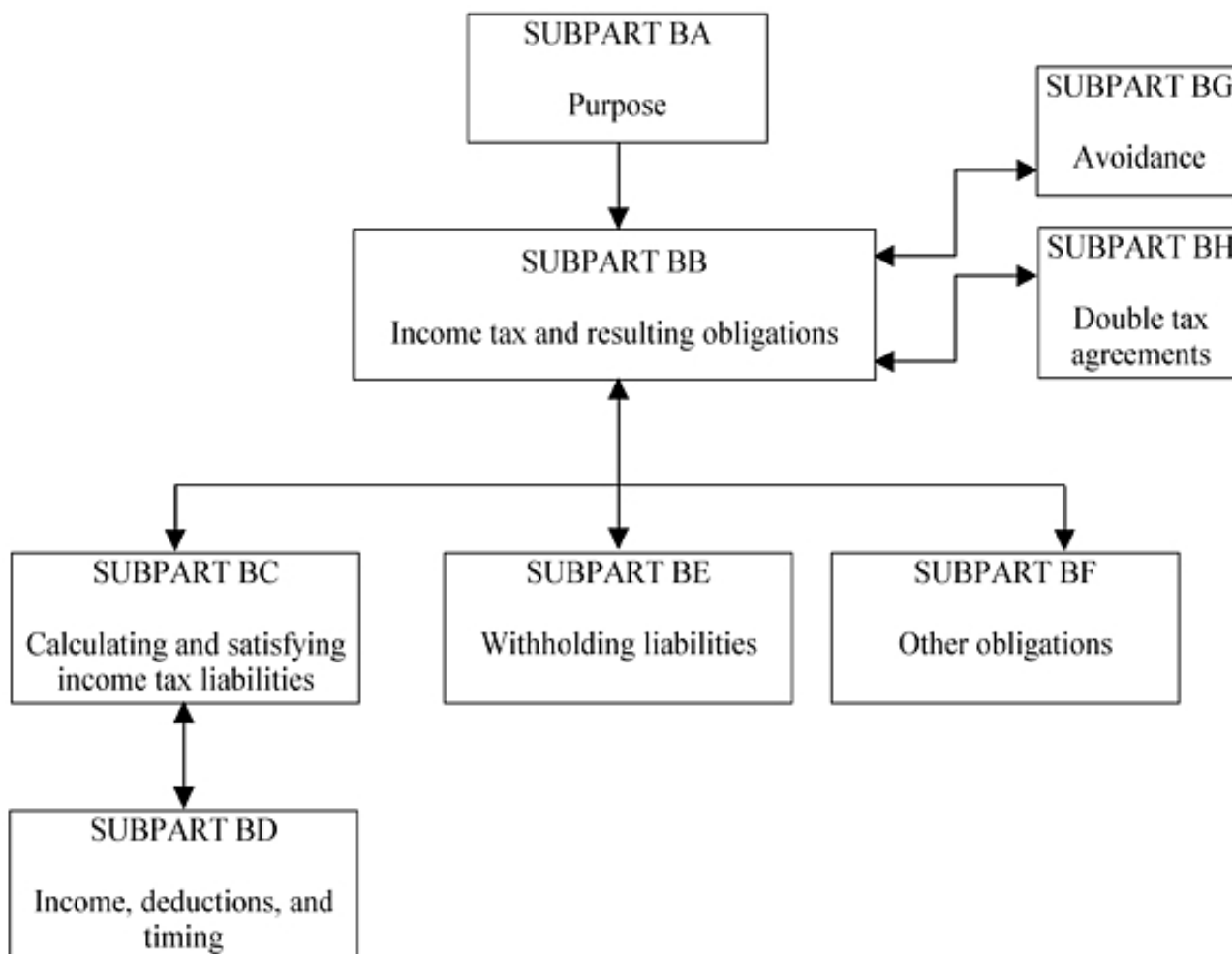
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Structure of the core provisions [¶1-055]

[¶1-055]

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The core provisions are structured as follows:



Subpart BB — income tax and resulting obligations

Section [BB 1](#) is the central charging provision. Income tax is imposed on taxable income at the rates set out in [Sch 1](#) to the Act. “Taxable income” means taxable income for a tax year calculated under s [BC 5](#). S [YA 1](#) “taxable income”.

Section [BB 2](#) sets out a person’s main tax obligations. A person’s income tax liability must be calculated and satisfied in accordance with subpart [BC](#) (unless that person is a portfolio investment entity (PIE), in which case subpart [HM](#) must be applied ([¶29-100](#))). An obligation to pay provisional tax and to satisfy any withholding liabilities as well as other obligations are also imposed.

Section [BB 3](#) provides that the Commissioner may counteract a tax advantage from a tax avoidance arrangement.

Subpart BC — calculating and satisfying of income tax liabilities

Section [BC 1](#) sets out the process to be followed by different types of taxpayers in order for them to satisfy their tax liabilities. The section provides that:

- # the tax liability of a non-filing taxpayer is the total tax withheld from the taxpayer's annual gross income
- # the tax liability of a filing taxpayer is calculated under ss [BC 2–BC 6](#), and
- # the calculation of the tax liability of a filing taxpayer with schedular income is modified by s [BC 7](#) (briefly, filing taxpayers with schedular income are life insurers, multi-rate PIEs, natural person investors in multi-rate PIEs deriving attributed PIE income, group investment funds, non-resident general insurers, non-resident shippers and taxpayers with non-resident passive income subject to final NRWT).

Once a taxpayer's tax liability has been calculated, that liability may be satisfied first by offsetting any available tax credits and then through the payment of terminal tax. Special ordering rules determine the way in which excess credits may be set off against a taxpayer's liability. This is to allow maximum credits for foreign taxes and other amounts that are limited to the level of domestic income tax liability ([¶12-110](#)).

If credits remain after set-off in the stipulated order, the Commissioner may be required, under s [LA 5](#), to make a refund of the remaining credits by applying ss [LA 6–LA 8](#). ([¶11-400](#)).

Subpart BD — income, deductions, and timing

Subpart [BD](#) defines the central elements that determine a taxpayer's annual gross income. Briefly, the central elements are:

- # income (including exempt income, excluded income, non-residents' foreign-sourced income and assessable income)
- # deductions, and
- # timing (the allocation of income and deductions to particular income years).

Income

Amounts received that are income are listed in Pt [C](#) of the IT07. There are 5 general income categories:

- # income from business or trade-like activities — subpart [CB](#)
- # income from holding property (divided into non-equity — subpart [CC](#), and equity — subpart [CD](#))
- # income from employment — subpart [CE](#)
- # pensions and government entitlements (such as benefits, compensation and government grants) — subpart [CF](#), and
- # recoveries (such as depreciation and bad debts recovered, remitted amounts, expenditure or loss recovered) — subpart [CG](#).

These are followed by subparts dealing with adjustments (eg the matching rules, change in accounting practice) and specific income types (PIEs, life insurance, superannuation funds, controlled foreign companies, foreign investment funds and petroleum and mineral miners) and entity-specific rules for certain taxpayers (eg group companies and Crown research institutes).

Assessable income, exempt income, excluded income and non-residents' foreign-sourced income

Assessable income is generally income that is derived by a taxpayer and that is subject to income tax in the tax year or a later tax year. The following types of income are specifically excluded from assessable income:

- # "exempt income" under subpart [CW](#) or [CZ](#)

- # “excluded income” under subpart [CX](#) or [CZ](#), provided the amount is not the taxpayer’s non-residents’ foreign-sourced income (see below), and
- # “non-residents’ foreign-sourced income”.

In broad terms, non-residents’ foreign-sourced income is made up of amounts derived by a non-resident, which are not treated as being derived from New Zealand, and the amounts are not income of a trustee under s [HC 25](#) ([§125-100](#)). This exclusion is intended to give effect to the basic source and residence rules set out in [§1-110](#) and [§1-120](#).

Annual gross income

Annual gross income is the amount of assessable income allocated to the income year. A taxpayer’s tax liability for the income year is calculated on the taxpayer’s annual gross income.

Deductions

A taxpayer is allowed a deduction for an amount under Pt [D](#) ([§1-220–§1-221](#)).

Timing rules

The rules for allocating amounts of income and deductions to their respective income years are set out in ss [BD 3](#) and [BD 4](#). The sections are intended to clarify whether a specific timing regime applies or not. If a specific timing regime applies, income or expenditure is allocated in accordance with that regime. For income, the relevant Parts are [C](#) and [E–I](#). For deductions, the relevant Parts are [D–I](#).

If no such regime applies, income or expenditure is allocated to the year in which it is derived or incurred.

Subpart BE — withholding liabilities

The various withholding liabilities imposed under the Act are set out in s [BE 1](#). These include amounts withheld from PAYE payments, amounts withheld from payments of resident passive income, amounts withheld from payments of non-resident passive income, FBT, employer superannuation contribution tax and retirement scheme contribution tax.

Subpart BF — other obligations

A number of additional obligations are imposed under the Act, such as the requirement to pay qualifying company election tax, income tax on taxable distributions from non-complying trusts, further income tax and residential land withholding tax (RLWT) (s [BF 1](#)).

Subpart BG — avoidance

The prohibition against tax avoidance is split into 2 essential components — the voiding of tax avoidance arrangements and the Commissioner’s ability to counteract such arrangements (s [BG 1](#)).

Subpart BH — double tax agreements

The overriding effect of double tax agreements is set out in s [BH 1](#), which stipulates the purposes for which a double tax agreement (DTA) may be entered into. Of particular note is s [BH 1\(6\)](#). This subsection provides that any reference to profits in a DTA shall be read as reference to net income, calculated as if the activity or business in question were the only activity or business. With effect from 30 March 2017, it has also been made explicit that the general anti-avoidance rule in s [BG 1](#) can apply in the context of a DTA.

Law: IT07 Pt [B](#)

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Obligations under the Tax Administration Act 1994 [¶1-060]

[¶1-060]

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Additional compliance obligations are imposed on taxpayers under the TAA. In particular:

- # If required, a taxpayer must furnish a return of income for the preceding tax year ([¶1-360](#), [¶1-380](#) and [¶2-010](#)). However, note that following changes to modernise the tax system, with effect from 1 April 2019 those taxpayers who receive only reportable income will not have to file a return and they will automatically receive a refund or tax bill once their pre-populated account is finalised ([¶2-016](#)).
- # The dates by which annual returns must be furnished are set out in s [37](#).
- # A taxpayer must deduct or withhold the correct amounts of tax when required by law to do so.
- # A taxpayer must disclose to the Commissioner all information that the law requires disclosure of.
- # A taxpayer must co-operate with the Commissioner in the exercise of their powers under the tax laws.
- # Before 1 April 2019, if the taxpayer was a natural person, they had to correctly respond to any income statement issued to them.

A taxpayer's tax obligations must be carried out to a reasonable standard of care. Failure to reach that standard will result in severe penalties on any tax shortfall ([¶14-100](#) onwards).

Law: TAA ss [15B](#), [33](#), [37](#), [92](#)

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Interpreting tax legislation [¶1-065]

[¶1-065]

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The approach taken by the courts when interpreting revenue statutes has changed over time. Initially, there was a strictly literal approach, based on the precise words of the particular section and nothing more. This has been succeeded by a more expansive view incorporating a more purposive approach whereby a particular provision is viewed by the court in the context of the overall structure and objectives of the legislation.

The leading cases on interpretation of tax statutes are *Mangin v C of IR* [70 ATC 6001](#); [1971] NZLR 591 and *C of IR v Alcan New Zealand Ltd* [\(1994\) 16 NZTC 11,175](#).

Example 1:

In a Privy Council case involving s 108 of the 1954 Act (the precursor to s [99](#) of the Income Tax Act 1976 and s [BG 1](#) of the Income Tax Act 2007), Lord Donovan described the following rules for the interpretation of tax legislation:

First, the words are to be given their ordinary meaning. They are not to be given some other meaning simply because their object is to frustrate legitimate tax avoidance devices. As *Turner J* says in his (albeit dissenting) judgment in *Marx v Commissioner of Inland Revenue* [1970] NZLR [182] at p 208, moral precepts are not applicable to the interpretation of revenue statutes. Secondly, "one has to look merely at what is clearly said. There is no room for any intendment. There is no equity about a tax. There is no presumption as to tax. Nothing is to be read in, nothing is to be implied. One can only look fairly at the language used" (Per *Rowlatt J* in *Cape Brandy Syndicate v Inland Revenue Commissioners* [1921] 1 KB 64, 71, approved by Viscount *Simons LC* in *R v Canadian Eagle Oil Co Ltd* [1946] AC 119; [1945] 2 All ER 499). Thirdly, the object of the construction of a statute being to ascertain the will of the Legislature it may be presumed that neither injustice nor absurdity was intended. If, therefore, a literal interpretation would produce such a result, and the language admits of an interpretation which would avoid it, then such an interpretation may be adopted. Fourthly, the history of an enactment and the reasons which led to its being passed may be used as an aid to its construction.

See *Mangin v C of IR* [70 ATC 6001](#) at 6,003; [1971] NZLR 591 at 594.

Example 2:

In a case concerning the meaning of the phrase "a group of companies" as defined in s [191\(3\)](#) of the Income Tax Act 1976 (now s [IC 6](#)), the Court of Appeal held that the arguments advanced by the Commissioner did not provide a sufficient basis for departing from the plain meaning of the words. After reviewing the principles of statutory interpretation, the Court of Appeal found it fundamental to all statutory interpretation that words be given their ordinary meaning. Where words can have more than one meaning and the object of the legislation is clear, then the words must be given "such fair, large and liberal construction" as will best ensure the attainment of the object of the Act. Where the words are unclear, or are reasonably capable of more than one meaning, the court prefers an interpretation that does not lead to injustice or absurdity, and one that accords with the evident purpose. The true meaning must be consonant with the words used, having regard to their context in the Act as a whole, and to the purpose of the legislation to the extent that this is discernible. See *C of IR v Alcan New Zealand Ltd* [\(1994\) 16 NZTC 11,175](#).

The Interpretation Act 1999 confirms the modern purposive approach to statutory interpretation adopted by the courts. Section [5](#) states that:

- # the meaning of an enactment must be ascertained from its text and in light of its purpose
- # the matters that may be considered in ascertaining the meaning of an enactment include the indications provided in the enactment, and
- # examples of those indications are preambles, the analysis, a table of contents, headings to Parts and sections, marginal notes, diagrams, graphics, examples and explanatory material, and the organisation and format of the enactment.

In addition, s [AA 2](#) of the IT07 provides guidance on the use of the diagrams, flowcharts, readers' notes and list of defined terms when interpreting the provisions of the IT07.

The Supreme Court of New Zealand confirmed the purposive approach to interpretation of tax legislation in *Ben Nevis Forestry Ventures Ltd v C of IR*; *Accent Management Ltd v C of IR* [\(2009\) 24 NZTC 23,188](#). In the same case the Court also introduced the idea of interpreting a tax provision in light of Parliamentary contemplation and the policy behind the provision when it was enacted. It is up to the courts to apply a

principled approach which gives effect to the statutory language when confronted with conflicting provisions (at [102] and [103]).

The Supreme Court in *Penny and Hooper v C of IR* (2011) NZTC ¶20-073 has firmly entrenched the “parliamentary contemplation” test in New Zealand tax law and the judiciary’s approach to tax avoidance analysis (at [47]).

See ¶33-105 for a discussion of interpretation of tax legislation in regard to tax avoidance.

ACC and tax legislation compared

The High Court has held that accident compensation legislation should be interpreted differently from tax statutes. After considering analogies with cases decided under comparable definitions in income tax legislation, the Court found that tax statutes are concerned with taking money from citizens, whereas the accident compensation legislation was concerned with compensating people. *Accident Rehabilitation and Compensation Insurance Corporation v Lewis* (1994) 16 NZTC 11,234.

Law: IT07 s [AA 2](#); INT s [5](#)

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Case law [¶1-070]

[¶1-070]

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The interpretation of any Act of Parliament often gives rise to a dispute. A dispute regarding the operation of tax law is resolved through the statutory challenge procedures set out in the TAA, at Chapter 4. A large number of tax cases have been decided over the years. Those cases give a good indication of how a section applies in relation to a particular problem. For example, there are many cases on the general permission and general limitations sections found in ss [DA 1–DA 3](#) of the IT07 and the general anti-avoidance sections. Even though it is hoped that the interpretation of tax legislation has been simplified through the rewriting of the IT07, case law remains an essential tool to its interpretation. In fact, ss [BD 3\(3\)](#) and [BD 4\(3\)](#) specifically require persons to have regard to case law when determining the time income is derived or when expenditure or loss is incurred.

Law: IT07 ss [BD 3\(3\)](#), [BD 4\(3\)](#)

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Tax year [¶1-080]

[¶1-080]

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Income tax is imposed on the taxable income of a taxpayer for each tax year. A tax year runs from 1 April to the following 31 March. The tax years are numbered according to the years in which that 31 March falls. For example, the 2025–26 tax year is the tax year ending on 31 March 2026. Although the tax year is from 1 April to 31 March, some taxpayers who have an accounting balance date other than 31 March may treat the year ending on their balance date as their tax year for the purpose of determining their business income. This period is referred to as an income year ([¶12-055](#)).

Law: IT07 s [YA 1](#) (“[income year](#)”, “[tax year](#)”)

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Imposition of income tax [¶1-090]

[¶1-090]

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Section [BB 1](#) is the charging provision that imposes income tax on a person's taxable income. This taxable income for any tax year is determined by offsetting any available net losses against the person's net income. A person's net income is determined by reference to annual gross income less annual total deduction. In other words, individual sources of income can only be identified at the gross level of the tax calculation ([¶12-105](#)). The way in which s [BB 1](#) applies may be illustrated by reference to a person who derived income from 2 sources: salary and New Zealand superannuation.

Example:

A person took the view that tax at the appropriate rate should be imposed on each item of income separately. This method produced a lower tax burden than if the tax payable had been calculated on the sum total of all items of income. The TRA rejected the person's method. Income tax is imposed on the year's income as an accumulated sum and not on each item of income separately. See Case D45 ([1980](#)) 4 NZTC 60,763.

See also *Tax Information Bulletin* [¶89-115 Vol 8, No 9](#), November 1996 at 27. However, certain categories of income, called schedular income, are subject to separate income tax calculations to ensure conformity with the gross/global concept underlying the legislation ([¶12-105](#)).

Law: IT07 s [BB 1](#)

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Who pays tax? [¶1-100]

[¶1-100]

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Every person is liable for income tax. A “person” is defined in the Interpretation Act 1999 to include a corporation sole, a body corporate, and an unincorporated body. The term “taxpayer” is used to mean a “person” who is, or may be, liable to perform or comply with an obligation imposed by the IT07. Consequently, an individual (ie a natural person), a company (including any body corporate, not only those incorporated under the Companies Act 1993), a local or public authority and a trust (the actual liability being imposed on the trustee or trustees) are all taxpayers, liable to pay income tax on income derived by them. See *Guy v C of IR* (2003) 21 NZTC 18,269 and *Keighley v C of IR* (2004) 21 NZTC 18,461.

In *C of IR v Rupe* (2003) 21 NZTC 18,129, the District Court rejected the taxpayer's argument that he was not subject to New Zealand tax by virtue of the Treaty of Waitangi, the New Zealand Bill of Rights and his status as a Christian. This decision was affirmed by the High Court in *Rupe v C of IR* (2004) 21 NZTC 18,519.

Law: IT07 ss [BB 2](#), [YA 1](#) (“taxpayer”); INT s [30](#)

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The source doctrine [¶1-110]

[¶1-110]

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A New Zealand resident ([¶1-120](#)) is liable for tax on all assessable income, whether derived from New Zealand or overseas. A non-resident is liable for New Zealand income tax only on income that is derived from New Zealand. The effect of these 2 qualifications is that only New Zealand residents and New Zealand-sourced income are liable for New Zealand income tax. For this reason, there is a carefully drafted and complex definition of “New Zealand” for tax purposes. The effect of the extended definition is to enlarge New Zealand’s tax jurisdiction to cover many of the mineral exploration activities carried out off the New Zealand coast ([¶5-139](#) and [¶5-144](#)).

Law: IT07 s [YD 4](#)

Last reviewed on 31 December 2025

Residence — Individual [¶1-120]

[¶1-120]

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#Note: the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill is proposing a number of amendments that:

- # would deem eligible visitors to New Zealand to be non-resident for New Zealand tax purposes for up to 275 days in any 18-month period, including a new definition of a “non-resident visitor”, an exemption from the 183-day rule for non-resident visitors and provision for the treatment of non-resident visitors if they remain in New Zealand for longer than 275 days or remain unlawfully in New Zealand
- # would ensure that entities associated with a non-resident visitor would not be considered when determining whether the entity is New Zealand tax resident or the entity's income is subject to New Zealand tax obligations.

In New Zealand, a person's liability to income tax depends on the person's residence status. The concept of residence for tax purposes is based mainly on the “permanent place of abode” test or on a quantitative test. Whether a taxpayer is a New Zealand resident is important for a number of tax-related matters, including:

- # the international tax regime
- # dividend imputation
- # non-resident withholding tax
- # foreign superannuation schemes
- # double tax treaties
- # tax rates, and
- # foreign losses.

Individuals

The rules for determining an individual's residence for tax purposes are:

- # *The permanent place of abode test:* see discussion below
- # *The government service rule:* see discussion below

Although these people are liable to New Zealand tax as well as overseas tax, New Zealand gives credit for the overseas tax against the New Zealand tax. This does not apply if the relevant double tax agreement provides otherwise.

- # *The 183-day test:* a natural person who is present in New Zealand for more than 183 days in aggregate in any 12-month period is deemed to be a resident from the first day of presence. (This will be the case even if the person concerned does not have a permanent place of abode in New Zealand.)
- # *The 325-day test:* to cease New Zealand residency, a natural person must be absent from New Zealand for a period or periods exceeding in aggregate 325 days in any 12-month period. Non-residence commences from the first day of absence.

Note that from 30 June 2014, the retrospective application of the day count rules no longer applies for GST purposes. To be resident, a person must be present in New Zealand for more than 183 days in total, over a 12-month period. For GST purposes, the person will be treated as being tax resident from the first day after the 183-day period has been exceeded. Similarly, to be considered non-resident, a person must be outside New Zealand for more than 325 days in a 12-month period and, for GST purposes, the resident will be regarded as non-resident from the first day after the 325-day period has been exceeded.

The permanent place of abode test takes precedence over all the other provisions. Consequently, a natural person whose permanent place of abode is in New Zealand remains a tax resident despite an absence from New Zealand of more than 325 days in a 12-month period. Equally, a natural person who is present in New

Zealand for less than 183 days in a 12-month period is still resident if they have a permanent place of abode here.

Note it has been clarified that the natural person residency test continues to apply to natural persons acting in the capacity of trustees following the introduction of s [YA 5](#) relating to trustee capacity ([¶25-025](#)).

Permanent place of abode

The concept of “permanent place of abode” for the purposes of s [YD 1](#) is not defined in the IT07. The IT07 does, however, envisage the possibility of an individual having a permanent place of abode in more than one country, as s [YD 1](#) requires the person to have a permanent place of abode in New Zealand, “even if they also have a permanent place of abode elsewhere”.

Diamond decision

In Case 10/2013 ([2013](#)) [26 NZTC ¶12-009](#), the TRA held that a taxpayer who had a rental property available to him was resident in New Zealand, even though he had never lived in the property. The decision was successfully appealed by the taxpayer in *Diamond v C of IR* ([2014](#)) [26 NZTC ¶121-093](#). The Commissioner then appealed to the Court of Appeal in *C of IR v Diamond* ([2015](#)) [27 NZTC ¶122-035](#). The Court of Appeal dismissed the Commissioner’s appeal and upheld Clifford J’s conclusion in the High Court that the mere fact that an individual has a dwelling available to him or her in New Zealand will not, by itself, mean the person has a permanent place of abode in New Zealand and is resident in New Zealand for tax purposes. The Court of Appeal’s judgment restricts the application of former TRA case law on the residence of individuals and provides guidance on how the statutory residence test is to be applied.

The Court held:

The relevant property (the Waikato Esplanade property) had never been Mr Diamond’s home, and it was never intended by him to be his home. He had never lived in that property and had only ever used it as an investment. A place in which Mr Diamond had never lived could not constitute a dwelling with which he had enduring and permanent ties.

Although Mr Diamond had other ongoing personal connections with New Zealand, the only address advanced by the Commissioner as a permanent place of abode for Mr Diamond was the Waikato Esplanade property. These connections must be focused on the alleged permanent place of abode to have significance for s [OE 1](#) (now s [YD 1](#) of the Act). If that property did not carry any of the characteristics of a permanent place of abode, other connections would not alter that conclusion.

The TRA’s decision in Case [Q55](#) was not authority for the Commissioner’s proposition that the mere availability of a dwelling was sufficient to ground an assessment of factual connections to the property, even if it had not been used by the taxpayer as a dwelling previously.

Statutory interpretation

The plain meaning of the words “permanent place of abode in New Zealand”, coupled with the statutory context, demonstrated that the phrase meant something more than mere availability of a place to stay and implied actual usage of the property by the taxpayer for residential purposes.

The consequence of having tax residence in New Zealand was that all the taxpayer’s worldwide income was taxable in New Zealand, subject to any applicable double taxation arrangements. This could result in serious implications for the taxpayer and suggested that an interpretation beyond the ordinary and natural meaning of the term “permanent place of abode” ought not to be adopted unless plainly indicated by the statutory language or the context.

Correct interpretation of s [YD 1](#)

Whether an individual has a permanent place of abode is a question of fact.

What is required is an overall assessment as to whether the taxpayer has a permanent place of abode in New Zealand. This will be highly contextual and will naturally turn on the circumstances of each case.

The determination cannot be separated into discrete questions. Rather, the approach calls for an integrated factual assessment, directed to determining the nature and quality of the use the taxpayer habitually makes of a particular place of abode.

In this assessment, the mere availability to the taxpayer of a dwelling is not sufficient by itself. Nor, as Case [Q55](#) demonstrated, will the mere unavailability of the dwelling necessarily result in loss of status as a resident taxpayer.

The following (non-exhaustive) factors may inform the inquiry:

the continuity or otherwise of the taxpayer's presence in New Zealand and in the dwelling

the duration of that presence

the durability of the taxpayer's association with the particular place

the closeness or otherwise of the taxpayer's connection with the dwelling (the situation before and after a period or periods of absence from New Zealand should be considered)

the requirement for permanency is to distinguish merely transient or temporary places of abode

permanency refers to the continuing availability of a place on an indefinite (but not necessarily everlasting) basis, and

the existence of another permanent place of abode outside New Zealand does not preclude a finding that the taxpayer has a permanent place of abode in New Zealand.

In assessing a particular case, the factual inquiry will be on the tax years in question. However, evidence of the relevant circumstances both before and after those tax years may be taken into account to the extent they bear upon the question whether the taxpayer had a permanent place of abode in New Zealand in the tax years in question.

The focus is on whether the taxpayer, not members of the taxpayer's family, has a permanent place of abode in New Zealand. Accordingly, the fact that a taxpayer may provide a home for his family in circumstances where the taxpayer lives elsewhere would not necessarily be sufficient to establish that the taxpayer had a permanent place of abode in New Zealand.

Van Uden

The Court of Appeal applied *Diamond* in *Van Uden v C of IR* ([\(2018\) 28 NZTC ¶123-081](#)) to conclude that a sea captain employed by a foreign merchant shipping fleet had a permanent place of abode in New Zealand. When not working overseas, the taxpayer was present in New Zealand for several months in each of the tax years in question (2005–2009). During those tax years he and his wife, while present in New Zealand, lived at a dwelling owned by their trust. The trust also owned rental properties in New Zealand that were originally owned by the taxpayer and his wife operating as a partnership.

At all times during and after the relevant tax years, the trust's dwelling was indefinitely available for the taxpayer and his wife to use whenever they returned to New Zealand. Credit card records showed that everyday living expenses the couple incurred were consistent with living at the dwelling and the taxpayer's mail was sent to him at that address. The taxpayer's salary went to meet the trust's loan obligations, insurance, utilities and related expenses (although neither he nor his wife had New Zealand bank accounts).

The Court of Appeal ruled that the taxpayer had a permanent place of abode at the trust's dwelling for the tax years in dispute. Although the taxpayer did not own the dwelling directly, he had an interest in it via the trust, of which he was both a trustee and a beneficiary. There was an ongoing and close association with the property throughout. The Court noted that ownership of the property in a trust structure did not take away from the fact that the taxpayer had availed himself of the property and made it his home.

Commissioner's statement

Interpretation statement [IS 25/16](#), "Tax residence" explains the tax residence of natural persons (individuals) and companies, and the residence implications in relation to trusts. IS 25/16 replaces [IS 16/03](#). It is accompanied by 3 fact sheets that facilitate understanding of the legislative changes made since [IS 16/03](#). [IS 25/16](#) includes guidance in relation to the habitual abode DTA tie-breaker and how far beyond the period of dual residence it may be necessary to consider where the period of dual residence is relatively short.

The statement acknowledges that the term "permanent place of abode" does not have a defined meaning, but that it has been described by the Court of Appeal as meaning "a place where a taxpayer habitually resides from time to time even if they spend periods of time overseas".

[IS 25/16](#) states that the permanent place of abode test will usually be considered in a situation where someone who has habitually resided at a dwelling in New Zealand has left New Zealand for a time. In that situation, the question is whether they can be regarded as “continuing to habitually reside” at their place of abode in New Zealand, despite a period or periods of absence, such that it can be considered to still be their permanent place of abode. The test can also be relevant when someone who was not a New Zealand tax resident, and who has not become resident under the 183-day rule, establishes a place of abode here. The question in that scenario is whether, and at what point, the person can be considered to have “begun habitually residing” at their abode here, such that it can be considered to be their permanent place of abode (irrespective of whether they also have a permanent place of abode outside New Zealand).

On the Court of Appeal’s decision in *Diamond*, [IS 25/16](#) states that in that case the taxpayer had never resided, or intended to reside, in his dwelling in New Zealand. The dwelling had only ever been used as an investment property. In those circumstances, the Court considered that the dwelling could not be the taxpayer’s permanent place of abode, irrespective of any of the ties he had to New Zealand. Because there was simply no question about whether the taxpayer habitually resided in the dwelling before he left New Zealand (he did not), there could be no question about whether he continued to habitually reside there during the tax years in question (the first 4 years of his absence from New Zealand). As such, the Court did not need to analyse and weigh up the nature and extent of each of the connections the taxpayer had to New Zealand. No matter how strong the taxpayer’s connections to New Zealand were, because he did not have any residential connections to the dwelling at all, none of his connections to New Zealand could indicate that the dwelling was a permanent place of abode for him. On any overall assessment of the taxpayer’s circumstances, the property was not a permanent place of abode for him before or after his departure.

[IS 25/16](#) contains a discussion of each of the factors highlighted by the Court of Appeal, as well as a number of examples that illustrate the way in which a person’s overall circumstances need to be considered to determine if they have a permanent place of abode in New Zealand.

Figure 1 in [IS 25/16](#) contains a flowchart that sets out the matters to be considered in establishing if an individual is tax resident in New Zealand and shows the interrelationship between the various residence tests for individuals.

Government service rule

Interpretation statement, [IS 25/17](#), “Tax residence – Government service rule” explains the government service rule and expands on the articles under double taxation agreements that may affect those who serve the New Zealand Government overseas. [IS 25/17](#) replaces [CS 21/02](#) and [IS 16/03](#).

[IS 25/17](#) states the Commissioner’s view is a person leaving New Zealand to take up a position in the service of the New Zealand Government overseas does *not* need to have been in the service of the New Zealand Government before taking up that position for the government service rule to apply. The statement also clarifies that the Government service rule does not apply to a person who is already living overseas and then accepts a role working for the New Zealand Government. [IS 25/17](#) contains a number of examples illustrating the application of the government service rules.

Law: IT07 s [YD 1](#)

Last reviewed on 31 December 2025

Residence — company [¶1-140]

[¶1-140]

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The rules relating to the residence of a company encompass 4 independent tests. There are no tests for non-residence, which would seem to imply that a resident company may become non-resident only if it fails to meet the residence tests on an ongoing basis. The 4 tests are:

- # Is the company incorporated in New Zealand?
- # Does the company have its head office in New Zealand?
- # Does the company have its centre of management in New Zealand?
- # Is control of the company by its directors, acting in their capacity as directors, exercised in New Zealand, whether or not the decision making by directors is confined to New Zealand?

A company is resident in New Zealand if it satisfies any of the 4 tests; therefore, companies incorporated outside New Zealand may be affected.

Note it has been clarified that the natural person residency test continues to apply to natural persons acting in the capacity of trustees following the introduction of s [YA 5](#) relating to trustee capacity ([¶25-025](#)).

Interpretation statement, [IS 25/16](#), "Tax residence", explains the tax residence of companies and is accompanied by a fact sheets that facilitate understanding of the legislative changes made since [IS 16/03](#) was released. In particular, the draft includes the implications of the *Bywater Investments Ltd & Ors v Commissioner of Taxation*; *Hua Wang Bank Berhad v Commissioner of Taxation* 2016 ATC ¶20-589 to imputation credits and loss grouping, dual residency and the implications of the Multilateral Convention to Implement Tax Treaty Related Measures to Prevent Base Erosion and Profit Shifting (MLI) may modify the residence article in New Zealand's DTAs for companies.

Place of incorporation test

This is an objective and easily ascertainable test of corporate residence: a company is resident if it has been through a process of incorporation in New Zealand. A company incorporated under the Companies Act 1993 would be resident here.

This test obviously cannot apply to companies that are not capable of being incorporated, such as a unit trust. However, companies that cannot be incorporated may be resident under one of the other tests.

Head office test

The Commissioner considers that "office" in the context of the head office test means a physical place from where the business is conducted; a place where the administration and management (in the broadest sense) of a business is carried out. The head office of a company is the office that is above all others: the place of administration and management that is superior to all others. It is the office from which the business of the company is directed and carried on. An office will be superior to other offices of the company if individuals working in those other offices are responsible to individuals located in that office. The focus of the test is therefore on a physical place, in the sense of a building, from which the overall operations of the company are directed and carried on.

In determining whether a company has its head office in New Zealand, the following factors may be relevant:

- # the location of senior management staff
- # where the major strategic and policy decisions are made
- # whether specialised functions, eg of an advisory nature, are carried out in a particular office
- # whether the staff of the company consider that an office is the head office.

Centre of management test

The focus of the test is on the centre of management of the company as a whole, not the management of only part of a company's operations. In determining where the centre of management of a company as a whole is, acts of management at various levels may be relevant (*Vinelight Nominees Ltd v C of IR* (2013) 26 NZTC ¶121-055).

The focus is on where the company's centre of management is as a matter of fact (*NZ Forest Products Finance NV v C of IR* (1995) 17 NZTC 12,073). The test is not limited to consideration of the company's formal management structures, such as those set out in corporate governance documents. The test focuses on how the company is managed in reality, even if that conflicts with the governance documents or formal structures.

This test focuses on the centre of management of the entire company. Therefore, if a company that operates in several countries has a centre of management in New Zealand, but that centre of management only relates to the company's New Zealand operations, the company will not be resident here under the centre of management test.

Note that although a company may well satisfy both the head office and centre of management tests, the focus of the 2 tests is different. The head office test concentrates on a physical place, ie on an office that constitutes a company's highest office. By contrast, the focus of the centre of management test is not on identifying the quality of a particular office, but rather on the broader question of whether the management of a company is centred in New Zealand. A company does not need to have an office in New Zealand to satisfy the centre of management test.

Director control test

For the purposes of this test, director includes de facto directors. Any person carrying out the duties of a director is a director, whether the title is used. A person is also a director if those occupying the position of directors are accustomed to act in accordance with the person's directions or instructions. The definition also extends to entities that do not have directors in the conventional sense. In those cases, a person who acts in the same or similar way to the way a director would act is treated as a director. For example, the manager of a unit trust is a director because they are involved in making the major decisions for the unit trust.

The director control test focuses on where the directors exercise their directorial control of the company from, ie the place from which the strategic and policy decisions are made. A company will be resident in New Zealand under this test if directors are effectively controlling the company from New Zealand, ie if the central and directing mind of the company is here. The test is only satisfied if directors acting in their capacity as directors exercise control from New Zealand. If directors control a company from New Zealand in their capacity as shareholders, but not in their capacity as directors, the company will not be resident here under the director control test.

The director control test is satisfied if control of a company is exercised in New Zealand, whether or not decision-making by directors is confined to New Zealand.

The fact that directors of a company exercise directorial functions from New Zealand does not necessarily mean that control of the company by its directors is exercised from New Zealand. For example, if the directors ordinarily exercise their powers in the course of directors' meetings held in Australia, the fact that New Zealand directors occasionally sign resolutions in New Zealand or occasionally participate in telephone conferences from New Zealand does not mean that the directors are exercising control of the company from New Zealand (Case 11/2011 (2011) 25 NZTC ¶1-011).

In practice, it may be difficult to determine whether the nominated directors of a company are acting under directions or instructions from another person or are merely influenced but not controlled by another person. A majority shareholder, eg a parent company, will normally influence to some extent the actions of the company in which it is a shareholder. However, if the majority shareholder only exercises the powers that such a shareholder would have in general meetings — eg to appoint and dismiss members of the board, and to approve and initiate changes to the financial structure of the company — then that shareholder will not be

controlling the company in terms of the director control test. By contrast, if the majority shareholder assumes the functions of the company's board, or if that board merely “rubber stamps” decisions made by the majority shareholder without independent consideration being given to the decisions, the majority shareholder will be a director of the company under the definition in the Act.

[IS 25/16](#) contains a number of examples illustrating the application of the company residence tests.

Law: IT07 s [YD 2\(1\)](#)

Last reviewed on 31 December 2025

Brief summary of double tax agreements [¶1-150]

[¶1-150]

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The New Zealand Government has entered into a number of treaties with the governments of other countries for the purpose of avoiding double taxation. These treaties are referred to as double tax agreements (DTAs). They are aimed at the situation in which a resident of one country derives income that has a source either wholly or partly in another country. Generally, income tax would be payable in both countries on the same income — in the taxpayer's home country because they are a resident there, and in the other country because that is the source from where the income is wholly or partly derived. A DTA is designed to attribute income to one country or the other in this type of situation. The agreement allocates taxing jurisdiction between the respective governments.

DTAs can also deal with the procedures governing the exchange of information between the revenue authorities of different countries, although sometimes these are separate agreements. A DTA is paramount over the tax law that has been enacted in New Zealand (s [BH 1\(4\)](#)). This enables income to be taxed under the treaty and irrespective of the treatment required by the domestic law.

Example:

The Income Tax Act 2007 imposes tax on certain non-imputed dividends at a rate of 30% of the gross amount of the dividend payment (s [RF 8](#)). However, most DTAs to which New Zealand is a party limit to 15% the maximum tax New Zealand may impose on dividends paid to residents of the other treaty country. This means that dividends paid to residents of treaty countries are taxed at a 15% rate and dividends paid to residents of other countries are taxed at a 30% rate.

Law: IT07 s [BH 1](#)

Last reviewed on 31 December 2025

Concept of assessable income [¶1-163]

[¶1-163]

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Assessable income is defined by reference to the various parts of the Act which classify amounts as income (not being exempt income or excluded income or non-residents' foreign-sourced income ([¶1-165](#) and [¶1-170](#)) and which are allocated to the tax year. For example, subpart [CB](#) expressly includes as income amounts derived from a business, certain personal property, land transactions, the sale of timber, minerals and patent rights, the transfer of employment obligations on the sale of a business and property obtained by theft (ss [CB 1–CB 14](#) and [CB 24–CB 34](#)). There is also a catch-all provision that includes as income amounts that are income according to ordinary concepts (s [CA 1\(1\)](#)).

Many of the items included as income throughout the Act are receipts which would obviously be regarded as income in the ordinary sense, eg amounts from a business, s [CB 1](#); interest, s [CC 3](#); dividends, s [CD 1](#); employment or service income, s [CE 1](#); and so on. Other items are less obviously income, eg amounts received from the sale of land in certain circumstances or a payment for the goodwill of a business derived by the owner of land from a lease. In addition, a good deal of case law has developed in New Zealand and elsewhere specifying what types of receipt are income and what are not. Generally, a receipt of a capital nature, such as an amount received from the sale of a substantial asset, is not income while amounts received on a regular and organised basis, such as from the conduct of business, are income. There is nothing sacred about the concept of income, however, and, if the Act is explicit in bringing particular amounts in as income, these are included in the tax calculation for those persons who have derived them ([¶5-162](#)).

Law: IT07 ss [BD 1](#), [CA 1](#)

Last reviewed on 31 December 2025

Concept of exempt income [¶1-165]

[¶1-165]

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Certain types of income are expressly treated as “exempt income” by specific provisions of the IT07. For example, income received by the TAB NZ (before 1 August 2020, Racing Industry Transition Agency) is exempt income (s [CW 47\(1\)\(a\)](#)). When a person derives both exempt income and assessable income, that person’s taxable income for the year is calculated with reference to assessable income only ([¶5-598](#)).

Law: IT07 subpart [CW](#), ss [BD 1\(2\)](#), [CA 2\(2\)](#)

Last reviewed on 31 December 2025

Concept of excluded income [¶1-170]

[¶1-170]

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Certain types of income are expressly treated as “excluded income” by specific provisions of the IT07. For example, a fringe benefit received by an employee is excluded income of the employee (s [CX 3](#)). Excluded income is omitted from a person’s calculation of income tax for an income year.

Law: IT07 subpart [CX](#), ss [BD 1\(3\)](#), [CA 2\(3\)](#)

Last reviewed on 31 December 2025

Business income — trading stock [¶1-180]

[¶1-180]

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In the case of business income, there are specific provisions dealing with trading stock.

If any person owns or carries on business, the value of the person's trading stock at the beginning and the end of every income year is taken into account in calculating the person's net income or net loss for that year (s [EB 3](#)).

The value of a person's trading stock at the end of an income year is income for the income year and the value of opening stock is allowed as a deduction for that year (s [EA 1\(2\)](#), [\(3\)](#) and [¶9-010](#)). This is in accordance with accounting practice, but other provisions dealing with trading stock have effects that do not necessarily follow from the rules of accounting.

Example:

If TP disposes of trading stock during the year for less than its market price or true value, it is not the actual price received by the taxpayer that is brought in as income in that year but the market price or true value. See s [GC 1\(1\)](#) and [¶9-087](#).

Law: IT07 subpart [EB](#), s [EA 1](#)

Last reviewed on 31 December 2025

The derivation of income [¶1-190]

[¶1-190]

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Income tax is an annual tax imposed on a person's taxable income for each year. This means that it is necessary to determine for which year income (and deductions) should be allocated (ss [BD 3](#) and [BD 4](#)). Unless the amount of income is subject to a timing regime under Pt [C](#) or Pts [E–I](#), income is allocated to the income year in which it is derived (s [BD 3\(2\)](#)). At first glance, there would seem to be no difficulty with this, because the year's income is simply the total of all income items actually received by the person during the year. So long as the person can add up all salary payments, interest and dividends, etc, between 1 April and the following 31 March, there would seem to be no room for doubt. However, it is not always obvious when many types of income are derived.

Example 1:

A payment of salary is made by an employer into a bank account of an employee. Later the employee takes the money out of the account and uses it. In this case, the salary is derived when paid into the account, not when the employee later takes it out. See s [BD 3\(4\)](#).

Example 2:

A businessperson carries out the business of manufacturing products and selling them. This is a continuous process. Each 31 March there is a notional line drawn and it must be decided what income has come from the business in the year up to that date. If the business has recently sent out a batch of products and billed the customer so that the customer owes the person the price of the products, is that amount to be regarded as income of the person at the time when it becomes owing, or only when it is actually paid? If the former, it would be income in the year just ended but, if the latter, the customer might not pay the bill until the next year has started and so it would become part of the income of the next year.

When income is derived is generally based on ordinary accounting principles. Business accounting operates on an accrual system whereby items are regarded as income when they become owing, not when they are actually paid. This is the approach adopted for income tax purposes in the type of case outlined above. There are a number of rules in the IT07 for determining when particular types of receipt are derived, as well as much case law developed on this question ([¶15-075](#)). The issue is important, because the allocation of income to one particular year instead of another often affects not only the time at which the person must pay tax on it but also the amount of the tax to be paid.

Law: IT07 s [BD 3](#)

Last reviewed on 31 December 2025

Deductions defined [¶1-220]

[¶1-220]

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A person's tax liability is calculated by determining all assessable income for a particular income year (annual gross income) and subtracting from that figure all deductions for the year (annual total deductions). Only those deductions which are expressly authorised by the Act may be made in calculating a person's tax liability. If a taxpayer wishes to claim a particular deduction, the taxpayer must be able to point to a provision in the Act that allows it.

General permission

Briefly, the general permission provides that an amount of expenditure or loss is deductible to the extent to which it is:

- # incurred in deriving the taxpayer's assessable income or excluded income or a combination of those types of income, or
- # incurred in the course of carrying on a business for the purpose of deriving assessable income or excluded income or a combination of those types of income.

A taxpayer is also allowed a deduction for an amount of depreciation loss, provided one of the above criteria is met.

In order for expenditure or losses to be allowed as a deduction, they must relate directly to the derivation of assessable income, excluded income or a combination of both.

Example:

If a taxpayer derives income from rents, they are allowed a deduction for the expenses incurred in deriving that income, such as rates on the premises, maintenance, depreciation and outgoings.

For a deduction to be allowed as being incurred in the course of carrying on a business, the expenditure or loss must relate directly to the business but need not necessarily relate to any particular item of assessable or excluded income. It is only necessary that the person shows that the business in which the expenditure or loss was incurred was carried on for the purpose of deriving assessable or excluded income ([¶10-021](#)).

There are a number of general limitations which restrict the general permission ([¶1-221](#)) and other more specific rules which may supplement or override the general permission (for example, deductions for taxes, revenue account property, bad debts and research and development).

Section [DA 3](#) clarifies the effect of a specific rule on the general permission and the general limitations ([¶10-016](#)).

Loss

The reference to "loss" (as well as "expenditure") in the general permission is designed to cover the situation where no actual expenditure is incurred by the taxpayer, but the taxpayer suffers a loss. The writing off of a bad debt, for example, involves no expenditure of the amount written off, but that amount could be described as a loss. A distinction is made between this type of loss and loss as in the context of a negative result from a year's trading. The core provisions have distinguished the 2 terms by including a reference to "net loss" — applicable where the result of the income calculation is a negative figure.

Law: IT07 ss [BD 2](#), [DA 1](#), [DA 3](#)

Last reviewed on 31 December 2025

Summary of general limitations for deductions [¶1-221]

[¶1-221]

[Click to open document in a browser](#)

No deduction is allowed for an amount of expenditure or loss to the extent that it is:

- # of a capital nature (the capital limitation) — subject to the date of acquisition and use
- # of a private nature (the private limitation)
- # incurred in deriving exempt income (the exempt income limitation)
- # incurred in deriving income from employment (the employment limitation)
- # incurred in deriving non-resident passive income (the withholding tax limitation)
- # incurred in deriving non-residents' foreign-sourced income (the non-residents' foreign-sourced income limitation).

The general limitations override the general permission ([¶1-220](#)).

The most important general limitation is the capital limitation ([¶10-071](#)). Many cases have involved argument over the question of whether particular types of expenditure were of a capital nature and therefore not allowed as a deduction. See, for example, *Auckland Gas Co Ltd v C of IR* ([\(2000\) 19 NZTC 15,702 \(PC\)](#)).

Law: IT07 s [DA 2](#)

Last reviewed on 31 December 2025

Employment expenses [¶1-250]

[¶1-250]

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Apart from those expenses incurred in determining a person's tax liability (ie for the preparation of income tax or GST returns under s [DB 3\(1\)](#)) certain loss of earnings and/or profits, insurance premiums and expenses relating to the derivation of income subject to withholding tax, no other deduction is allowed in deriving income from employment. However, independent contractors (eg real estate salespersons) who do not derive any "income from employment" can still deduct expenditure incurred in deriving assessable or excluded income.

"Income from employment" includes salary or wages or an extra pay. It also includes salary or wages or other income derived by shareholder-employees of close companies. However, the salary or wages or an extra pay are not included as income from employment to the extent that they are made:

- # to a self-employed person (as historically defined in s 2 of the Accident Compensation Act 1982)

- # to an earner, in respect of compensation for loss of earnings other than as an employee (as historically defined under regulations made under s [167](#) of the Accident Rehabilitation and Compensation Insurance Act 1992), or

- # to a self-employed person (within the meaning of s [13](#) of the Accident Insurance Act 1998 or s [6](#) of the Accident Compensation Act 2001) in respect of earner compensation paid after the first week of incapacity.

Law: IT07 ss [DA 2\(4\)](#), [DB 3](#), [YA 1](#) ("income from employment")

Last reviewed on 31 December 2025

Depreciation loss [¶1-260]

[¶1-260]

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Although s [DA 2\(1\)](#) prohibits a deduction for capital expenditure or losses, a deduction is permitted under s [DA 1\(1\)](#) in respect of the depreciation of capital equipment that is used or is available for use in the production of assessable or excluded income or carrying on a business. This type of deduction is referred to in the IT07 as a “depreciation loss”. Depreciation is not actually an expenditure or loss; it is an allowance, given in recognition of the fact that equipment wears out and eventually must be replaced. Depreciation effectively allows the cost of capital equipment to be written off, ie progressively deducted over the life of the asset. The capital limitation does not apply to an amount of depreciation loss merely because the item of property being depreciated is itself of a capital nature. Depreciation rates for assets are set by the Commissioner in accordance with statutory criteria ([¶13-010](#) onwards).

Law: IT07 subpart [EE](#), ss [DA 1](#), [DA 2\(1\)](#), [DA 4](#)

Last reviewed on 31 December 2025

Repairs [¶1-270]

[¶1-270]

[Click to open document in a browser](#)

Expenditure on repairs and maintenance is deductible under the ordinary provisions of the IT07. Expenditure must satisfy the test under s [DA 1](#) and is subject to the denial of a deduction for capital expenditure. Although capital expenditure is not deductible, it is subject to the normal depreciation rules ([¶10-840](#)).

Examples of expenditure that would qualify for deductions for repairs are the replacement of a worn washer on a household tap, and the replacement of a spent battery or a corroded exhaust system. See Nicholls LJ in *Auckland Gas Co Ltd v C of IR* ([\(2000\) 19 NZTC 15,702 \(PC\)](#)).

Law: IT07 s [DA 1](#)

Last reviewed on 31 December 2025

Incentive deductions — tax credits [¶1-280]

[¶1-280]

[Click to open document in a browser](#)

For economic and policy reasons, the government, from time to time, encourages or assists various types of taxpayers or business activities by granting incentive deductions. An incentive deduction takes the form of a deduction from annual gross income, leaving income tax to be calculated on the resulting net income figure. For example, a taxpayer in business is allowed a deduction for certain capital expenditure incurred to avoid, remedy or mitigate the detrimental effects of the discharge of contaminants ([¶10-242](#)). In contrast, an incentive tax credit takes the form of a reduction of the tax that otherwise would have to be paid for the income year.

Government assistance may also take the form of a grant or loan. The grant or loan is not income for tax purposes and limitations are imposed on the deduction for expenditure covered by the grant or loan ([¶10-513](#)).

Special treatment is also provided for the film industry ([¶10-446](#)).

Last reviewed on 31 December 2025

Brief summary of timing of deductions [¶1-300]

[¶1-300]

[Click to open document in a browser](#)

Any deductions available under the Act must be allocated to an income year in accordance with s [BD 4](#). Generally, a deduction must be allocated to the income year in which it is *incurred*, unless it is subject to a timing regime under any of Pts [D–I](#). It does not matter that the income to which the expenditure or loss relates may be included in the taxpayer's assessable income in some other year, either earlier or later. What is required is that the expenditure or loss must have been incurred in the year for which it is claimed as a deduction. Generally, expenditure is regarded as incurred when the taxpayer actually becomes liable to pay it. That is not necessarily when the taxpayer actually pays the amount. It is often before that and may even be after it. A loss is incurred when the transaction giving rise to the loss occurs. It is not sufficient that the taxpayer expects to have to pay a certain amount. Generally, this means that reserves set aside to meet expected expenditure of some sort are not deductible ([¶10-040](#)).

Example:

A company's claim for a deduction of overhaul costs to be incurred in the future did not succeed because it had not "incurred" the expenditure. The company argued that the overhaul costs should be treated as a deductible reserve because the overhaul was required by statute and was in addition to regular repairs and maintenance that might be required from time to time. However, the TRA rejected this argument. See Case T14 ([1997](#)) 18 NZTC 8,087.

However, a deduction may be allowed for anticipated expenditure if an established pattern shows that there is a definitive commitment to the expenditure ([¶10-040](#)).

Law: IT07 s [BD 4](#)

Last reviewed on 31 December 2025

Dealing with losses [¶1-310]

[¶1-310]

[Click to open document in a browser](#)

Sometimes a taxpayer's deductions for a year exceed their income for that year. This may reflect a real loss situation, such as when the taxpayer is running a business that is not doing very well, or may be caused by other circumstances giving rise to a tax loss, even though the taxpayer may actually be ahead in cash terms for the year.

The term "net loss" is used to cover all situations in which the income calculation results in a negative figure.

Law: IT07 s [BC 4\(3\)](#)

Last reviewed on 31 December 2025

Net loss carried forward or carried back [¶1-320]

[¶1-320]

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The IT07 sets out the circumstances in which a net loss may be carried forward to a later year and deducted from the net income of the taxpayer in that later year. Only losses made in taxable situations may be carried forward. Losses caused by such things as the sale of a private residence (when an amount from that sale would not be income) may not be carried forward. When a net loss is carried forward from one year to the next, it is treated as a deduction from the net income of the taxpayer in the next year. If there is not enough net income in the next year to absorb all the loss, or if there is another net loss, the balance is carried forward to the year after that, and so on until the loss is fully absorbed. This process is commonly referred to as an offset of losses. There is no time limit within which losses must be recouped or offset.

An individual with a tax loss carried forward must file a tax return to keep the losses alive.

Law: IT07 ss [BC 4\(4\)](#), [IA 2\(2\)](#), [\(3\)](#), [IA 3\(4\)](#), [IA 4\(1\)\(a\)](#)

Last reviewed on 31 December 2025

Brief summary of company loss treatment [¶1-330]

[¶1-330]

[Click to open document in a browser](#)

For a company taxpayer, there are additional requirements that must be met before the company may make a loss offset. Broadly, a loss company can carry forward and offset its net loss only where the tax benefit arising from the offset is obtained by at least 49% of the natural person shareholders who originally bore the net loss. Shareholding interests are determined by reference to minimum voting or market value interests, measured from the beginning of the year of loss to the end of the year of carry-forward. This period is called the “continuity period” ([¶18-023–¶18-030](#)).

In March 2021 a business continuity test was introduced which loosened the tax loss continuity rules for certain businesses ([¶18-035](#)).

Law: IT07 ss [IA 3\(2\)\(a\)](#), [\(4\)](#), [IA 5](#)

Last reviewed on 31 December 2025

Common tax returns [¶1-360]

[¶1-360]

[Click to open document in a browser](#)

The Commissioner prescribes the form in which tax returns are to be made. A number of different forms are prescribed for different taxpayers ([¶12-015](#)). The most common are:

- # form IR3 for individuals
- # form IR4 for companies
- # form IR6 for trustees, and
- # form IR7 for partnerships and look-through companies.

IR also accepts computer-produced tax returns.

From 21 February 2017, the Commissioner may allow a person to provide the information required in a prescribed form in a manner other than writing if the Commissioner is satisfied that it is appropriate in the circumstances. This change confirms that an IR staff member can telephone a taxpayer regarding incorrectly completed forms and correct errors in those forms on the basis of their telephone discussion with them.

Law: TAA ss [33–36](#)

Last reviewed on 31 December 2025

Determining the amount of tax payable [¶1-380]

[¶1-380]

[Click to open document in a browser](#)

Taxpayers must calculate and satisfy their income tax liabilities in accordance with the core provisions. The process that taxpayers other than non-filing taxpayers must follow is set out in ss [BC 2–BC 8](#).

To arrive at the actual income tax payable for any year, certain amounts must be determined, namely the annual gross income derived by the taxpayer for the year and the annual total deduction for that year. This includes general business and income-related deductions, as well as deductions for depreciation and incentives. Subject to any timing rules, these deductions are taken from the gross income figure to determine the net income or net loss for the year. Any net losses from previous years available for carry-forward are deducted from the net income to give rise to taxable income.

The actual calculation can be shown as follows:

[annual gross income] # [annual total deduction] = [net income or net loss]

[net income or net loss] # [available tax loss] = [taxable income]

To calculate the gross tax payable (referred to as the unadjusted income tax liability), a taxpayer applies the basic tax rate for the particular tax year to the taxpayer's taxable income (s [BC 6\(1\)](#)). A taxpayer's final tax liability is satisfied by first applying any available tax credits (for tax paid or withheld) and then through the payment of terminal tax (s [BC 8](#)).

Any tax credits remaining after offset against the income tax liability are first set off against other income tax obligations in accordance with Pts [L](#) and [M](#) ([¶1-400](#)). Any remaining excess credits, subject to s [LA 5](#), may be refunded by the Commissioner ([¶12-110](#)).

For non-filing taxpayers, the total tax already deducted at source is the year's tax liability ([¶12-105](#)).

Law: IT07 subpart [BC](#)

Last reviewed on 31 December 2025

Brief summary of tax credits [¶1-400]

[¶1-400]

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Where a person has tax credits remaining after offset against their income tax liability, those remaining tax credits must be dealt with according to the rules under ss [LA 5–LA 8](#).

Tax credits fall into 5 broad categories. These, in order of their use, are:

- # non-refundable credits
- # credits for supplementary dividends
- # credits for imputation credits
- # R&D tax credits, and
- # refundable credits.

Non-refundable tax credits

“[Non-refundable tax credit](#)” is defined in s [YA 1](#) as including tax credits for independent earners under s [LC 13](#), payroll donations, income tax paid or payable in relation to attributed controlled foreign company income, certain policyholder credits and credits for investors in multi-rate portfolio investment entities (PIEs).

Tax credits for foreign income tax paid are also included as non-refundable tax credits. A person treated as resident in New Zealand for New Zealand income tax purposes may derive income from a source in an overseas country. In such a case, it is likely that that person paid income tax in the other country on the income that was derived there. Because the taxpayer is resident in New Zealand, the income must be included in their assessable income for New Zealand tax purposes even if tax was paid on it overseas. However, subject to the rules in s [LA 5\(1\)](#), the taxpayer is allowed a credit against their New Zealand tax to take account of the overseas tax paid ([¶26-250](#)).

Non-refundable credits remaining after offset against a taxpayer's income tax liability are extinguished.

Credits for supplementary dividends

A tax credit for a supplementary dividend arises under subpart [LP](#) when an imputation credit is attached by a company to a dividend paid to a non-resident shareholder. The company is entitled to a tax credit equal to the amount of the supplementary dividend ([¶26-500](#)).

Surplus tax credits for supplementary dividends may be made available to other companies in a wholly-owned group, or carried forward to the next tax year.

Credits for imputation credits

A person is required to include as assessable income the amount of any imputation credits received. The person is then entitled to a tax credit equal to the amount of the imputation credit.

When a corporate shareholder has excess imputation credits for an income year, the excess credits convert into a loss carry-forward. When an individual shareholder has excess New Zealand imputation credits for a tax year, the surplus credits are carried forward to the next tax year ([¶17-010](#)).

Research and development tax credits

An R&D tax credit arises under subpart [LY](#) when a person performs certain R&D activities in New Zealand and their eligible R&D expenditure is \$50,000 or more in a year. The tax credit is 15% of the person's total eligible R&D expenditure, with the total expenditure subject to a maximum of \$120 million unless a higher cap has been approved ([¶11-150](#)).

Carried forward R&D tax credits must be used before current year R&D tax credits. Surplus R&D tax credits are refunded, to a specified maximum, or carried forward.

Refundable tax credits

Refundable tax credits include those credits which arise from tax payments that have been made by or for the taxpayer (eg PAYE, provisional tax, RWT and NRWT). It also includes tax credits for families under the Working for Families package, retirement savings contribution tax (RSCT) paid, RLWT paid, R&D tax losses, FamilyBoost tax credit and tax credits related to personal service rehabilitation payments. Also included as refundable tax credits are Maori authority credits, certain payments of tax on an investor's exit from a multi-rate PIE, tax credits for petroleum miners and tax credits for mineral miners.

Order of use of refundable tax credits

Under s [LA 6](#), any remaining tax deductions from PAYE payments, provisional tax payments, tax credits for RWT, RSCT, RLWT, Maori authority and multi-rate PIEs credits must all be credited against the taxpayer's tax liability in the following order:

- # previous tax year's unpaid tax liability (if any) and, if this amount exceeds the tax credit available, to the extent of the available credit
- # unpaid tax liability for the following tax year or years (if any), and
- # unpaid provisional tax for the following tax year or years (if any).

Any excess tax deductions not so credited must be refunded by the Commissioner as tax paid in excess. This does not apply to PAYE payments if the Commissioner considers that something in the relevant employment income information is incorrect. A tax deduction that is not credited or refunded because of an error in employment income information may be credited or refunded once the Commissioner is satisfied that the information is correct (s [LB 1\(4\)](#)).

Any remaining tax credits for families under the Working for Families package, tax credits for charitable gifts and R&D loss tax credits are refundable under s [LA 7](#) and any remaining tax credits for NRWT are treated as tax paid in excess and are refundable under s [LA 8](#). The ordering rules in s [LA 6](#) do not apply to these tax credits.

As well as being refundable, the taxpayer has the option of transferring the tax credits to another tax type, tax period or taxpayer under Pt 10B of the TAA.

Law: IT07 ss [BC 8](#), [LA 4–LA 8](#), [LB 1](#), [YA 1](#) (“non-refundable tax credit”, “refundable tax credit”, “research and development tax credit”, “tax credit”)

Last reviewed on 31 December 2025

Tax credits and double tax agreements [¶1-410]

[¶1-410]

[Click to open document in a browser](#)

A credit may be allowable for tax paid overseas under a DTA entered into between the New Zealand Government and the government of the overseas country in which the taxpayer has paid tax ([¶26-280](#)). In most instances, any credit will be subject to New Zealand domestic law and must not exceed the amount of New Zealand tax that would be payable on the income ([¶26-255](#)).

Law: IT07 s [BH 1](#)

Last reviewed on 31 December 2025

Rates of tax [¶1-420]

[¶1-420]

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The rates set out in [Sch 1 pt A](#) are called the basic rates of tax. When the government determines that the rates of tax should be altered, [Sch 1](#) is amended by an amendment Act to incorporate the new rates.

Company

In the case of a company, a flat rate system is employed. This means that tax is imposed at the one rate of 28¢ in the dollar, no matter how large or small the company's taxable income ([¶50-050](#)).

Individual

In the case of an individual, a progressive rate system is employed. Under this system, the rate of tax increases as income increases.

The rates for 2011–12 and subsequent tax years are set out at [¶50-040](#).

Tax bracket

Only that part of total taxable income which falls into a particular income band is subject to tax at the rate appropriate to that band. This means that, although the rate of tax increases as income increases, the increased rate operates only on the amount of income that falls into the increased income band.

Law: IT07 [Sch 1 pt A](#)

Last reviewed on 31 December 2025

Payment of tax [¶1-430]

[¶1-430]

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Once the income tax on a taxpayer's taxable income for the tax year has been determined and any credits to which that taxpayer is entitled to for the year have been deducted from the tax figure, the actual tax liability of the taxpayer for the year has been arrived at. This is a person's terminal tax liability for the tax year and must be paid to the Commissioner by prescribed due dates ([¶22-235](#)). All taxpayers pay tax in advance under either the PAYE system, the RWT system or the provisional tax system, with a balancing adjustment made after the end of the year when actual tax on the year's income is worked out.

Law: IT07 ss [BC 8\(3\)](#), [RA 3](#), [YA 1](#) ("terminal tax")

Last reviewed on 31 December 2025

Introduction to other taxes [¶1-440]

[¶1-440]

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Other taxes may be imposed in addition to income tax. Some of these taxes are derived from the income tax system, having a particular purpose in relation to that system. Others do not have that complementary character — eg goods and services tax (GST) and accident compensation levies.

Last reviewed on 31 December 2025

Brief summary of fringe benefit tax [¶1-450]

[¶1-450]

[Click to open document in a browser](#)

Remuneration received by an employee from their employer in a cash form is subject to income tax in the hands of the employee. Generally, in the past, remuneration in a non-cash form was not subject to income tax. This led to widespread provision of non-cash benefits such as the use of a motor vehicle, low-interest loans and discounted merchandise. FBT is intended to reduce this practice by requiring an employer to pay the tax on the value of the fringe benefits enjoyed by their employees ([¶21-010](#) onwards).

Generally, FBT is deductible to the employer. However, if the employer has tax losses, the provision of fringe benefits represents a cash cost without the immediate benefit of a deduction ([¶21-010](#)).

Law: IT07 s [BE 1\(4\)](#)

Last reviewed on 31 December 2025

Brief summary of goods and services tax [¶1-490]

[¶1-490]

[Click to open document in a browser](#)

Goods and services tax (GST) is a consumption tax imposed under the Goods and Services Tax Act 1985 (GST Act). It applies to the supply of goods and services in New Zealand, including imported goods and services. The tax is levied at the rate of 15% for goods and services supplied within NZ and 0% on exported goods and is paid to IR by all “registered persons” — basically, all persons who carry on a taxable activity such as a business. The amount of GST payable is calculated by deducting input tax (the GST component in supplies made to a registered person) from output tax (the GST component in supplies made by that person) ([¶32-010](#)).

Law: GST s [8\(1\)](#)

Last reviewed on 31 December 2025

Taxpayer record-keeping obligations [¶1-505]

[¶1-505]

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A business taxpayer is required to retain most business records, ie books of account (manual, mechanical or electronic format) recording receipts, payments, income or expenditure and vouchers, bank statements, invoices, taxable supply information, fringe benefits provided, employer's superannuation and retirement scheme contributions, payroll donations and accounts maintained under the imputation and policyholder credit regimes for a period of 7 years after the end of the income year to which they relate. The records of a company that has been liquidated do not need to be retained.

Commissioner's discretion

Records may be kept outside New Zealand, or in a foreign language, at the Commissioner's discretion. A taxpayer wishing the Commissioner to exercise either of these discretions should make the appropriate application. The Commissioner is also authorised to dispense with the record retention requirement. The policy in this area is not to consent to the destruction of books of account. There may, however, be some destruction of supporting records so long as that does not prevent a ready ascertainment of the taxpayer's income and deductions.

IR will consider an application in respect of a close company, self-employed person, partnership or trust to destroy records after the expiry of 4 years from the end of the year in which an assessment was made. Factors to be taken into account include the record of compliance with IR (furnishing of returns, co-operation, etc), the reputation of the taxpayer in general business, the nature of the taxpayer's business and the accounting system used. However, books of account (journals, ledgers, cashbooks) must still be kept for at least 7 years after the end of the income year (or taxable period) to which they relate. Any application to destroy records should be made to IR.

As taxpayers are increasingly making use of managing their tax obligations through their payroll or accounting software (some of which may be cloud-based computing technology), the legislation facilitates the storage of records offshore, if taxpayers so choose, (s [22\(8\)](#) and [\(9\)](#)). IR-approved data storage providers can also apply on behalf of their clients. The Commissioner is empowered to revoke an authorisation.

The following organisations have been approved to store taxpayers' electronic records outside New Zealand:

- # ActionStep NZ Ltd
- # Adminis NZ Limited
- # Agilyx NZ Ltd
- # Civica Pty Ltd
- # CCH NZ Ltd
- # Common Ledger Ltd
- # Datacom Solutions Limited
- # Dayforce New Zealand Limited
- # Elmo Software Limited
- # Farm IQ Systems Ltd
- # Flexitime Limited
- # Fusion5 Limited
- # Hnry Limited
- # Link Market Services Limited
- # MAGIQ Software Ltd
- # iMMC Group Holdings Limited
- # MYOB NZ Ltd
- # Payroll Ltd
- # Paysauce Operations Limited
- # PeopleSonic Limited

- # Revolution Software Ltd
- # Smartly Limited (SmartPayroll)
- # Streamline Business NZ Limited
- # Supergenerous Limited
- # TaxLab Ltd
- # Tax Management New Zealand Limited
- # Tax Snaps Ltd
- # Technology One NZ Ltd
- # Thomson Reuters New Zealand Ltd
- # The Work Shop Limited T/A RIP Global
- # Unimarket NZ Ltd, and
- # Xero Ltd.

Reduced retention period

A qualifying individual (an individual who derives only reportable income and has no other income information that must be provided to the Commissioner) who is required to retain records only has to retain those records for 12 months after the end of the income year in which the income was derived.

Audit

The Commissioner has the ability to extend the standard 7-year retention period to 10 years where a taxpayer's affairs have been or are about to be audited or investigated by the Commissioner, or where the Commissioner intends to conduct such an investigation.

Reduced retention period for classes of non-provisional taxpayers

For records for payments from which tax has been deducted at source, the Commissioner may, by notice in the *New Zealand Gazette*, reduce the record retention period to 12 months from the end of the income year or tax year to which the records relate for classes of taxpayers who are not provisional taxpayers.

Electronic information

Under s [22AAC](#) of the TAA, where information contained in a taxpayer's return has been transmitted electronically to IR, the taxpayer is required to retain the signed hard copy of this information for 7 years after the end of the income year to which the return relates or a greater period than 7 years where the taxpayer is under audit or is going to be audited under s [22\(5\)](#) of the TAA.

A taxpayer can, alternatively, retain an electronic form of information that has been transferred electronically as long as the electronic form provides a reliable means of assuring the integrity of the information is maintained and the information is readily accessible so as to be usable for subsequent reference.

Information does not need to be kept where the Commissioner has given notice that retention of a return is not required, the company concerned has been liquidated, or the information is the employment income information ([13-023](#)) provided to the Commissioner.

For the purpose of the IR Acts, a record may be retained in an electronic form only if:

- # the record is readily able to be produced in paper form, and
- # that paper form is a duplicate image of the original paper or other non-electronic form.

However, if a record is received from a person in both paper (or other non-electronic form) and in electronic form, the record may be retained in its electronic form only.

It does not matter that annotations, indexing references, or other additional information are included in the electronic record, provided they do not obscure any of the original information contained in the record and are distinguishable as additions to the original record.

A record that is generated in electronic form and provided to another person in paper or other non-electronic form may be retained in electronic form only.

See Sch 2 cl 4 of the Contract and Commercial Law (Electronic Transactions) Regulations 2017 (CCLETR).

Standard practice statement

Standard practice statement, [SPS 21/02](#), “Retention of business records in electronic formats, application to store records offshore and keeping records in languages other than English or te reo Māori”, applies from 6 May 2021. It replaced [SPS 13/01](#).

The SPS applies to the Commissioner's discretion to allow taxpayers to store information in a digital format and also sets out how the discretion to store business records offshore will be applied. It confirms that, as official languages of New Zealand, taxpayers may keep their records in English or te reo Māori. It also provides guidelines for taxpayers who wish to keep their records in a language other than English or te reo Māori.

The SPS acknowledges that records stored electronically, both inside and outside of New Zealand, and either on the taxpayer's own electronic storage system or on an outsourced system, must meet the requirements of the Contract and Commercial Law Act 2017 (CCLA). This provides that the integrity of the information contained in the records is to be maintained and that the information is readily accessible so as to be usable for subsequent reference. The SPS also discusses the further conditions set out in the CCLETR (discussed above). The SPS sets out a list of practices that, in the Commissioner's view, will meet the requirements in the CCLA and the CCLETR if followed. These deal with records originally in paper form, records originally in electronic form, emails, backup and hardware/software changes.

Demonstration that the manner in which records are to be stored offshore will meet the requirements of the CCLA and the CCLETR is vital to the exercise of the Commissioner's discretion to grant permission to store records offshore. An individual taxpayer who wants to store their business records offshore should apply to the Commissioner for authorisation before sending their records offshore. However, if either a backup of the business records is retained in New Zealand, or if the records to be stored offshore are merely a backup of the records held in New Zealand, the Commissioner considers that the requirement to store the records in New Zealand is satisfied and an authorisation is not necessary. The SPS discusses the exercise of the Commissioner's discretion to authorise offshore record keeping. The statement also discusses the information and assistance required from taxpayers when IR requests information under s 17B of the TAA, and the Commissioner's practice for applications to keep records in a language other than English or te reo Māori.

Trustee records

Trustees who forgive debts in consideration of natural love and affection (ss [EW 44](#) and [EZ 39](#)) must keep records of:

- # amounts of debt forgiven by creditors, and
- # amounts distributed to the trust's beneficiaries.

These records must be retained for as long as the trust exists. Trustees must also take all reasonable precautions for the safe custody of those records.

Note that expanded IR information gathering powers were introduced under s [59BA](#) of the TAA and additional obligations apply for trustees of domestic trusts with effect from the 2021-22 income year ([125-560](#)).

Records held by resident trustees for a foreign trust

Resident trustees of foreign trusts must keep and retain the following records:

- # a record of assets and liabilities of the trust and details of all amounts received and expended by the trustee, and
- # if the trust carries on a business, records of their accounting information system (s [22\(7\)\(d\)](#)).

If there is more than one resident trustee, the resident trustees may appoint one of themselves as agent for record-keeping purposes. The resident trustee may apply for permission to keep records offshore, or in a language other than English or, from 26 June 2019, te reo Maori.

Note that additional obligations apply for resident trustees of foreign trusts from 21 February 2017 ([¶25-550](#)).

Financial reporting requirements

One of the intended outcomes of the Financial Reporting Act 1993 was the removal of reporting obligations where they are seen as unnecessary, with consequent reduced compliance costs. The [Financial Reporting Act 2013](#) repealed and replaced the [Financial Reporting Act 1993](#).

As a result, small and medium-sized companies that are not issuers are not required to prepare general purpose financial reports. Instead, the decision to have such reports is made by shareholders. This change led to consequential changes being made to the financial statement requirements under the TAA.

Minimum financial reporting requirements

A company must prepare financial statements in accordance with prescribed minimum requirements unless the company is exempt. The [Financial Reporting Act 2013](#) allows the following matters to be prescribed through Order in Council:

- # minimum requirements for preparing financial statements
- # the classes of taxpayers subject to those requirements
- # classes of companies exempt from those requirements, and
- # the period for which financial statements must be prepared.

The Tax Administration (Financial Statements) Order 2014 (LI 2014/69) sets minimum requirements for these simplified statements.

Form of statements: the statements must contain a balance sheet and a profit and loss statement.

Applicable principles: the statements must be prepared using double-entry method for recording financial transactions and principles of accrual accounting.

Valuations: valuation principles permitted may include:

- # tax values, if consistent with double-entry and accrual accounting
- # historical cost, if tax values are not consistent with double-entry and accrual accounting, or historical cost provides a better basis of valuation, and
- # market values, if that method provides a better basis than tax values or historical cost.

Accounting policies: the statements must contain a statement of accounting policies setting out the material policies that have been used or changed, and they must indicate whether the financial statements are GST-inclusive or GST-exclusive.

Taxation: interest and dividends received must be shown on an RWT-inclusive basis. Dividends must also be reported by including imputation credits if the dividend is taxable and the credit can be used to offset income tax.

The schedule to the Tax Administration (Financial Statements) Order 2014 prescribes other matters that must be included in company financial statements. These include:

- # a reconciliation of financial statements and the company's taxable income, relevant amounts from forms prescribed by the Commissioner, such as an [IR10](#), and notes explaining exceptional items
- # a taxation-based schedule of fixed assets and depreciable property
- # information concerning cost of timber (for forestry companies) and specified livestock (for owners of such stock), and
- # various amounts relating to transactions between the company and any associated person who is either not a company, or is a non-resident company (eg interest on a loan by the associate to the company).

Exceptions

The minimum financial reporting requirements do not apply to:

- # *Small companies*: a small company is one that is not part of a group and that has both income and expenditure for the income year not exceeding \$30,000.
- # *Non-active companies*: a non-active company is one that is not required to file a return for an income year.

These exemptions can also apply to a look-through company unless minimum financial reporting requirements are specified by some other enactment.

If another enactment provides applicable minimum requirements for preparing financial statements for the company, the company must prepare its financial statements using those minimum requirements and is exempt from the ones prescribed in the Order. For example, if the company is a charity, it must prepare its financial statements in accordance with the requirements of the Charities Act 2005. If the company is a large company, it must prepare its financial statements in accordance with Pt [11](#) of the Companies Act 1993.

Record keeping relating to Available Subscribed Capital

Under s [22\(2\)](#) taxpayers are required to keep sufficient records to allow the Commissioner to ascertain a taxpayer's tax position for a period of at least 7 years after the end of the income year to which they relate. The issue for taxpayers who are claiming that a distribution is capital in nature, and not a dividend under s [CD 4](#), is that regularly the uplift in Available Subscribed Capital (ASC) happened more than 7 years before the distribution. As the onus of proof is on the taxpayer to support the tax position taken in an income year, it is up to the taxpayer to hold sufficient records to evidence the increase ASC in the company.

Operational statement, [OS 22/01](#) "Available Subscribed Capital record keeping requirements", sets out the Commissioner's approach to applying the statutory record keeping requirements that are necessary to substantiate distributions of ASC.

Law: ELR reg [4](#); TAA ss [21B](#), [21C](#), [22](#), [22AAC](#), [22B](#)

Last reviewed on 31 December 2025

Introduction to Inland Revenue [¶1-507]

[¶1-507]

[Click to open document in a browser](#)

IR is a department of State established under the Inland Revenue Department Act 1974. Since the repeal of that Act, s 5 of the TAA provides for the continuation of IR as originally established. Generally, IR's function is to provide the administrative machinery to enable the Commissioner of IR and IR officers to give effect to the IR Acts. Ministers of the Crown and officers of government agencies are explicitly bound by s 6 of the TAA to protect the integrity of the tax system.

In *Russell v Taxation Review Authority* (2003) 21 NZTC 18,255 (CA), the taxpayer argued that the Commissioner failed to comply with his obligations in s 6 to act honestly and fairly in conducting proceedings before the TRA. This argument was rejected by the Court of Appeal. Further, the Court stated that the obligation upon the Commissioner to use his best endeavours to protect the integrity of the tax system did not render any conduct (not involving a decision) that might be inconsistent with that obligation amenable to judicial review. Also, s 6 should not be treated as giving an "expedient and inexpensive means to challenge the assessment".

An argument in relation to the Commissioner's duty under s 6 was put forward by the taxpayer in *Clarke v C of IR; Money v C of IR* (2005) 22 NZTC 19,165. The High Court rejected the taxpayer's proposition.

The Minister of Revenue is responsible to Parliament for the operation of IR. The Minister, together with the Treasurer, also introduces into Parliament income tax amendments and other proposed legislation affecting IR. It is the government, of which the Minister is a part, that determines the policies that affect the legislation under which IR operates, and it is Parliament that passes the legislation and gives it the force of law. The powers and functions exercised under the IT07 and the other revenue Acts are exercised by the Commissioner, except for certain specific functions which are given to the Minister of Revenue.

Law: TAA ss 5, 6

Last reviewed on 31 December 2025

Organisational structure of Inland Revenue [¶1-509]

[¶1-509]

[Click to open document in a browser](#)

IR is divided into a number of internal business groups:

- # Customer and Compliance Services — Business
- # Customer and Compliance Services
- # Tax Counsel Office
- # Policy
- # Enterprise and Integrity Services

Customer and Compliance Services — Business

Provides certainty and accuracy around complex and global tax compliance arrangements with Small-Medium Enterprise (SME), including non-profit organisations, and Significant Enterprise businesses. Connected with a range of business and delivery partners, representative bodies and government and international agencies to deliver joined-up services and reduce costs to customers and government. Also provides tax technical and legal support for IR.

Customer and Compliance Services

Makes tax compliance simpler by giving advice and support to individuals, families, and micro business customers, including non-profit organisations. Helps ensure everyone pays and receives the right entitlements and gets it right from the start.

Tax Counsel Office

Provides technical advice and services on the interpretation and application of taxation law for IR and its customers.

Policy

Provides tax and social policy advice to the government. This group represents New Zealand overseas on tax policy related issues and negotiates and maintains New Zealand's network of tax treaties with other countries. It also drafts most tax legislation and supports the passage of proposed changes through Parliament.

Enterprise and Integrity Services

Provides corporate and support services internal to IR, ensuring the integrity of the organisation and the tax system is maintained, delivering advice, information, and processes to enable IR to operate effectively, efficiently and safely.

A full listing of all IR phone numbers and addresses is available online at www.ird.govt.nz/contact-us.

Last reviewed on 31 December 2025

Commissioner of Inland Revenue [¶1-512]

[¶1-512]

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#Note: the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes to decrease the existing time bar on an owner’s ability to claim an amount of unclaimed money from 25 years to 20 years. Along with a measure to improve the collection of information associated with the unclaimed moneys, by expanding the information that holders are required to supply when transferring unclaimed money to IR.

The office of the Commissioner of IR is provided for under s [5B](#) of the TAA. Under that section, the person appointed as chief executive of IR under the Public Service Act 2020 is designated the Commissioner of IR.

Section [6A\(1\)](#) expressly charges the Commissioner with the “care and management of the taxes covered by the Inland Revenue Acts” and with any other functions conferred on them. The managerial discretion contained in this section allows the Commissioner to meet the duty to “collect over time the highest net revenue that is practicable within the law”, having regard to a number of factors listed in s [6A\(2\)](#).

It has been pointed out that the relationship between ss [6](#) ([¶11-507](#)) and [6A](#) needs to be considered to ensure consistency in the approaches to administering the tax system and collecting tax. These comments were made because there is an interpretation of these 2 sections which would permit the Commissioner to suspend the operation of the IR Acts. See CCH, *New Zealand Tax Planning Report*, No 2, May 2000 at 13.

The nature of the “care and management” powers of the Commissioner was considered in *Fairbrother v C of IR* ([2000](#)) [19 NZTC 15,548](#). In that case, IR had commenced proceedings to recover an undisputed tax debt. The taxpayer contended that the Commissioner had entered a binding agreement to accept less than the amount due and that, therefore, the Commissioner was estopped from taking the proceedings. The Commissioner sought to strike out the statement of defence on the grounds that there was no ability to settle.

The judge considered that the duty to exercise “care and management” allowed the power to settle. The duty in former s [6A\(3\)](#) (now s [6A\(2\)](#)) overrides everything that may be explicit or implicit in the IR Acts (*Fairbrother* at 15,555). Therefore, anything that appears to be in conflict with the Commissioner’s duty in s [6A\(2\)](#) has to give way.

Agreeing to an instalment arrangement when seeking to recover a tax debt under s [156](#) of the TAA is considered to be an example of the managerial function contained in s [6A\(1\)](#) ([¶12-165](#) and [¶12-170](#)). It appears that ss [6](#) and [6A](#) specifically empower the Commissioner to enter into settlement arrangements, as made clear by the Court of Appeal in *Auckland Gas Co Ltd v C of IR* ([1999](#)) [19 NZTC 15,027 \(CA\)](#) ([¶14-232](#)).

The Court of Appeal has also stated that ss [6](#) and [6A](#) do not recognise a stand-alone duty of consistency owed by the Commissioner to a taxpayer when exercising her statutory powers in assessing their liability to tax by reference to her assessment of materially similar transactions undertaken by another taxpayer. There is nothing in ss [6](#) and [6A](#) to displace correctness as the sole criterion for determining an appeal from an assessment. There is no scope for importing an absolute duty of consistency into that framework where it may undermine a discrete process for deciding a challenge to a determination of liability made according to law (*C of IR v Michael Hill Finance (NZ) Ltd* ([2016](#)) [27 NZTC ¶122-056](#)).

Interpretation statement [IS 10/07](#), “Care and management of the taxes covered by the Inland Revenue Acts” considers the relationship between the Commissioner’s duty to assess and collect taxes, and the various duties imposed under ss [6](#) and [6A](#) of the TAA. Emphasis is given to the ambit and scope of former s [6A\(2\)](#) (now s [6A\(1\)](#)) which charges the Commissioner with the “care and management” of taxes covered by the IR Acts.

In addition to assessing and collecting income tax and related taxes, the Commissioner is responsible for the assessment and collection of gaming duties (including the problem gambling levy) and GST.

The Commissioner is also responsible for the administration of the Unclaimed Money Act 1971. This Act sets out the obligations of holders and the Commissioner for unclaimed money held on behalf of the owner. IR administers the Act on behalf of the Treasury. Note that the administration of the Unclaimed Money Act was substantially updated in March 2021 following amendments to that Act ([¶5-225](#)).

The responsibility for administering the Working for Families Tax Credits scheme, the Child Support Act 1991, the Student Loan Scheme Act 1992, and the collection and payment of KiwiSaver contributions under the KiwiSaver Act 2006, is also a part of the Commissioner's portfolio.

At the end of each financial year, the Commissioner is required to furnish the Minister of Revenue with a report on the administration of the IR Acts (s [13C](#) of the TAA).

The assessment and collection powers under the IT07 are not vested in IR, they are vested in the Commissioner. All the officers of IR have only such of the Commissioner's powers, functions and duties as are delegated to them by the Commissioner. It is under those delegated powers that the officers of IR operate. See *Cates v C of IR* ([\(1982\) 5 NZTC 61,237 \(CA\)](#)).

Taxpayers are required to make the initial assessment of their own tax liability. However, the Commissioner still has the power to amend an assessment.

Law: TAA ss [5B](#), [6A](#), [7](#), [13C](#)

Last reviewed on 31 December 2025

Commissioner's duties [¶1-520]

[¶1-520]

[Click to open document in a browser](#)

When the Commissioner is discharging their statutory assessing function, they are performing a duty imposed upon them in imperative and unconditional terms. Any resulting assessment may be challenged under the disputes resolution procedures but not otherwise. Essentially, the nature of the Commissioner's duties is to quantify the liability for tax which has already been imposed by the statute itself. The Commissioner is under a statutory duty to discharge their responsibilities, they cannot waive or suspend the application of the law unless they are vested with the statutory duty to do so and estoppel cannot be raised against them. Generally, the Commissioner is not subject to judicial restraint in discharging their statutory assessing function. See *C of IR v Lemington Holdings Ltd* (1982) 5 NZTC 61,268 and ¶4-275.

Theoretical basis

This theoretical basis, which could possibly lead to great hardship when applied in practice, was explained by the Court of Appeal in *North Island Wholesale Groceries Ltd v Hewin* (1982) 5 NZTC 61,289. It is not difficult to conceive of a case in which a taxpayer may be adversely affected when the Commissioner retrospectively alters a ruling or changes policy (eg Case S80 (1996) 17 NZTC 7,501 and Case S79 (1996) 17 NZTC 7,497). In *C of IR v AGH Finance Ltd* (1985) 7 NZTC 5,010, Cooke J stated at 5,012:

If a taxpayer has put a proposal fully and fairly before the Commissioner or a District Commissioner and has received an assurance representing a view which could reasonably be taken as to factual or discretionary questions on a correct understanding of the law, I would be slow to adopt a different view, not because of any estoppel but simply because the considered view of the department at that time would be entitled to weight.

From 26 June 2019, a more flexible approach to dealing with situations when the legislation does not align with the intended policy, ie a legislative anomaly, applies. The Commissioner's care and management role has been extended by having more tools for addressing gaps or inconsistencies in the legislation that do not reflect the clear policy intent of a provision.

More flexibility is provided as to how legislative anomalies are addressed by introducing delegated law-making powers that, in certain circumstances, can be used to temporarily remedy or mitigate the effect of obvious errors or inconsistencies. The remedial powers are:

- # a power to modify how tax laws apply by Order in Council on the recommendation of the Minister of Revenue
- # a power for the Commissioner to grant exemptions from provisions of the IR Acts.

Broadly, the powers can be used where there is an issue with tax legislation that produces an outcome that is inconsistent with intended policy outcomes (eg there is a drafting error or inconsistency in the legislation). While the best approach would be amendments to the primary tax legislation, this cannot always be achieved quickly and the new powers provide a temporary solution for taxpayers.

The remedial powers are subject to a number of safeguards:

- # modifications and exemptions have general application and cannot change the application of a tax law for a particular taxpayer
- # 6 weeks of public consultation is generally required before a modification is made or an exemption is granted, unless a case of urgency exists
- # modifications and exemptions are time-limited and expire within 3 years of coming into force
- # modifications and exemptions must be optional for taxpayers to apply and if they choose not to apply them, the law applies to the person as if the modification or exemption did not exist
- # changes made must not be inconsistent with the intended purpose or object of the relevant provision

modifications and exemptions are disallowable instruments and subject to review by the Regulations Review Committee and disallowance by the House of Representatives.

Modifications made by Order in Council can apply retrospectively for a period of up to 4 income years before coming into force, ensuring taxpayers can apply a modification to all tax returns that are not subject to the time bar. Exemptions granted by the Commissioner (which are intended largely for administrative matters with negligible fiscal implications) can only apply retrospectively to the beginning of the income year in which the exemption is made.

Reasons for recommending a modification must be published together with the modifying order.

Law: TAA ss [5B](#), [6A-6F](#)

Last reviewed on 31 December 2025

Binding rulings on taxation [¶1-525]

[¶1-525]

[Click to open document in a browser](#)

#Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill is proposing to amend s 91EL so that where a non-resident applies for a short-process ruling in determining their annual gross income, any foreign-sourced income is to be included and excludes any exempt or excluded income.

A system of binding rulings, Pt 5A of the TAA, has been in place since 1 April 1995. It allows the Commissioner to issue rulings on the future application of specific tax legislation.

The types of rulings available are divided into 4 categories: public, product, private (including advance pricing agreements (APAs) and, from 1 October 2019, short-process rulings) and status rulings.

Taxpayers are not bound by a ruling. The Commissioner, on the other hand, is bound by the rulings the Commissioner issues.

Binding rulings are not disputable decisions, and it is not possible to challenge rulings through the disputes resolution process (s 138E of the TAA). Nor is there any separate right to appeal against a ruling.

IR's guide to binding rulings ([IR 715](#)).

Taxpayers who rely on official IR advice are not subject to use of money interest or to the unacceptable tax position penalty ([¶14-115](#) and [¶14-200](#)).

Public rulings

Public rulings are initiated by the Commissioner and provide the Commissioner's interpretation of particular tax legislation in a given fact situation. Taxpayers who calculate their tax liability in line with the ruling may expect to be assessed in accordance with the Commissioner's stated interpretation of the relevant legislation. Notice of the making of a public ruling is posted in a publication of the Commissioner's choice. Usually the text of the ruling is published in a *Tax Information Bulletin*. Public rulings apply for the duration of the period or income year specified in the ruling.

The Commissioner can issue public binding rulings that apply for an indefinite period. Whether a public ruling is issued for a finite or an indefinite period is at the Commissioner's discretion. If a ruling issued for an indefinite period is withdrawn, the ruling will continue to apply to an arrangement entered into before it was withdrawn for 3 years from the date of withdrawal. As with rulings issued for a finite period, a public ruling issued for an indefinite period will cease to apply following a legislative change if the repeal or amendment changes the way the taxation law applies in the ruling (ss [91D–91DE](#) and [91G](#) of the TAA).

Private rulings

In contrast to public rulings, private rulings are initiated by taxpayers who require confirmation as to how the legislation will apply in relation to a particular transaction. Strict disclosure requirements are imposed on taxpayers seeking such rulings. The private ruling binds the Commissioner only in respect of the particular person and arrangement identified in the application. Private rulings are charged for by IR on a full cost-recovery basis. The application fee charged is \$322 (including GST), with an hourly rate of \$161 (including GST) thereafter. An Advanced Pricing Agreement (APA) is the exception; its cost is limited to the application fee of \$322 unless overseas travel costs are required. Private rulings are not published. See the Tax Administration (Binding Rulings) Regulations 1999.

The Commissioner can refuse to issue a ruling if a taxpayer has an outstanding debt relating to an earlier binding ruling application. Also, a binding ruling cannot be made on a question of fact.

QWBA [QB 07/05](#): “Ability to rule where the Commissioner is auditing or investigating — whether the Commissioner has a discretion to rule or is prohibited” confirmed that the Commissioner is prohibited from making a private ruling where a tax audit or investigation is occurring. However, note the Commissioner is allowed to make a private binding ruling if the arrangement is subject to a dispute by way of notice of proposed adjustment (NOPA) but the application for the ruling relates to a different tax type from that in the NOPA (s [91E\(4\)\(ga\)](#) of the TAA).

In [QB 08/01](#), “Tax Administration Act 1994 — s [91E\(4\)\(f\)](#) and self-assessment”, the Commissioner concluded that s [91E\(4\)\(f\)](#) prevents the Commissioner from issuing a private ruling where a taxpayer has already made a self-assessment by filing their tax return. In such cases the disputes resolution process would be available to the taxpayer ([¶4-090](#) and [¶4-135](#)).

In [QB 14/07](#), “Tax Administration Act 1994 — Proscribed questions”, the Commissioner concluded that including a statement relating to a proscribed question (such as a reference to a person’s intention) in the description of the Arrangement, or as an assumption or a condition, will not breach the provision that prevents the Commissioner from making a ruling that requires them to determine a proscribed question.

[QB 15/07](#), “Tax Administration Act 1994 — Meaning of ‘due and payable’ under section [91E\(4\)\(d\)\(i\)](#)” considers a specific situation where the Commissioner may not issue a private binding ruling for a taxpayer. This is when the matter on which the Commissioner has been asked to rule concerns a tax that is “due and payable”. The item concludes that this means that the Commissioner cannot issue a ruling unless the application is received before the due date for payment of the relevant tax type for the relevant tax period (regardless of whether any tax is actually payable). For income tax generally, this is the due date for terminal tax payments for an income year (and does not include any provisional tax). For other types of tax (such as GST, PAYE, RWT and NRWT), this is the due date for payment of tax for the relevant period for which the Commissioner has been asked to rule.

For the purpose of private and product rulings, an “arrangement” includes facts that the Commissioner considers are material or relevant as background or context to the ruling . See s [3\(1\)](#) of the TAA, definition of “arrangement”.

Despite being empowered to make a private ruling on application, the Commissioner may decide not to make a ruling to the extent to which it relates to how the Commissioner may adjust a taxpayer’s taxable income under s [GA 1](#) if an arrangement is void under s [BG 1](#) (s [91E\(3B\)](#) of the TAA).

Application for a private ruling is made by submitting a completed [IR 713](#) to Technical Services, Tax Counsel Office, after a pre-lodgement meeting has been held. An applicant will need the following:

- # the applicant’s details and IRD number
- # an explanation of the issue(s) in question and a full description of the facts
- # the taxation laws on which the ruling is sought
- # the names of all other parties to the arrangement
- # the relevant documents that relate to the question(s) raised, and
- # a draft ruling.

Factual review process

Where a binding ruling is subject to a critical factual condition or assumption, a factual review may be appropriate. Relevant conditions or assumptions could relate to value, market rates or generally accepted accounting practices. Factual reviews can be requested at any time before or immediately following the issue of the ruling. The factual condition or assumption must be both potentially contentious and central to the efficacy of the ruling. The process gives taxpayers an opportunity to obtain a level of certainty from IR regarding the likelihood that the condition or assumption will be satisfied. Once the review is completed, IR will send a written response with one of the following outcomes:

- # a green letter confirms that IR considers the condition or outcome is likely to be satisfied — although the condition or assumption is not removed from the binding ruling

- # an amber letter indicates that IR could not determine whether the condition or assumption would be satisfied within the time allocated to the review — IR will not necessarily audit the taxpayer simply because of an amber letter
- # a red letter indicates that IR considers the condition or assumption will not be satisfied and puts the taxpayer on notice that an audit is likely.

Although a green letter is not legally binding, provided the taxpayer does not deviate from the factual circumstances that exist when the green letter is issued, IR will not seek to further test the condition or assumption by way of audit other than in exceptional circumstances.

Transfer pricing

If the private ruling relates to a transfer pricing arrangement, the applicant must confirm that they have examined the application and that the information disclosed to the Commissioner is comprehensive by completing an [IR 713A](#) declaration, as well as an [IR 713](#).

Advanced pricing agreements (APAs) are a type of private ruling that addresses transfer pricing compliance issues from a co-operative approach. They offer a practical solution to complex transfer pricing cases. The aim is to encourage upfront compliance and to resolve any potential disputes that may arise. The International Audit unit can also issue unilateral APAs.

Short-process rulings

A person with annual gross income below a prescribed level (\$20m) and a tax question involving tax expected to be below a prescribed level (\$1m) can apply for a short-process ruling. Note that if an application is made jointly, each person must meet the income threshold requirement. If the person is part of a group of companies, the group must meet that threshold. Where an application is made on behalf of a person not yet in legal existence (such as a company not yet incorporated), the person must have a reasonable expectation of meeting the income threshold requirement for the tax year to which the ruling relates. In the case of the tax threshold, if the expected amount of the tax is unknown, a person must state that in the application and the Commissioner may consider whether a short-process ruling is appropriate.

The application for a short-process ruling has to be in a form prescribed by the Commissioner and only has to:

- # identify the person applying for the ruling
- # describe the circumstances on which the ruling is sought
- # disclose all relevant facts and documents, and
- # state the general tax outcome in relation to which the ruling is sought.

Unlike a standard ruling application, the person does not have to state the taxation laws and the propositions of law for which the ruling is sought.

The Commissioner may decline to make a short-process ruling if the question asked, because of its nature or in the particular circumstances, makes it inappropriate for a response under the shortened process. For example, when an application:

- # raises an issue involving an apparent gap or deficiency in policy settings
- # is directly in opposition to an existing policy of, or technical position taken by, the Commissioner
- # raises an issue that has, or would have, significant implications or wide effect as a precedent
- # fails to provide sufficient information
- # raises a question that is better answered by the Commissioner through another process.

The Commissioner may also decline to issue a short-process ruling for the same reasons as the Commissioner may decline to issue a standard private binding ruling.

The fee for a ruling is \$2,000 and is expected to take around 6 weeks to process from the time the application is received. That timeframe may extend where insufficient information has been provided, it covers a number of issues or it is sent around holiday periods.

The Commissioner can withdraw a short-process ruling where there is a change in the interpretation of the law or where the ruling needs to be replaced with a variation. The withdrawal will take effect from the date of withdrawal. The date cannot be earlier than the date on which the person could reasonably be expected to receive the notice of withdrawal. The ruling will no longer apply if the arrangement had not been entered into until after the date of withdrawal. However, the ruling will continue to apply for the period specified in the ruling if the arrangement was entered into before the date of withdrawal. Where a short-process ruling is issued for an issue that does not involve an arrangement, if that ruling is subsequently withdrawn, taxpayers can continue to rely on the ruling for the remainder of the period or tax year specified in the ruling.

The scope of rulings

The scope of matters that can be ruled includes:

- # allowing rulings to be made on a taxpayer's purpose in certain circumstances, such as whether the taxpayer has the purpose of selling a property when they acquire it
- # allowing questions that affect or define the status of a person, such as whether a person is a New Zealand resident or an associated person, to be ruled on
- # allowing rulings on the status of a person, item or matter to be made without requiring an "arrangement"
- # allowing the Commissioner to rule on a financial arrangement question for which the Commissioner could previously only issue a determination, and
- # clarifying the difference between an assumption and a condition and when a ruling ceases to apply because a condition or assumption is breached.

Product rulings

Product rulings are made in response to taxpayer applications, as with private rulings, but their making is discretionary rather than mandatory. They are directed at particular transactions, rather than at the particular taxpayers who may enter those transactions, although, in cases in which a product ruling might have application to a wider class of products or persons, the Commissioner may indicate this by reference to "consumers" of the product.

Example:

A company promoting a debenture issue that has not yet been publicly launched seeks a product ruling on whether the income stream from the debenture is interest and not a dividend. See *Tax Information Bulletin* [¶612-101 Vol 6, No 12](#) at 2.

Product rulings are published in the *Tax Information Bulletin*. The application and processing fees are the same as for private rulings (see above).

Application for a product ruling is made by submitting a completed [IR 714](#) to Technical Services, Tax Counsel Office. An applicant will need the following:

- # the applicant's details and IRD number
- # an explanation of the issue(s) in question and a full description of the facts
- # an explanation as to why it is not practicable to seek a private ruling
- # the taxation laws on which the ruling is sought
- # an explanation as to why the characteristics of the taxpayers who have entered into the arrangement will not be relevant to the ruling
- # the relevant documents that relate to the question(s) raised, and
- # a draft ruling.

Period for which a private or product ruling applies

Over the years, the Commissioner has developed internal guidelines concerning the period of issue of a private or product ruling. [QB 17/03](#), “Tax Administration Act 1994 — The period for which a private or product ruling applies”, discusses the relevant factors the Commissioner will consider when exercising their discretion and outlining their practice as follows:

- # Where an arrangement has a term or expected life of less than 3 years, the Commissioner will issue a ruling for a period that is the exact term or expected life of the arrangement.
- # Where an arrangement has a term or expected life of more than 3 years, the Commissioner will generally rule for a period of 3 years from the date of issue of the draft or final ruling.
- # On a reissue of a ruling, where an arrangement has a remaining term or expected life of more than 5 years, the Commissioner will generally rule for a period of 5 years from the date the previous ruling ceased to apply.
- # Periods in excess of 5 years (for a new ruling or a reissue) will only be considered by the Commissioner in exceptional circumstances where, due to the special characteristics of the particular arrangement and the application of the taxation laws, a shorter period would not be sensible.

Where a private or product ruling is issued for an matter that does not involve an arrangement, if that ruling is subsequently withdrawn, taxpayers can continue to rely on the ruling for the remainder of the period or tax year specified in the ruling.

Rulings issued on cross border activities

As part of the OECD Action Plan to address Base Erosion and Profit Shifting (BEPS) activities, IR is required to exchange information spontaneously about taxpayer-specific rulings issued on cross border activities. The Commissioner’s statement CS 16/01, “OECD information sharing requirements for taxpayer rulings and determinations” sets out the 6 categories of rulings relating to cross border activities that fall under that requirement.

The Commissioner’s information exchange obligations cover all private and product rulings, advance pricing agreements and financial arrangements determinations that fall within the OECD’s criteria. Where relevant, the Commissioner is required to ensure that information is exchanged within 3 months of the ruling being issued. The information exchange obligations apply to:

- # past rulings (issued on or after 1 January 2010 that were still in effect on or after 1 January 2014), and
- # future rulings (those issued on or after 1 April 2016).

Issue of replacement ruling with retrospective application

If a private or product ruling contains an immaterial error that does not affect the technical conclusion of the ruling, it is the Commissioner’s view that the ruling may be withdrawn and replaced by another ruling that operates retrospectively for all or some of the same period as the ruling that has been withdrawn. See “Questions we’ve been asked” [QB 08/02](#): “Commissioner’s power to issue a replacement ruling that operates retrospectively”.

Withdrawal of rulings

The Commissioner can withdraw a private ruling at any time by notifying the applicant in writing (s [91E](#)). The private ruling is withdrawn from the date specified in the notice of withdrawal. That date may not be earlier than the date on which the person could reasonably be expected to receive the notice of withdrawal.

The Commissioner can withdraw a public or product ruling at any time by giving notice in a chosen publication, eg a *Tax Information Bulletin* (ss [91DE](#) and [91FJ](#)).

Legislation covered by rulings

As well as income tax provisions, binding rulings may be made on provisions of the GST Act (except ss [12](#) and [13](#)), the Estate and Gift Duties Act 1968, the Gaming Duties Act 1971, the Stamp and Cheque Duties Act 1971 and, from 30 March 2021, the Unclaimed Money Act 1971. The Commissioner may also make a binding ruling on how the Commissioner will exercise a discretion under any of those provisions.

With effect from 18 March 2019, it has also been clarified that the Commissioner may make a binding ruling for any record-keeping requirement in the TAA.

Effect of legislative change on binding rulings — status rulings

A ruling will continue to apply after a legislative change if the repeal or amendment does not change the way in which the taxation law applies. Taxpayers who are unclear as to whether a change in law has affected the status of a private or product ruling they have obtained can apply to the Commissioner for a “status ruling” to clarify this. (Application is made by submitting an [IR 712](#).) The Commissioner has to make a status ruling if the legislative change in question is legislation that is stated to apply in the taxpayer’s private or product ruling. The Commissioner can refuse to make a status ruling if the legislation is not referred to in the ruling (ss [91GA–91GH](#) of the TAA and s ZA 4 IT07).

Binding rulings issued before the 2008–09 income year continue to apply following the enactment of the IT07 (s [ZA 4](#)).

“Materially different” arrangement

[QB 18/07](#), “When is an arrangement considered to be ‘materially different’ from the arrangement identified in a private or product ruling?” concludes that the revised arrangement is “materially different” if, in relation to a tax type, the difference between the revised arrangement and the arrangement identified in the ruling is capable of affecting the tax outcome referred to in the ruling. Whether the revised arrangement is materially different from the arrangement identified in the ruling will be considered on a case-by-case basis, because it will turn on the facts and circumstances of each case. The QWBA contains a number of examples to illustrate the application of the law.

Note that with the expansion of the scope of matters that can be ruled upon without the need for an arrangement, the circumstances in which a private ruling does not apply have also been expanded to include where “the circumstances are materially different from the circumstances described in the ruling” (ie not limited to situations where an arrangement exists).

Non-binding statements

As well as issuing binding rulings, the Commissioner disseminates information through the *Tax Information Bulletin*. This publication usually contains non-binding statements covering the Commissioner’s administrative practice and view of the law. The Commissioner may issue 4 types of non-binding statements, namely:

- # interpretation statements, setting out the Commissioner’s view of the law in relation to a particular set of circumstances
- # interpretation guidelines, in which the Commissioner’s approach to the interpretation of a general area of law is discussed
- # questions we’ve been asked, which set out answers to enquiries received that may be of general interest to taxpayers, and
- # standard practice statements, which describe how the Commissioner will exercise a statutory discretion or deal with a practical issue arising out of the administration of the IR Acts.

Although these statements are not legally binding on the Commissioner, the practical effect of a statement being issued is that IR staff have an obligation to follow any directions contained in the statement. See [Miller v C of IR](#); [McDougall v C of IR \(No 1\)](#) (1997) 18 NZTC 13,001 at 13,048. However, failure to follow the statement will not invalidate the exercise of a statutory duty. See [O’Neil v C of IR](#) (2001) 20 NZTC

[17,051 \(PC\)](#) and *Dandelion Investments Ltd v C of IR* ([2003](#)) [21 NZTC 18,010 \(CA\)](#). The implications of the *Dandelion Investments* case are discussed in an article by Andrew Beck in CCH, *New Zealand Tax Planning Report*, No 2, April 2003.

Interpretation statements and guidelines and questions we've been asked are generally issued by the Public Rulings unit of the Tax Counsel Office and the standard practice statements are usually issued by IR's Legal and Technical Services group.

In December 2012, the Commissioner issued a statement, "Status of the Commissioner's advice", setting out the status of advice (other than binding rulings). The statement considers:

- # the legal status of the Commissioner's advice and when the Commissioner will be bound by statements made
- # taxpayers' liability for substantive tax, penalties and use of money interest where the Commissioner's advice is incorrect
- # the application dates for public statements
- # the Commissioner's position in relation to court and tribunal decisions that the Commissioner believes do not accurately reflect the law, and
- # the status of standard practice statements issued by the Commissioner.

Generally, the Commissioner will follow public statements; however, the Commissioner is not strictly bound by such statements. The Commissioner's approach to advice that is not binding is set out in the statement. Where a new position is taken and it is more favourable for a taxpayer, the Commissioner will apply the principles relating to amending assessments under s [113](#) of the TAA, on a case-by-case basis. Where the new position taken is less favourable to a taxpayer, the Commissioner will generally apply the new position prospectively from a date, income year or assessment period stated by the Commissioner.

Corrections to *Tax Information Bulletins* are made from time to time by IR and can be found listed on IR's website at www.ird.govt.nz.

Revenue Alerts

From time to time the Commissioner may issue a Revenue Alert. This provides information about significant and/or emerging tax planning issues that are of concern to IR. At the time an alert is issued, risk assessments will already be underway to determine the level of risk and to consider appropriate responses. A Revenue Alert will identify:

- # the issue (which may be a scheme, arrangement or particular transaction) which the Commissioner believes may be contrary to the law, or is inconsistent with policy
- # the common features of the issue, and
- # IR's current view and current approach.

IR technical rulings

The Technical Rulings Manuals are manuals that were written many years ago by and for the benefit of IR staff who worked in technical areas. In 1998, IR decided to formally cease updating the technical rulings altogether, advising that although the technical rulings may be useful as background material, they should not be relied upon as representing the Commissioner's current views or practice.

Public Information Bulletins

IR published *Public Information Bulletins* (PIBs) regularly between September 1963 and July 1989. They comprised a range of statements on taxation issues, as well as legislative commentary, public notices and other information. *Tax Information Bulletins* replaced PIBs from July 1989.

In February 2011, IR announced that a review of PIBs had commenced — "Review of Public Information Bulletins". The review was carried out due to concern that items published in PIB items contained limited

analysis or reasoning to support the views expressed and the items were often out of date. Many items referred to legislation that had been repealed or amended, or the Commissioner's views or reasoning had developed or changed significantly since the time of publication.

IR completed the formal process of reviewing all items containing tax technical information in the 183 PIB volumes and identifying those that were of no current relevance and would not be republished. The remainder have either been updated and republished in a current *Tax Information Bulletin*.

Also note that the review initially aimed to consider early TIB items (ie ones issued before 1996) as well. Due to issues of resourcing and competing priorities, this was not achieved. Care should also be taken when referencing these items given their age.

Status of historical IR internal circulars

Public item ([PUB0199](#)) discusses the status of historical IR internal circulars. During the review of the PIBs, discussed above, IR became aware that some advisers and commentators were still citing historical IR internal circulars as evidence of IR's practice or view of the law. The public item makes it clear that the circulars have not been updated or reviewed since publication and that they cannot be relied on as representing current IR practice or interpretation of the law. The item states that the circulars include, but are not limited to:

- # Information Circulars (1952–1973)
- # Operation(s) Circulars (1984–1996)
- # Technical Policy Circulars (1983–1989)
- # GST Circulars (1986–1987)
- # Targeted Circulars (1990–1997)
- # Technical Bulletins (1955–1967)
- # FBT Circulars (1985)
- # Technical Rulings Supplements (approximately 1977–approximately 1983).

Law: IT07 s [ZA 4](#); TAA Pt [5A](#), ss [3\(1\)](#) (“arrangement”), [138E\(1\)\(ea\)](#)

Last reviewed on 31 December 2025

Inland Revenue investigations [¶1-560]

[¶1-560]

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The current structure of IR's audit activity is aligned to specific taxpayer groups. By focusing on taxpayer groups, IR aims to target its investigation activity towards areas with the potential for high-risk non-compliance, while maintaining an audit presence in all sectors of the community.

Potential candidates for audit are identified using a computerised case selection and management system. This system is an electronic tool that helps IR staff manage audits.

Investigation activity may include spot checks and small, single revenue/period audits through to large in-depth investigations that cover several years and revenues.

IR's investigators carry out full risk evaluations of taxpayers before deciding whether or not to investigate them. The risk evaluation identifies the compliance risks for all revenues, outstanding debts and returns. See IR newsletter, *AGENTS answers*, Issue 60, August 2004.

Last reviewed on 31 December 2025

Enforcement procedures of Inland Revenue [¶1-570]

[¶1-570]

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The Commissioner has formulated several procedures that are followed when investigating the income tax affairs of persons and companies suspected of being delinquent in their responsibilities to tax matters. The powers that the Commissioner has to perform the Commissioner's administrative duties are exercised by IR officers.

Telephone inquiries

Telephone inquiries are connected with the processing of the taxpayer's annual return and are mostly of a routine nature. It should be noted that any rulings given over the phone have no legal force when the Commissioner makes or amends an assessment. This is because the Commissioner may not be estopped by the previous actions of IR officers when the Commissioner makes an assessment ([¶1-520](#)). See also Case S80 ([1996](#)) 17 NZTC 7,501 and Case S79 ([1996](#)) 17 NZTC 7,497.

Risk reviews

An audit may be preceded by a risk review. A risk review letter is issued to a taxpayer requesting information which is used to evaluate the risk of non-compliance. If the risk is assessed by IR as being low, no further action is taken. If the level of risk is deemed to be medium or high, the taxpayer will be notified that they have been selected for audit.

Audits and investigations

Audits of tax records are an important element of IR's strategy to encourage voluntary compliance. Auditing is a specialised aspect of IR's administration of the tax system. The taxpayer audit (also referred to as investigations) programme's purpose is to detect non-compliance and deter future non-compliance. This is achieved by: having a presence in all sectors; targeting risk areas; using a combination of audit and other methods, such as education; giving non-compliers the information they need to be able to comply; penalising non-compliance; assisting in the collection of assessed tax; and identifying opportunities for legislative, policy and administrative improvements.

Single revenue audits are an important part of the activities for the business and non-business units of the taxpayer audit programme. Other types of audits include extended GST audits, presence audits, full investigations, and avoidance and evasion investigations. Spot checks and projects are conducted to match information to third party records to locate businesses outside the tax system or to detect those not declaring all income.

Project-based scoping audits are carried out to gather information about the risk of non-compliance of a particular industry or occupation, or over a specific tax issue. A small random sample is investigated to assess the status of compliance. Scoping audits may lead to full audits or the development of strategies to address the compliance issues identified. Project-based audits are carried out by service centre or branch office staff although they may be coordinated centrally.

Non-business audits generally focus on omitted interest and salary and wages income.

IR booklet, [IR 297](#) (August 2019) sets out a general overview of tax audits.

More recently, with the upgrade of IR's systems, computer assisted audits can be carried out. Computer-assisted auditing is an efficient way of auditing for IR as no hard copy records are required and IR officials work on the data off-site. Computer assisted auditing can be carried out on a taxpayer's systems or data, [IR 297A](#) (August 2019).

Tax amnesties

On rare occasions, the Commissioner announces a tax amnesty for a limited period to bring taxpayers who have not disclosed their income into the tax net. An amnesty is usually accompanied by reduced penalties for the tax evaders and avoiders. An example of such an amnesty was the amnesty until 31 March 2013 for taxpayers who made a voluntary disclosure in respect of “Penny and Hooper” type cases, as set out in Revenue Alert [RA 11/02](#).

A provision relating to tax amnesties was added in 2007. The rules relating to amnesties can be summarised as follows:

- # IR may declare a limited amnesty in relation to a specific industry or activity where tax evasion is a significant concern. The offer will specify the taxes involved and the period in which the taxpayer can come forward.
- # Taxpayers who come forward during the amnesty will only be required to declare undisclosed income for 2 years (ie the current year and the preceding year).
- # The amnesty will be backed up by increased audit activity in that particular industry.
- # An affected taxpayer coming forward under an amnesty will not be prosecuted. However, penalties and interest will still apply to the income tax assessed for the disclosure period, but may be reduced for voluntary disclosure and good behaviour.
- # Repayments of family assistance and back payments of child support and student loans for the disclosure period will still apply.
- # The amnesty only applies to income from the specific targeted industry. The 2-year limit does not apply to income from other sources.
- # At the end of any amnesty, IR will be required to notify responsible Ministers by providing a report, and the Minister must provide the report to Parliament.

Law: TAA s [226B](#)

Last reviewed on 31 December 2025

Methods for calculating tax in cases of evasion [¶1-572]

[¶1-572]

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When a case of evasion is detected, there are a number of methods that can be employed to calculate the amount of tax that should have been paid:

- # *the assets accretion method* ([¶1-574](#))

- # *the add-back method*: adding back into the taxpayer's assessable income items of income that IR discovers the taxpayer should have returned ([¶1-582](#))

- # *the comparative method*: comparing the returns of taxpayers whose affairs are very similar ([¶1-584](#)), and

- # *the cash available method* ([¶1-586](#)).

Last reviewed on 31 December 2025

Assets accretion — generally [¶1-574]

[¶1-574]

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In preparing an assets accretion statement, the officer broadly ascertains the assets possessed by the taxpayer at the beginning of the period under review, ascertains the increase in assets (assets less liabilities) in each of the subsequent years concerned and adds the taxpayer's estimated living expenses and other items of non-deductible expenditure. The total is regarded as being equal to the taxpayer's income plus any non-taxable income received in the same period. In the absence of a convincing explanation by the taxpayer as to the source of those assets, it is assumed that the taxpayer's improved capital position has been brought about by undisclosed income and they will be assessed accordingly.

Example:

A taxpayer was an unemployed motorcycle club president. The Commissioner issued default assessments against the taxpayer for income tax and GST for the years 1989 to 1993 inclusive. The assessments were issued as a result of an assets accretion review compiled from 1 October 1988 to 31 March 1993. The statement showed an increase in assets from \$24,580.55 to \$252,274.99. The Commissioner was of the view that the taxpayer's lifestyle was such that he must have been earning undisclosed profits from cannabis dealing and/or motor vehicle trading. Judge Barber agreed that the assets accretion method showed that the taxpayer was steadily deriving funds from some undisclosed source or activity, although some of the items were found to be overstated. The statement and consequential assessments were amended in favour of the taxpayer. See Case S101 [\(1996\) 17 NZTC 7,637](#).

The assets accretion method was also applied by IR to tax the proceeds of crime in Case W27 [\(2003\) 21 NZTC 11,276](#).

The taxpayer may challenge the assessment under the usual disputes procedure but the burden of proof remains with the taxpayer. The taxpayer's challenge may be based on undisclosed gambling proceeds (ie a taxpayer will offer the argument that a discrepancy between assets and reported income is attributable to gambling proceeds), cash hoards, sale of private assets or money lent/given to the taxpayer by family members.

Last reviewed on 31 December 2025

Assets accretion — calculation of living expenses [¶1-580]

[¶1-580]

[Click to open document in a browser](#)

A court will confirm an assets accretion statement only when the facts used in the preparation of the statement are accurate, *Hall v C of IR* [1965] NZLR 184. Any living expenses included in an assets accretion statement should reflect the living expenses of that taxpayer and not the average taxpayer. Rather than trying to ascertain the amount spent on living expenses by the taxpayer for all the years covered by the assets accretion statement, an officer will calculate the living expenses for one year only. The officer will then use that information as a base to calculate the probable living expenses for the other years by using the consumer price index (CPI) movements between the base year and the other years in the statement. The key to living expenses included in the assets accretion statement is the accuracy of the living expenses used for the base year. Although it is a common technique of the Commissioner's to use the CPI in order to assess income for subsequent years, having established income for the base year, it is still open for a taxpayer to discharge the onus of proof on the balance of probabilities by giving evidence that assumptions in the IR's techniques are incorrect.

Important points

Some points that have emerged from the discussions of the assets accretion concept are:

- # It is not enough to discharge the onus of proof if the taxpayer's evidence at best only raises doubts as to the accuracy of the assessment. See *Yew v C of IR* (1984) 6 NZTC 61,710, Case R4 (1994) 16 NZTC 6,025.
- # A taxpayer who relies on personal evidence alone, without the support of corroborating credible records, may find it difficult to discharge the onus of proof. See Case J23 (1987) 9 NZTC 1,129, Case J36 (1987) 9 NZTC 1,206.
- # Living expenses may be ascertained by use of the CPI. See *Dunnenberger v C of IR* (1982) 5 NZTC 61,299. However, this is inappropriate if a cheaper alternative lifestyle is followed. See Case F93 (1984) 6 NZTC 60,024, Case G84 (1985) 7 NZTC 1,388, Case H28 (1986) 8 NZTC 270, Case H78 (1986) 8 NZTC 534, Case J64 (1987) 9 NZTC 1,379.
- # The Commissioner's estimate of living expenses is not upheld if it is based on guesswork, ie the assumption that all unexplained bank withdrawals must relate to living expenses. See Case G48 (1985) 7 NZTC 1,200.
- # In apportionment cases, the onus of proof (on the balance of probabilities) is on the taxpayer to establish how much of an outgoing in question constitutes a deduction from assessable income. See *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271.

Last reviewed on 31 December 2025

Add-back method [¶1-582]

[¶1-582]

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This method will most probably be used when the business accounts are maintained on a commercially sound basis but, because of an understatement of identifiable receipts or a claim of expenses that is not fully deductible, the profits are not correct for taxation purposes.

Last reviewed on 31 December 2025

Comparative method [¶1-584]

[¶1-584]

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For certain taxpayers (eg milk vendors, taxi drivers, dairy owners etc) an investigator may try to arrive at the income of a business by using a specific formula. This method may be used when an investigator is confident that the business accounts show the true expenditure of that business, but the investigator suspects that all of the business receipts have not been recorded. In most cases, this method is used when there have been statutory regulations governing either the sale of the product in question or the scale of fees that the taxpayer can charge.

Last reviewed on 31 December 2025

Cash available method [¶1-586]

[¶1-586]

[Click to open document in a browser](#)

The cash available method isolates the cash available to the taxpayer for a year and compares that amount with any non-business cash payments made. The cash available method is used when it is suspected that a taxpayer who owns a cash business, eg a video shop, is dipping into the till and removing cash takings without keeping a record of amounts taken.

Last reviewed on 31 December 2025

Inland Revenue's powers to collect information [¶1-590]

[¶1-590]

[Click to open document in a browser](#)

#Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill is proposing an amendment that would repeal section 17GB and the aim of the proposed amendment is to increase taxpayer privacy.

The powers of the Commissioner and, by delegation, of other officers of IR are quite extensive and, in some respects, are more comprehensive than police powers. Most of those powers relate to the collection of information to enable the making of assessments of income tax and the other taxes and duties which IR is responsible for collecting. Many of them are implicit in provisions of the IT07. However, the TAA gives specific additional powers. The obligation to provide information to the Commissioner is imposed on all persons, not just a taxpayer under investigation. For example, in *Next Generation Investments Ltd (in liq) v C of IR* (2006) 22 NZTC 19,775, the High Court held that liquidators, when faced with a request for information under s 17 of the TAA, are obliged to permit the Commissioner to inspect the books and accounts of a company without a court order (as required under s 256 of the CA93) even where the Commissioner is a creditor of the company.

The Commissioner's powers concerning the production of taxpayer-related information are contained in Pt 3 subpart 3A of the TAA. Broadly, the statutory framework comprises:

- # purposes and principles of the subpart: ss [16–16C](#)
- # collection and use of information by Commissioner: ss [17–17M](#)
- # confidentiality of sensitive revenue information: ss [18](#) and [18B](#) ([¶1-604](#))
- # permitted disclosures of sensitive revenue information: ss [18C–18J](#) ([¶1-606–¶1-640](#)).

Purposes and principles of subpart 3A

The stated purposes of the provisions in subpart 3A are:

- # to provide the Commissioner with the necessary powers to enable—
 - # the collection of all taxes or duties imposed by the IR Acts
 - # the carrying into effect of any of the IR Acts
 - # the carrying out of functions lawfully conferred on the Commissioner
 - # to enable the collection by the Commissioner of revenue information, including the power to—
 - # gain access to property or documents
 - # remove documents to make copies
 - # remove and retain documents for review
 - # to require a person or entity to produce documents or to provide or allow access to information to the Commissioner
 - # to set out the Commissioner's powers to copy, remove or retain documents
 - # to provide a regulation-making power for the regular collection of bulk data
 - # to describe how revenue information may be used
 - # to protect the confidentiality of sensitive revenue information
 - # to facilitate efficient and effective government administration and law enforcement by allowing permitted disclosures of sensitive revenue information for certain specific or appropriate purposes: s [16](#).

“Revenue information” is defined as information that is acquired, obtained, accessed, received by, disclosed to, or held by the Commissioner under or for the purposes of a revenue law and the collection supporting the purposes of the subpart (see above), or under an information-sharing agreement: s [16C\(2\)](#).

“Revenue law” means the IR Acts (listed in Sch 1 of the TAA), the Accident Compensation Act 2001 and earlier such Acts, the New Zealand Superannuation Act 1974 and any Act imposing taxes or duties payable to the Crown: s 16C(1).

A document is widely defined as meaning:

- # a thing that is used to hold, in or on the thing and in any form, items of information or
- # an item of information held in or on a thing, or
- # a device associated with a thing referred to in the first bullet point.

The collection of revenue information may be made for one or more of the following purposes:

- # to protect the integrity of the tax system
- # to carry into effect the revenue laws
- # to carry out or support a function lawfully conferred on the Commissioner
- # to encourage compliance with the revenue laws
- # for any other function lawfully conferred on the Commissioner (s 16B).

Commissioner's access to property and documents

When collecting information, the Commissioner (and any authorised officer of IR) may access property or documents for the purpose of inspecting a document, property, process, or matter the Commissioner considers:

- # is necessary or relevant for one of the purposes listed above, or
- # is likely to provide information that would otherwise be required for the purposes of the IR Acts and any function lawfully conferred on the Commissioner (s 17).

The power of access is extremely wide. It applies despite anything in any other Act, and is subject only to restrictions in the case of a private dwelling (see below).

For these purposes “property or documents” includes documents, whether in the custody or under the control of a public officer, a body corporate or any other person, and all lands, buildings, places or other premises.

The occupier must provide all reasonable facilities and assistance for the effective exercise of the powers which the Commissioner may use under s 17(1) (access to property and documents) and s 17C (inspecting, copying and removing documents).

The occupier must also answer all proper questions relating to the effective exercise of the powers under s 17, as required by the Commissioner.

The Commissioner may be accompanied by another person if it is considered that the presence of the other person is necessary for the effective exercise of the powers under s 17.

Private dwelling

The Commissioner must not enter a private dwelling to access property or documents except with the occupier's consent or under a warrant issued under s 17D. A private dwelling is a building or part of a building occupied as residential accommodation and includes:

- # a garage, shed and other building used in connection with the private dwelling, and
- # any business premises that are a private dwelling or are within a private dwelling.

If an occupier has not given consent, a warrant to search the premises must be obtained from an issuing officer, who must be satisfied that physical access to the premises is required for the exercise of a function lawfully conferred on the Commissioner. An issuing officer is defined as a judge or a person, such as a Justice of the Peace, Community Magistrate, Registrar, or Deputy Registrar, who is for the time being authorised to act as an issuing officer under s 108 of the Search and Surveillance Act 2012 (SSA).

The criteria to be considered before the issuing of a search warrant were discussed in *Tauber v C of IR* (2011) 25 NZTC ¶120-071 (HC), (2012) 25 NZTC ¶120-143 (CA).

The Court of Appeal also held, in *Avowal Administrative Attorneys Ltd v District Court at North Shore* (2010) 24 NZTC 24,252, that in exercising the access power there is an obligation on the Commissioner to act reasonably. The reasonableness depends on the circumstances of the case and is to be assessed having regard to the time, place and circumstances in which the search occurs. The reasonableness obligation is founded on s 21 of the New Zealand Bill of Rights Act 1990.

The form of warrant is prescribed by subpart 3 of Pt 4 of the SSA, and s 103 of the SSA sets out what particulars the warrant must contain.

Every person exercising the power of entry conferred by the warrant is required to produce the warrant and evidence of identity on first entering the private dwelling, and after that whenever reasonably required to do so: s 17D(4) of the TAA.

R v Hewitt (2005) 22 NZTC 19,309 (DC) confirmed that IR officers could copy documents obtained at a private dwelling.

A prison cell can be the living premises and the usual abode of a prison inmate and, thus, come within the definition of "private dwelling". See *Re C of IR (application for a search warrant)* (2005) 22 NZTC 19,123.

Information demands for production of documents

A person who receives an information demand from the Commissioner under s 17B must provide all information the Commissioner considers is necessary or relevant for any purpose relating to:

- # the administration or enforcement of an IR Act
- # the administration or enforcement of any matter arising from or connected with a function lawfully conferred on the Commissioner.

A requirement to provide information includes a requirement to produce a document.

A person includes an officer employed in, or in connection with, a government department or public authority, and any other public officer.

The notice from the Commissioner may require information to be verified by a statutory declaration, provided to a particular IR office or provided in a manner acceptable to the Commissioner.

There are some exceptions to the requirement to comply with one of the Commissioner's information demands. These encompass documents covered by legal professional privilege (¶1-595) and tax advice documents (¶1-600).

Information treated as being in a person's knowledge, possession or control

Information or a document in the knowledge, possession or control of a non-resident is treated as being in the knowledge, possession or control of a New Zealand resident if the New Zealand resident controls the non-resident directly or indirectly (s 17E(1)). For this purpose, the following rules apply:

- # a New Zealand resident is treated as holding anything held by an associated person resident in New Zealand or an associated controlled foreign company, and
- # a law of a foreign country relating to the secrecy of information is ignored.

Information from large multinational groups

Similar provisions apply to a member of a large multinational group of companies. Information or a document relevant to the taxation of the group is treated as being in the knowledge, possession or control of a member of the group if that information or document is in the knowledge, possession or control of the member or any other group member (s 17E(2)). Again, the secrecy laws of foreign countries are to be disregarded.

In practice, it is anticipated that the Commissioner will request the information from the group member who is resident or potentially subject to tax in New Zealand. This group member will then source the required

information from non-resident members of their group. The information will be passed on to the relevant New Zealand taxpayer who will then supply this information to the Commissioner.

In addition, s [17G](#) is designed to incentivise large multinational groups to comply with a request for information under s [17B](#) by setting out some specific consequences that can be applied if the multinational fails to provide an adequate response within 3 months. These consequences enable the Commissioner to make a tax assessment based on the (limited) information it has available and to prevent the requested information from being admitted as evidence in a dispute or court proceeding.

A civil penalty also applies to members of a large multinational group if they fail to comply with a request for information ([¶14-055](#)).

These rules only apply to members of large multinational groups. A large multinational group is defined in s [3](#) to include multinational groups that exceed the revenue threshold of €750 million of consolidated global turnover (based on the threshold in para 5.53 of the OECD transfer pricing guidelines).

Information relating to offshore payments

The Commissioner also has the power to issue an information demand requiring a person to produce information concerning offshore payments for which a deduction may be allowed (s [17F](#) and [¶10-730](#)).

Information for tax policy development

From 7 December 2020, s [17GB](#) clarifies that the Commissioner's information-gathering powers extend to requiring information solely for the purpose of tax policy development. The section provides that the Commissioner can require a person to provide any information the Commissioner considers relevant for a purpose relating to the development of policy for the improvement or reform of the tax system, which includes the social policy products administered. The Commissioner is not permitted to use any information obtained under this section as evidence in proceedings against the person providing the information.

Draft operational statement, [ED0237](#) "Section [17GB](#) notices – the Commissioner's power to obtain information for tax policy purposes", outlines the proposed procedures IR will follow when issuing notices under s [17GB](#) to obtain information to support the development of tax policy. Requests for information under s [17GB](#) includes an obligation for the taxpayer to provide documents in any form of storage, including paper documents and electronic documents. A New Zealand resident will be required to provide information of a non-resident that they directly or indirectly control under these powers, and information of a large multinational group can be required from a member of that group. Due to the wide ambit of this power, only senior officials within IR will have authority to issue these information requests.

Limits on the use of information collected under s 17GB

The draft operational statement, [ED0237](#) states that the Commissioner cannot use information provided by a person in response to a notice issued under s [17GB](#) as evidence in proceedings against them. This includes criminal prosecutions and proceedings commenced under Part [8A](#) (eg civil tax challenges). Information obtained under s [17GB](#) will be held in a manner so that it cannot be used as evidence in proceedings. This limitation does not extend to any information subsequently obtained by the Commissioner under another section of the TAA.

Copying and removal of documents

Once a revenue officer has obtained access to a document, they may take an extract from it, copy it or remove it for copying, all without paying any charge. The officer may also remove and retain a document for a full and complete inspection (s [17C](#)). These powers apply to documents accessed under s [17](#), or produced under one or more of ss [17B](#), [17GB](#), [17H\(6\)](#) and [17I](#).

Documents removed for copying must be copied and returned as soon as practicable. Documents removed and retained for full inspection can be retained for as long as is necessary to undertake the inspection if the occupier consents or the documents have been obtained by warrant under s [17D](#).

The owner of a document removed by the Commissioner has the right to inspect it and copy it at the premises to which it has been removed. There is an on-going right to copy and inspect at all reasonable times thereafter. However, it appears that copying of a document by its owner before a revenue officer removes it from the person's premises is not specifically excluded under s [17C\(5\)](#).

A copy of a document certified by (or on behalf of) the Commissioner is admissible as evidence in court as if it were the original.

Court order for production of information or return

The Commissioner may ascertain that a person required to file a tax return has not done so or has not fully complied with a notice under s [17B](#) or s [17GB](#). In any of these circumstances, the Commissioner may apply to the District Court for an order that the information or return is to be provided. Notice of the application must be given to the person against whom the order is sought and also to any other person as the court directs (s [17H](#)).

A prosecution arising from the person's non-compliance may also be brought.

The Commissioner and all parties notified of the application have a right of audience before the court.

The court may order the information be provided to the court and review the information to determine whether:

- # it should be provided to the Commissioner
- # it is subject to legal professional privilege
- # it is contained in a tax advice document and, if so, whether it must be disclosed under s [20E](#), [20F](#) or [20G](#) (which deal largely with disclosure of attachments to tax advice documents and tax contextual information).

The District Court may order a person to produce all or a part of the information at issue to the Commissioner, if and to the extent the court is satisfied:

- # no legal professional privilege applies, and
- # the information is likely to be relevant for a purpose relating to the administration or enforcement of a revenue law, or a matter arising from (or connected with) a function lawfully conferred on the Commissioner.

A person who is ordered to produce information to the Commissioner that is not kept in a document must make necessary arrangements to ensure the information can be viewed and copied.

Section [17H](#) is paramount and applies despite any enactment or rule of law that may oblige a person to keep information secret, or not to disclose information, or not to perform an obligation. Compliance with a court order under s [17H](#) is not a breach of the enactment, rule or obligation.

A person is not excused from having to comply with s [17H](#) on the ground that:

- # providing the information could or might prove a breach of a tax obligation or subject the person to a fine, penalty, or conviction, or
- # the person could claim another privilege in relation to the provision of the information in proceedings in a court.

A person who fails to comply with the terms of a court order under s [17H](#) commits an offence (s [143G](#) and [114-270](#)).

Commissioner's inquiry

Under s [17I](#), the Commissioner is authorised to notify a person that they must:

- # attend and provide information, or
- # produce documents in their possession or control which either contain the information or are likely to contain it.

These powers are exercisable for the purpose of obtaining information:

- # in relation to a person's tax liability, or
- # that is required for the purposes of the administration or enforcement of an IR Act, or in carrying out any other lawful function of the Commissioner.

The Commissioner may require any person to attend and give evidence on oath, orally or otherwise. An authorised IR officer may administer an oath.

It is a criminal offence to refuse or wilfully neglect to appear, to take an oath as a witness, to answer any question touching upon the subject matter of the inquiry or to produce documents (s [143F](#) and [¶14-275](#)).

The person summoned or examined by the Commissioner cannot be excused from answering questions on the ground that the answers may be incriminating. However, any answer given is inadmissible in criminal proceedings except when those proceedings are for perjury. A person who is summoned is entitled to receive a reasonable amount on account of travelling expenses and loss of time (s [17K](#)).

District Court inquiry

The Commissioner may apply to a District Court judge requesting that an inquiry be held for the purpose of obtaining information relevant to a person's tax liabilities or for the purposes of the administration or enforcement of the IR Acts or for carrying out any other lawful function of the Commissioner (s [17J](#)).

At the inquiry the judge has the same jurisdiction and authority in relation to the summoning and examination of a person that the judge would have in respect of a witness in a civil action in the judge's ordinary jurisdiction. The person who is summoned and examined has, subject to the IR Acts, all such rights and liabilities as they would have if they were a witness in a civil action.

Sections [17K](#) and [143F](#), discussed above in relation to the Commissioner's inquiry, also apply to a District Court inquiry.

Regulations providing for regular collection of bulk data

Section [17L](#) provides explicitly for regulations to be made allowing the Commissioner to collect, on a continuing and regular basis, bulk information in the form of datasets if it is considered necessary or relevant for a purpose relating to the administration or enforcement of a matter arising from or connected with a function lawfully conferred on the Commissioner.

Certain safeguards are included to protect the privacy of taxpayers, such as requiring the Minister of Revenue be satisfied that the regulations are made for relevant purposes, the information collected is necessary for revenue purposes and that the regulations will not unreasonably impinge on the privacy of individuals.

On 14 November 2022, an Order in Council enacted the [Tax Administration \(Regular Collection of Bulk Data\) Regulations 2022](#) authorising the collection of merchant sales information from payment service providers under s [17L](#). The purpose of collecting the bulk data is it to enable IR to ensure that business taxpayers comply with their tax obligations, by identifying those who may not be paying the correct amount of tax (that is to strengthen the integrity of the tax system), enable IR to offer improved services and support through more focused education and marketing initiatives, and focus the compliance resources.

Commissioner's use of information

Section [17M](#) sets out how IR can use information collected from or in relation to taxpayers. Notwithstanding any other Act, nothing prevents the Commissioner from:

- # using or re-using information obtained under the TAA for the purposes of carrying into effect any IR Act, or carrying out or supporting a function lawfully conferred on the Commissioner, or
- # using or re-using information obtained under an IR Act for the purpose of carrying into effect the provisions of the TAA or carrying out or supporting a function lawfully conferred on the Commissioner.

Use of information by the Commissioner includes use in a permitted disclosure ([¶1-604](#)).

Commissioner's practice

Standard practice statement [SPS 12/01](#), "Recording Inland Revenue interviews" outlines IR practice when electronically recording an interview with a taxpayer and applies from 19 April 2012. Operational statement [OS 25/05](#) "Section 17B notices" sets out the procedures the Commissioner follows when issuing notices under s [17B](#) and applies from 26 June 2025. [OS 25/05](#) replaces [OS 13/02](#).

SPS 12/01

[SPS 12/01](#) sets out the Commissioner's practice when electronically recording an interview with a taxpayer. The statement notes that when an interviewee is attending an interview voluntarily, the interview will be recorded only with the consent and co-operation of the interviewee. However, all interviews carried out under (now) s [17I](#) of the TAA must be recorded. The interviewee's consent is not required for these interviews. Attendance at an inquiry by the Commissioner under s [17I](#) is compulsory.

OS 25/05

In addition to other things, [OS 25/05](#) also comments on:

- # requests for significant amounts of documentation
- # the effect of legal professional privilege
- # the right to claim non-disclosure for tax advice documents ([¶1-600](#))
- # requests relating to advice and other work papers prepared by accountants
- # requests to persons other than the taxpayer
- # requests for certain information from tax agents, and
- # non-compliance with a s [17B](#) notice.

Non-compliance with the information request notice will result in IR invoking the statutory remedies to compel taxpayer cooperation. For example, the Commissioner may seek a court order under s [17H\(1\)](#) that the information be provided.

Generally, an offence would be committed should there be any failure to comply with the request. A defence is recognised by s [143A\(2\)](#) when the recipient of the notice is able to prove that the information is not within the knowledge, possession or control of the person. Another exception is legal professional privilege ([¶1-595](#)).

Note that the Court of Appeal has held that the terms of an operational statement issued by the Commissioner for the guidance of taxpayers does not amount to a limitation on the scope of the Commissioner's particularly broad statutory power to issue (now) s [17B](#) notices. In *Chatfield & Co Ltd v C of IR* ([2017](#)) [28 NZTC ¶23-015](#), the Court of Appeal confirmed that [OS 13/02](#) is no more than a comprehensive and correct explanation of the nature and extent of the Commissioner's statutory power to demand information and the circumstances in which the Commissioner proposes to exercise that power. The only limitation on the Commissioner's power is found in s [17B](#) itself.

The information-gathering power is very wide, but it does not mean that the Commissioner's powers cannot be impugned. Any notice given in exercise of the power must in its terms conform to the statutory limitations if it is to be valid. See *FC of T v The Australia and New Zealand Banking Group Ltd* [79 ATC 4039](#). Section [17B](#) must be utilised in conformity with the purposes set out; it cannot be used for an improper purpose.

See *Schwass and Robertson v Mackay* (1983) 6 NZTC 61,641. In exercising the power under s 17B, it is likely that the courts will say that the Commissioner or the Commissioner's officers must act fairly (the courts have said this at least in relation to the pre-assessment phase). However, the Commissioner is not required to identify particular taxpayers when requesting information under s 17B. The Commissioner is entitled to request information concerning a class of unidentified potential taxpayers.

Abuse of powers

The Commissioner has a statutory responsibility to identify persons who are not returning taxable income and paying tax. The legislation does not require that the information obtained must be relevant to the tax liability of some specific person or persons whose tax liability is under investigation. In *New Zealand Stock Exchange v C of IR*; *The National Bank of New Zealand Ltd v C of IR* (1991) 13 NZTC 8,147, the Privy Council commented that if the particulars sought went beyond what was required for the purposes of enabling the Commissioner to carry out the Commissioner's statutory functions, to the extent that they were unduly oppressive or burdensome, the court would be entitled to intervene. But a court would intervene only if it was satisfied the Commissioner had exceeded or abused their powers. In *Green v Housden* (1993) 15 NZTC 10,053, the Court of Appeal held that, in the circumstances, a request by IR under s 17 of the Inland Revenue Department Act 1974 (now s 17B of the TAA) to the taxpayer's professional advisers for the production of books and documents was unreasonable and an abuse of the Commissioner's powers. However, in *Singh v C of IR* (1996) 17 NZTC 12,471, the High Court noted that s 17 of the Inland Revenue Department Act implicitly abrogates the right to refuse to answer questions tending to incriminate. The taxpayer's failure to provide information, books and documents as requested was a breach of that section.

Limitation of powers under ss 16 and 17

Although advance notice of an inspection is not required, there are some limitations on the rights of access and inspection. An officer must be authorised by the Commissioner. If the officer does not carry a warrant giving them the required authority to inspect, it appears that access can validly be refused. Access to private dwellings is expressly limited to where the officer has the consent of the occupier or a warrant has been issued under s 17D of the TAA. The provisions do not provide for entry by force. A reasonable request that legal advice be obtained before complying with the Commissioner's request must be allowed. The taxpayer has only to produce those documents which the Commissioner, acting reasonably and having properly considered the question, deems necessary or relevant to the inquiry. Also, the subject of a search must be allowed a reasonable and legitimate opportunity to approach the court for a relief from compliance for the request of access. There is no general power for the Commissioner to raid a taxpayer's premises and remove anything the Commissioner chooses. Although the Commissioner has a right to remove documents, this right extends only to documents that have been produced by the taxpayer. The Commissioner's more likely practice is to use the courts to impose sanctions (fines) rather than the seizure of material by force.

Additional provisions under the TAA

In addition to the powers discussed above, there are further sections in the TAA that have the effect of enabling the Commissioner to obtain information. For example, under s 44 the Commissioner may require a special return of income from such persons as non-resident traders or persons the Commissioner believes are about to depart from New Zealand or have ceased to carry on a business. Under s 58, the Commissioner may require bodies such as charitable organisations to produce records showing the source and application of their funds.

Law: TAA ss 3(1) ("document", "large multinational group"), 16, 16B, 16C, 17-17M, 44, 58, 143F, 143G, 227F

Last reviewed on 31 December 2025

Legal professional privilege [¶1-595]

[¶1-595]

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A taxpayer can decline to comply with an IR request and, consequently, certain information or documents will be privileged from disclosure. There are 2 kinds of legal professional privilege. These are solicitor–client and litigation privilege.

Solicitor–client

Solicitor–client privilege, which is enacted by s 20 of the TAA, covers the position of confidential information passing between a legal practitioner (as defined by s 20(7) and the Lawyers and Conveyancers Act 2006) in their professional capacity and another legal practitioner in that capacity or a legal practitioner and a client. Certain information or documents are privileged from disclosure when they are made or brought into existence for the dominant purpose of obtaining or giving legal advice or assistance. Communication does not necessarily have to pass directly between the persons referred to. Privilege can still apply if communication passes through an agent of any of the relevant persons.

There are exceptions to privilege. Privilege does not apply when the communication was brought into existence for the purpose of committing some illegal or wrongful act. However, privilege will not be waived on the Commissioner's suspicion of fraud. See Case W17 (2003) 21 NZTC 11,172. No protection from disclosure is conferred on a solicitor's trust account records and such records of client investment income that the solicitor may hold. See *Allen Allen & Hemsley v FC of T* 89 ATC 4294.

The right to claim legal professional privilege is not a conclusive reason for withholding information; rather, it is one that may be outweighed by other considerations which make it desirable in the public interest to make the information available. See s 9(2)(h) of the Official Information Act 1982.

Example:

In-house solicitors holding current practising certificates are entitled to claim legal professional privilege so long as they are acting as lawyers and not in some other capacity such as a specialist adviser or executive. See *Miller v C of IR*; *McDougall v C of IR* (No 1) (1997) 18 NZTC 13,001.

Also the Privy Council decision in *B v Auckland District Law Society* (2003) 21 NZTC 18,221. In this case, the court examined the issues of legal professional privilege and litigation privilege in the context s 101 of the Law Practitioners Act. Briefly, the court held that s 101(3)(d) of the Act did not expressly exclude legal professional privilege. Also, limited waiver of privilege was possible. Note that the Law Practitioners Act was repealed and replaced by the Lawyers and Conveyancers Act.

In *C and Multiple Parties v C of IR* (2005) 22 NZTC 19,178, the High Court held that evidence given by a witness referring to legal advice that a taxpayer had obtained led to an implied waiver of legal professional privilege.

In Case T32 (1997) 18 NZTC 8,221, the TRA held that the opinions and reports from legal staff employed at IR constituted confidential communications between a client and a client's legal adviser. Their dominant purpose was the giving of legal advice, and they were not created as part of an executive function. The role of the writer of an opinion must be considered, not the consequence of the opinion.

In *Martinovich v C of IR* (2014) 26 NZTC ¶21-077, the High Court held that the common law on solicitor–client privilege was applicable to the Commissioner. The report in question in that case was held to be legal advice provided by an in-house lawyer, not an executive decision under delegated authority, and was not discoverable. A similar result was reached in *Accountants First Ltd v C of IR* (2014) 26 NZTC ¶21-081.

Litigation privilege

Litigation privilege arises when a communication is made between a solicitor and a third party (whether made directly or through an agent) or a client and a third party, and that communication relates to existing or contemplated litigation. The privilege protects the process of gathering evidence for lawyers acting for a party in civil or criminal litigation, or a party threatened with such litigation.

Although s 20 of the TAA appears to relate only to solicitor–client privilege (and to codify some aspects of the existing common law in respect of solicitor–client privilege), it is unclear whether it removes litigation privilege as well. In *C of IR v West-Walker* [1954] NZLR 191, the court stated that privilege would stand even in the face of express statutory provisions. The tacit acceptance of litigation privilege has since been acknowledged by the courts. However, in order for a claim of litigation privilege to be successful, it must be shown that the communication relates to a dominant purpose of conducting or advising on actual or reasonably anticipated litigation.

Example:

Interview notes which recorded interviews between a bank and its auditors were not subject to litigation privilege because they were not prepared for the dominant purpose of defending the bank. Although the bank's solicitors had, as one of their purposes, the gathering of evidence for a prosecution, this was not a dominant purpose. The presence of a lawyer at the interview did not in itself confer privilege on the interview notes, particularly when they were not the lawyer's notes. See *Dinsdale v C of IR* (1998) 18 NZTC 13,583 (CA).

Law: TAA s 20

Last reviewed on 31 December 2025

Privilege for tax advisors [¶1-600]

[¶1-600]

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The concept of solicitor–client privilege includes certain confidential communications between a tax advisor and a client (generally referred to as a “tax advice document”). Under the common law, accountants enjoyed no similar protection to solicitor–client privilege. However, tax advice documents are afforded protection if they meet strict statutory requirements. A document is eligible to be a tax advice document if the following criteria are satisfied:

- # it is confidential, and
- # it is created for the main purpose of instructing a tax advisor to act for a person by giving advice to the person about the operation and effect of tax laws, or
- # it is created by a tax advisor or, if the tax advisor is in public practice, an employee of the tax advisor’s firm, for the main purpose of recording research and analysis that is performed for the main purpose of enabling the tax advisor to give advice about the operation and effect of tax laws, or
- # it is created by a tax advisor or, if the tax advisor is in public practice, an employee of the tax advisor’s firm, for the main purpose of giving tax advice or recording advice given about the operation and effect of tax laws.

A document that is created for the purposes of committing, promoting or assisting the committing of an illegal or wrongful act is excluded from the privilege for tax advisors.

A tax advisor must be a natural person who is subject to a professional code of conduct in giving tax advice and is subject to a disciplinary process that enforces compliance with the code of conduct. The person must also be a member of an “approved advisor group”. An “approved advisor group” is a group approved by the Commissioner that includes natural persons who:

- # have a significant function of giving advice on the operation and effect of tax laws
- # are subject to a professional code of conduct in giving the advice, and
- # are subject to a disciplinary process that enforces compliance with that code of conduct.

The following organisations have received advisor group status to date: The New Zealand Institute of Chartered Accountants, Accountants and Tax Agents Institute of New Zealand, CPA Australia and Chartered Accountants Australia and New Zealand. Therefore, tax advice given by a member of any of these Institutes may qualify for privilege.

In *Blakeley v C of IR* (2008) 23 NZTC 21,865, the High Court commented that the protection afforded by s 20B of the TAA is much more confined than legal professional privilege (¶1-595) both as to the information protected and the conditions attaching to its application. Unlike legal professional privilege, privilege for a tax advice document is not a response to public interest considerations. Instead, the privilege protects defined parts of a limited category of written communications. The High Court also held that a waiver of privilege could not arise under ss 20B–20G given that tax advice documents were not automatically protected from disclosure.

Claim for privilege

The statutory privilege afforded under s 20B does not affect the common law legal privilege. Privilege for a tax advice document must be claimed (form IR 519) and include a brief description of the form and contents of the document, the name of the tax advisor for whom the document was intended and the date that the document was created. If privilege is being claimed in relation to a document created by a tax advisor or an employee of a tax advisor’s firm, the claim for privilege must include a brief description of the document, the name of the tax advisor giving the tax advice in relation to which the document was created, the approved advisor group to which the tax advisor belonged when the document was created, the legislative authority and the type of revenue that was the subject of the tax advisor’s advice and the date on which the document

was created. If the privilege is claimed by a tax advisor acting on behalf of a person, the claim must include notification by the tax advisor of their authority to act on behalf of the client in the matter of privilege.

The privilege extends to an information request made under a discovery obligation for a challenge, unless:

- # a court or TRA has not held a case management conference or directions hearing, or directed that no such hearing is to be held, and
- # the issues raised by the challenge are not substantially similar to the issues in another challenge before the court or TRA at that date, which has not had a case management conference or directions hearing, or given the direction that no case management conference or directions hearing will be held.

A discovery obligation is defined as an order of a court or TRA, or notice of discovery in proceedings before a court or TRA, requiring disclosure of information to the Commissioner in relation to proceedings before the court or TRA.

Time limits

The claim for privilege must be made within a certain time. The time limits are summarised below:

- # for an information request made under s [17](#) or under ss [17](#) and [17C](#) of the TAA ([¶1-590](#)), on the day the right of inspection or the right of removal of the document is exercised by the Commissioner or by the officer of IR or by a later date agreed with the Commissioner
- # for an information request made under s [17B](#) or [17GB](#) ([¶1-590](#)), by the date given in the request or the date that is 28 days after the date of the request, whichever is the later
- # for an information request made under s [17H](#), [17J](#) or [17K](#) ([¶1-590](#)), by the date on which the court requires the information to be produced
- # for an information request made under s [17I](#) ([¶1-590](#)), by the date on which the Commissioner requires the information to be produced, and
- # for an information request made under a discovery obligation, by the date by which the discovery obligation requires the disclosure of information.

Treatment of document

A document that is included in a request for information and that may possibly be subject to privilege as a tax advice document must be treated in a particular way. First, the document must be treated as being a tax advice document from the time of the request for, or discovery obligation for disclosure of, information until the time by which a claim for privilege must be made (see above) or until the time at which the Commissioner is notified that privilege will not be claimed, whichever is the earlier.

If privilege is asserted, the document must be treated as a tax advice document from the time of the claim until:

- # the District Court, the High Court or TRA rules that the document is not a tax advice document
- # the person notifies the Commissioner that the document is not eligible to be a tax advice document for the person
- # the person notifies the Commissioner that they withdraw the claim for privilege, or
- # an approved advisor group informs the Commissioner that a tax advisor is not or was not a member of the approved advisor group at a time at which the tax advisor is claimed to be a member of the group and at which the tax advisor would be required to be a member of the group for the document to be a tax advice document.

If a document must be treated as a tax advice document, a copy of the document must be held in a secure place by the tax advisor for the periods of time referred to above.

Attachments

A document may include an attachment for which privilege cannot be claimed. Any person who receives an information request to disclose information in relation to another person must provide a copy of the attachment. This also applies for parts of an attachment.

Information excluded from privilege

Even if a tax advice document is privileged, certain information included in the document must still be disclosed in a statutory declaration in a prescribed form (form [IR 520](#)). This type of information is referred to as “tax contextual information” and, in broad terms, consists of:

- # a fact or an assumption relating to a transaction that has occurred or is postulated by the person creating the tax advice document
- # a description of a step involved in the performance of a transaction that has occurred or is postulated by the person creating the tax advice document
- # non-tax advice (eg valuation and investment advice)
- # advice that concerns the tax implications of the Commissioner collecting debts owing to the Commissioner
- # a fact or an assumption relating to advice on non-tax matters or collecting outstanding debts owed to the Commissioner
- # a fact or an assumption from, or relating to, the preparation of the person's financial statements, and
- # a fact or an assumption from, or relating to, a document containing information that must be provided under an IR Act.

The statutory declaration for the disclosure of tax contextual information must be made by a tax advisor who is not barred from making this type of statutory declaration (see below). Also, the declaration must state that the tax advisor is authorised to act on the relevant person's behalf for the purposes of claiming privilege for a tax advice document.

Excluded tax advisors

A tax advisor can be barred from making a statutory declaration for the disclosure of tax contextual information if the advisor is convicted of an offence for:

- # making a false statement or declaration under s 111 of the Crimes Act 1961
- # failing to provide tax information under s [143\(1\)\(b\)](#) of the TAA
- # knowingly failing to provide tax information or knowingly providing altered, false, incomplete or misleading tax information under s [143A\(1\)\(b\)](#) or [\(c\)](#)
- # knowingly failing to provide tax information or knowingly providing altered, false, incomplete or misleading tax information, with the intention to evade income tax or to obtain a refund under s [143B\(1\)\(b\)](#) or [\(c\)](#), or
- # obstruction under s [143H](#).

Time limit

Tax contextual information must be disclosed within a certain time. The time limits are summarised below:

- # for an information request made under s [17](#) or under ss [17](#) and [17C](#) of the TAA, by the date that is determined by the Commissioner
- # for an information request made under s [17B](#) or [17GB](#) and if the request is accompanied or followed by a request for the disclosure of a description of tax contextual information, by the date given by the Commissioner in the requirement to disclose the description, or 28 days after the date of the requirement to disclose the description, whichever is the later
- # for an information request made under s [17H](#), [17J](#) or [17K](#), by the date that the court requires the information to be produced
- # for an information request made under s [17I](#), by the date that the Commissioner requires the information to be produced, and

for an information request made under a discovery obligation, by the date that the discovery obligation requires disclosure of information.

Challenge

The Commissioner or the person claiming privilege may apply to a District Court Judge, or to the court or TRA hearing the proceedings, for an order determining whether:

- # a document is a tax advice document for the person
- # information provided by the person is tax contextual information in relation to the document, and
- # the person should provide a more detailed or better description of tax contextual information in relation to the document.

Operational statement

Operational statement [OS 18/02](#), “Non-disclosure right for tax advice documents” sets out the process the Commissioner will follow when issuing a notice to a taxpayer, tax advisor and/or a third party requiring the disclosure of documents, which may contain tax advice and may be subject to the right to claim non-disclosure under ss [20B](#) to [20G](#). It should be read in conjunction with operational statement [OS 25/05](#), “Section 17B notices” ([¶1-590](#)). [OS 18/02](#) replaced [SPS 05/07](#).

Operational statement [OS 18/02](#) applies to information demands or discovery obligations issued on or after 1 July 2018 and tax advisors who may or may not be chartered accountants, but are members of an approved advisory group.

Operational statement [OS 25/04](#), “The Commissioner of Inland Revenue’s search powers” sets out the procedures the Commissioner will follow when inspecting any documents, property, process or matter considered necessary or relevant to put into effect the collection of all taxes, duties and/or other functions imposed by the IR Acts and the Search and Surveillance Act 2012 (ss 16, 16B, 17, 17C and 17D of the TAA).

Law: TAA ss [3\(1\)](#) (“[tax advice document](#)”), [20B–20G](#)

Last reviewed on 31 December 2025

Confidentiality of sensitive revenue information [¶1-604]

[¶1-604]

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Introduction

The law authorising the Commissioner to collect, inspect and use information relating to the affairs of taxpayers is contained in subpart 3A and Sch 7 of the TAA. Broadly, the structure of subpart 3A is:

- # purposes, principles and key terms of the subpart: ss 16–16C (¶1-590)
- # collection and use of information by Commissioner: ss 17–17M (¶1-590)
- # confidentiality of sensitive revenue information: ss 18 and 18B
- # permitted disclosures of sensitive revenue information: ss 18C–18J.

The Commissioner's power to collect and use information relating to taxpayers is discussed at ¶1-590.

The main confidentiality rules binding IR officers now appear in ss 18–18J, with more detailed provisions (concerning exceptions to secrecy) located in Sch 7.

The redrafted confidentiality rules are discussed in the commentary that follows. The relevant provisions are:

- # s 18D (disclosure carrying into effect a revenue law) — ¶1-606
- # s 18E (information-sharing arrangements) — ¶1-609
- # s 18F (regulations for sharing information for public services purpose) — ¶1-615
- # s 18G (disclosure to a person or their representative) — ¶1-618
- # s 18H (disclosure to other agencies) — ¶1-622–¶1-634
- # s 18I (disclosure for international purposes) — ¶1-636
- # s 18J (disclosure for risk of harm purposes) — ¶1-638
- # s 18K (disclosure when funds of gift-exempt body are misapplied) — ¶1-640.

For a discussion of the provisions applying before 18 March 2019, see CCH, *2019 New Zealand Master Tax Guide*.

Confidentiality rule

Information is critical to IR's ability to deliver services. Much of that information is provided by taxpayers. This may be information about themselves (eg in an individual or business income tax return) or about other taxpayers (eg employee income information). For taxpayers to be comfortable providing their information, they need to feel the information requested is reasonable and is treated appropriately by IR. This assurance is given by the confidentiality rule, often referred to as the "tax secrecy" rule, set out in s 18 of the TAA (previously in former s 81).

As stated above, a key policy change with the redrafted provisions is that s 18 has narrowed the confidentiality rule from its previous coverage of all matters relating to the IR Acts, to more clearly target information about taxpayers by referring to "sensitive revenue information" (see below).

A revenue officer must keep all sensitive revenue information confidential and must not disclose it unless the disclosure is a permitted disclosure under ss 18D–18J: s 18(1). Permitted disclosures are exceptions to the confidentiality rule in s 18: s 18C.

However, note that despite the permitted disclosures, the Commissioner is not required to disclose any item of revenue information if its release would adversely affect the integrity of the tax system or would prejudice the maintenance of the law: s 18(3).

A person, other than a revenue officer, must keep sensitive revenue information confidential unless the disclosure is:

- # a permitted disclosure

- # authorised by the Commissioner for a purpose, or
- # permitted under the agreement by which the information is accessed or obtained: s [18\(2\)](#).

A number of offences apply to those revenue officers or other persons breaching the confidentiality rule (ss [143C–143EB](#) and [¶14-300](#)).

Key terms

“Revenue information” is defined as information that is acquired, obtained, accessed, received by, disclosed to, or held by the Commissioner under or for the purposes of a revenue law or under an information-sharing agreement: s [16C\(2\)](#).

“Sensitive revenue information” is defined in s [16C\(3\)](#) as meaning:

- # revenue information that relates to the affairs of a person or entity—
- # that identifies, or is reasonably capable of being used to identify, the person or entity, whether directly or indirectly
- # that might reasonably be regarded as private, commercially sensitive, or otherwise confidential, or
- # the release of which could result in loss, harm or prejudice to a person to whom or to which it relates
- # but does not include aggregate or statistical data that may contain information about the person or entity to the extent to which the information does not meet the requirements of the above.

Amendments made in March 2022 narrowed the interpretation of the definitions of “[revenue information](#)” and “[sensitive revenue information](#)” as the previously broad definition could have conceptually meant all information held by the Commissioner (including non-tax-related information) needed to be treated as sensitive revenue information. This would have negatively affected the Commissioner’s ability to release certain information to other government agencies. The amendment is back dated to align with the re-write of the subpart and is effective from 18 March 2019.

A “revenue officer” is a person employed in or seconded to IR and any person formerly so employed or seconded. The definition also includes a person employed by the government of an overseas country or territory and who is seconded to IR.

Confidentiality declaration

Revenue officers must complete a declaration of confidentiality before they begin their official duties. The declaration may be made before the Commissioner, another revenue officer or a person authorised to take statutory declarations.

Similarly, other persons who acquire, obtain or have access to sensitive revenue information must complete a certificate of confidentiality prescribed by the Commissioner. The certificate must be kept by the person, entity or agency that employs or engages the services of the person holding the information in a form acceptable to the Commissioner.

Revenue officers and other persons bound by undertakings given under earlier confidentiality provisions corresponding to s [18B](#) are treated as having made a declaration, or given a certificate, under that section.

Law: TAA ss [16B\(4\)](#), [16C](#), [18](#), [18B](#), [18C](#)

Last reviewed on 31 December 2025

Permitted disclosures made in carrying into effect revenue laws [¶1-606]

[¶1-606]

[Click to open document in a browser](#)

Carrying into effect a revenue law

Section [18D\(1\)](#) of the TAA permits the disclosure of “sensitive revenue information” ([¶1-604](#)) if the disclosure is made for the purpose of carrying into effect a revenue law as set out in Sch [7 pt A](#).

The categories included in Sch [7 pt A](#) can be summarised as follows:

Tax advisors, tax agents and representatives — Sch 7 cl 3

The Commissioner may supply information to an approved advisor group about an action or omission by a person who is, or purports to be, a member of that group and that the Commissioner considers to be a breach of a member’s responsibilities under the privilege rules for tax advisers ([¶1-600](#)).

The Commissioner may also supply information about a person to an association or group if the person is, or purports to be, a member of the association or group as a person in the business of preparing tax returns for other people and the information is, or would be, relevant to the Commissioner’s decision to remove the person from, or refuse to add the person to, the list of tax agents. This applies when the members of the association or group are subject to a professional code of conduct and a disciplinary process to enforce that code. From 23 March 2020, this clause is also extended to representatives (s [124D](#)), or people purporting to be representatives.

Further, operational statement 25/03 “Authority to Act for Tax Agents, Representatives and Nominated Persons: Access to a Client’s Inland Revenue Information” prescribes how a tax agent, or a representative, can obtain the authority to act from their clients and the process for a person to get another person to act for them in relation to their tax affairs and/or their social policy entitlements and obligations. Referencing that such people will be collectively referred to as “tax agents”, “representatives”, “nominated persons” or “agents” as the context may require. [OS 25/03](#) replaces [OS 22/03](#).

GST registration status — Sch 7 cl 3B

The Commissioner may supply information to an operator of an electronic marketplace in respect of the GST registration status of a person for the purpose of that operator determining whether they are required to make a deduction for a flat-rate credit (under s [20\(3\)\(de\)](#)) be passed on to an underlying supplier of listed services in terms of that section.

Misappropriation of money — Sch 7 cl 4

The Commissioner may communicate such information as:

- # is necessary for the purpose of any prosecution under the laws of New Zealand or of any other country, or
- # the Commissioner considers desirable for the purpose of any investigation into any suspected offence

being a prosecution or investigation in relation to any actual or attempted misappropriation by any person in respect of money:

- # payable by IR to another person, or
- # entrusted to that person for payment to IR.

However, no such communication can be made in respect of any person to whom such money was payable or entrusted unless that person or that person's legal representative consents to the communication. In the case of a company, an authorised officer must consent to the communication.

Offences under the Crimes Act — Sch 7, cl 5

The Commissioner may divulge or communicate any matter or thing or produce in any court any document the Commissioner considers desirable for the purposes of any investigation into any suspected offence or prosecution under the Crimes Act 1961 in relation to any tax imposed or payable or any refund made or claimed under the GST Act.

Civil recovery action — Sch 7 cl 6

The Commissioner may communicate to any authorised person (as defined in s 98(1) of the Criminal Proceeds (Recovery) Act 2009) any information required for the purpose of establishing whether a prima facie case exists for taking civil recovery action.

Offences under revenue laws — Sch 7 cl 7

The Commissioner may:

- # divulge or communicate any matter or thing to the Director of the Serious Fraud Office, or
- # produce in any court any document

that the Commissioner considers desirable for the purposes of any investigation or prosecution in relation to any suspected offence against the IR Acts.

Child support: arrival and departure information — Sch 7 cl 8

The Commissioner may communicate to a member, employer or agent of the New Zealand Customs Service authorised to receive it, information that relates to a person liable to pay financial support under the Child Support Act 1991 and that the Commissioner considers is not undesirable to disclose and is reasonably necessary for the purposes of ss [307](#) and [313](#) of the Customs and Excise Act 2018 (ie to assist the Commissioner in locating persons in serious default of child support).

Student loans — Sch 7 cl 9

Nothing prevents the Commissioner from disclosing to another authorised person any information for the purpose of verifying any declaration made by an applicant for a student loan as to any unpaid amounts owed by the applicant where the declaration is a condition of obtaining the loan. For these purposes, an “authorised person” means:

- # the Commissioner, or revenue officer authorised by the Commissioner
- # the chief executive of the Ministry of Social Development, or an officer of the Ministry authorised by the chief executive
- # an employee of a tertiary institution authorised by the chief executive
- # the Secretary of Education, or an officer of the Ministry of Education authorised by the Secretary, or
- # the loan manager, or an employee of the loan manager authorised by the chief executive.

The Commissioner may provide certain information on student loan borrowers to the chief executive of the New Zealand Customs Service to verify their status and to locate borrowers who are in serious default on their student loans when they enter or leave New Zealand ([18-095](#)).

The Commissioner may also provide information to a contact person for a borrower if required to enable the contact person to provide current address details for the borrower.

The Commissioner may provide information on borrowers to the Australian Taxation Office to verify details of overseas-based borrowers and administer the student loan scheme for those borrowers ([18-097](#)).

Data processing — Sch 7 cl 10

The Commissioner may communicate to any officer, employee or agent of any of the State Services any information relating to the processing of data or any other matter necessary for the effective administration of the IR Acts.

Services necessary for effective administration of revenue laws — Sch 7 cl 11

The Commissioner may provide necessary information to persons contracted to perform services, eg consultants.

Residential land withholding tax — Sch 7 cl 12

The Commissioner may provide to a relevant professional body appropriate details of a failure by one of its members to satisfy, as agent, a person's liability to pay Resident Land Withholding Tax (RLWT) in accordance with the RLWT rules.

Publishing certain items — Sch 7 cl 13

The confidentiality rule in s [18](#) does not prevent the Commissioner from publishing a product ruling.

Publication of information relating to unclaimed money — Sch 7 cl 13C

The Commissioner may publish information relating to unclaimed money held by the Commissioner under the Unclaimed Money Act 1971 that is intended to enable the owner of the unclaimed money to claim it.

Carrying out a function conferred on the Commissioner

There is a permitted disclosure under s [18D\(2\)](#) when disclosure of sensitive revenue information is made in carrying out or supporting a function lawfully conferred on the Commissioner to:

- # administer the tax system
- # implement the tax system, or
- # improve, research or reform the tax system, and

the Commissioner considers the disclosure is reasonable for these purposes, having regard to:

- # the Commissioner's obligation at all times to use best endeavours to protect the integrity of the tax system
- # the importance of promoting compliance with the law, especially voluntary compliance
- # the impact of the disclosure, personally or commercially or in some other way
- # the resources available to the Commissioner, and
- # the public availability of the information.

Standard practice statement [SPS 11/07](#), "Application of discretion in s 81(1B) of the Tax Administration Act 1994 — the secrecy provisions" provides guidance to IR staff as to when the former s 81(1B) (now s [18D\(2\)](#)), might result in IR disclosing such information, and outlines the steps IR will take before making that disclosure to ensure maximum consistency. The statement also briefly examines how the provision interacts with the other exceptions to the secrecy provisions.

Note: IR released a draft standard practice statement, [ED0210](#), "Application of discretion in section [18D\(2\)](#) of the Tax Administration Act 1994 — an exception to confidentiality", which sets out the Commissioner's practice regarding the confidentiality rule in s [18D\(2\)](#), previously contained in former s 81(1B) of the TAA. The draft statement updates the earlier statement for the legislative change and replaces [SPS 11/07](#).

Disclosures in co-located environments

Under s [18D\(3\)](#), a permitted disclosure exists when a revenue officer discloses sensitive revenue information:

- # to another revenue officer, or a person who is not a revenue officer but who acquires revenue information and who has completed a certificate of confidentiality
- # disclosure is made at a place, and in conditions relating to the confidentiality of information, where revenue officers are expected to perform their duties, and
- # the revenue officer does not intend the person receiving the information to receive it and has taken care that is reasonable in the circumstances to prevent the disclosure.

The objective is to relieve revenue officers (and others) working in close proximity to persons employed by other government agencies from liability for the inadvertent disclosure of taxpayer information. The conditions of the co-location work environment will need to be taken into account in determining what level of care is reasonable.

Disclosures for court proceedings

Sensitive revenue information may be disclosed to a court or tribunal if disclosure is necessary for the purpose of carrying into effect a revenue law: s [18D\(4\)\(a\)](#).

Secondly, the confidentiality rule in s [18](#) does not require a revenue officer to produce a document in a court or tribunal, or disclose to a court or tribunal any matter or thing coming to the officer's notice in the performance of their duties: s [18D\(4\)\(b\)](#).

The question of disclosure in court proceedings may arise in relation to the discovery of documents by the Commissioner under the High Court Rules; see *Westpac Banking Corp Ltd v C of IR*; *ANZ National Bank Ltd v C of IR* ([2008](#)) [23 NZTC 21,896](#) (SC).

The Supreme Court noted that the exception to the Commissioner's obligation of secrecy applies where the Commissioner chooses to use secret tax material to support a case in litigation. However, the secret material must be reasonably necessary for the purposes of the litigation in which the Commissioner proposes its disclosure. If the threshold is met, techniques of editing and redaction should be pursued where that does not impair the utility of the material concerned.

It would seem that disclosure is prohibited in proceedings that do not directly involve IR (*R v Saint-Merat* [1958] NZLR 1147). It would also seem that information that has been requested by an accused in criminal proceedings is privileged if the disclosure is not necessary for carrying out the duties of IR (*Daemar v Gilliland* [1979] 2 NZLR 7 and *Burt v Darwin* ([1986](#)) [8 NZTC 5,026](#)).

In *R v Morris* ([2005](#)) [22 NZTC 19,217](#), the first witness for the prosecution was an investigations officer employed by IR. Counsel for the respondent objected to the proposed evidence on the grounds that the officer giving it would infringe the confidentiality rule. The Court of Appeal held that provided that the IR officer's proposed evidence was admissible under the general law, he was not prevented from giving that evidence by the confidentiality rule, because his purpose in giving the evidence was to carry into effect the TAA. In addition, it was irrelevant that in that case the alleged fraud on the Revenue had been charged under the Crimes Act rather than an IR Act.

Litigation against officers

The Court of Appeal has ordered IR to disclose information it was seeking to keep confidential under the secrecy provisions of the Inland Revenue Department Act 1974 (now found in the TAA). In *Knight v Barnett* ([1991](#)) [13 NZTC 8,014](#), the court noted it seemed quite wrong for IR, in litigation against its officers for misconduct and abuse of power, to claim the benefit of secrecy provisions. The Court of Appeal also noted the New Zealand Bill of Rights Act 1990 strengthened this conclusion that, subject to the question of public interest immunity, the Commissioner should comply with the ordinary obligations of a litigant to make discovery of relevant documents. Therefore, it would seem the question of whether disclosure is required will turn on the necessity for the production of the document as defined in s [3\(1\)](#) of the TAA, for the purposes of carrying into effect any of the IR Acts.

Law: TAA ss [16C\(3\)](#), [18D](#), Sch [7 pt A](#)

Last reviewed on 31 December 2025

Permitted disclosures made under information-sharing arrangements [¶1-609]

[¶1-609]

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The confidentiality rule in s 18 does not apply to the disclosure of “sensitive revenue information” (¶1-604), and other information, if the disclosure is made under:

- # an approved information-sharing agreement under s 145 of the Privacy Act 2020 (before 1 December 2020, s 96J of the Privacy Act 1993): s 18E(2)
- # an agreement to share information for public service purposes when disclosure occurs with the consent of the person to whom the information relates: s 18E(3), or
- # regulations authorised by s 18F (¶1-615).

Approved information-sharing agreements

Section 145 of the Privacy Act 2020 (before 1 December 2020, s 96J of the Privacy Act 1993) allows the Governor-General to approve an information-sharing agreement made by Order in Council on the recommendation of a government Minister.

The information-sharing agreement may relate to information that is sensitive revenue information, whether personal or non-personal information. For this purpose, an approved information-sharing agreement may extend a restricted information-sharing provision in an IR Act.

IR has concluded several information-sharing agreements that have been approved by the following Orders in Council:

- # the Privacy (Information Sharing Agreement Between Inland Revenue and Internal Affairs) Order 2018 — which allows Internal Affairs to share information it gathers as part of the passport application process with IR for the purposes of locating overseas-based student loan borrowers and child support liable parents living overseas who are in default of their repayment and contact obligations.
- # the Tax Administration (Information Sharing with Accident Compensation Corporation) Order 2015 — which allows IR to communicate information relating to assessing levies and to assessing eligibility for, and calculating of, earnings-related compensation.
- # the Privacy (Information Sharing Agreement between Inland Revenue and Ministry of Social Development) Order 2017 — which enables the Ministry of Social Development (MSD) and IR to share information for the purposes of assessing eligibility for benefits, enforcing obligations related to benefits, assessing tax obligations and registering new customers or updating customer contact information.
- # the Privacy (Information Sharing Agreement between Inland Revenue and Ministry of Social Development) Amendment Order 2021, which came into force on 8 October 2021, approves amendments to the information sharing agreement between IR and MSD entered into in 2017 (above). The 2021 Order allows the parties to share personal information for use in policy development. Personal information exchanged may not be used for enforcement or any other purpose for which information may be shared under the 2017 order but allows information that is capable of being used for enforcement or other purposes to be used for policy development purposes.
- # from 1 October 2020, the Privacy (Information Sharing Agreement Between Inland Revenue, New Zealand Police, New Zealand Customs Service, and Serious Fraud Office) Order 2020 — which allows IR to share personal information with the participating agencies for the purposes of the prevention, detection, or investigation of, or use as evidence in the prosecution of, a serious crime. This Order revoked the 2014 agreement with the New Zealand Police.

Schedule 7 cl 45 also provides that the Commissioner may exchange information with the MSD for the purpose of giving assistance to the government of a country with which New Zealand has a social security agreement (¶1-633).

Disclosures made with taxpayer's consent

The Commissioner may enter an agreement to share certain information if the agreement:

- # is made for public services purposes
- # relates to the disclosure of sensitive revenue information held about a person or entity
- # specifies appropriate conditions for the security and use of the information, and
- # stipulates a process to ensure the consent is properly obtained and recorded.

In addition, the Privacy Commissioner, after consultation, must agree the disclosure is appropriate, and the person or entity must consent to the disclosure.

“Public service” is defined as a public function or duty imposed on an agency by law or government policy. An “agency” (for the purposes of ss [18E](#) and [18F](#)) is defined in s [138](#) of the Privacy Act 2020 and means a New Zealand private sector agency (non-government agency) or a public sector agency (a department, organisation or local authority).

Provenance inquiry

The Commissioner must undertake a provenance inquiry before proposing a new information-sharing agreement, a new consent agreement or new regulations for public service purposes. The inquiry must assess the likely provenance (origin) of the data it is proposed will be shared. Consideration must also be given to whether conditions are required for security and use of the information.

Note that s [95\(1\)](#) of the Privacy Act requires any person bound by a secrecy obligation imposed under any enactment to supply information or documents sought, or answer questions posed, by the Privacy Commissioner. Compliance with such a request by the Privacy Commissioner is not a breach of the secrecy obligation to which the person is subject.

Law: TAA ss [16C\(3\)](#), [18E](#), Sch [7](#) cl 45

Last reviewed on 31 December 2025

Permitted disclosures under regulations for information-sharing for public services purposes [¶1-615]

[¶1-615]

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Section [18F](#) of the TAA allows regulations to be made by Order in Council authorising revenue information and other information to be shared in the context of providing public services. Section [18F](#) applies when:

- # sharing of the information is intended to improve the government's ability to deliver efficient and effective services or enforce the law
- # the information is more easily or more efficiently obtained from, or verified by, the Commissioner
- # it is not unreasonable or impractical to require the Commissioner to deliver the information
- # the nature of the sharing is proportionate, taking into account the purpose of the proposed sharing
- # the agency or other recipient of the information has adequate protection in place for it, and
- # sharing of the information will not unduly inhibit the future provision of information to the Commissioner.

An Order in Council may be made issuing regulations for the sharing of revenue information that the Commissioner holds with an agency. The regulations may prescribe the types of revenue information to be shared, how it is to be provided, accessed and used, and how it is to be stored, protected or disposed of. The regulations must also provide for monitoring by the Privacy Commissioner and specify whether further disclosure of the information is permitted and whether review requirements are to be stipulated.

As a further safeguard, before recommending that the regulations should be made, the Minister of Revenue must be satisfied that:

- # the regulations are necessary to achieve the criteria listed above
- # the type and quantity of information is no more than is necessary to facilitate the objective of efficiency or law enforcement
- # the privacy of individuals is not unreasonably impinged and adequate privacy safeguards will apply
- # the information-sharing mechanism proposed is the most appropriate one, and
- # there has been a consultative process (with a minimum of 4 weeks consultation period).

The former s 81BA of the TAA contained similar provisions (although those provisions only authorised the Commissioner to disclose information to government agencies, rather than the new wider sharing for public services). An Order in Council made under s 81BA is treated as a regulation made under s [18F](#), to the extent that the order remains in force.

Law: TAA ss [16C\(3\)](#), [18F](#)

Last reviewed on 31 December 2025

Permitted disclosures to persons and their representatives [¶1-618]

[¶1-618]

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The disclosure of sensitive revenue information to a person in relation to whom the information is held (or to that person's representative) is a permitted disclosure and so not subject to the confidentiality requirement in s 18: s 18G. Detailed rules for this form of disclosure appear in Sch 7 pt B.

The categories of disclosure in Sch 7 pt B have been summarised below.

Persons in relation to whom information is held and their representatives — Sch 5 cl 15

The Commissioner may permit copies of, or details of or from, any document or information in the possession of, or obtained by or on behalf of, the Commissioner to be given to the person from whom, or on behalf of whom, or in relation to whom, such document or information is held or was obtained, or the legal personal representative or agent of such person. The Commissioner must be satisfied that the information is readily available in IR and must consider it reasonable and practicable to give the information.

For these purposes, "legal personal representative" means the executor or administrator of a deceased person, or any person who, by court order, has been appointed guardian or manager of the estate of any person or administers such an estate.

See Sch 7, cl 15.

Third-party providers — Sch 7 cl 16

The Commissioner may provide information received from, or in relation to, a third-party provider to the person to whom the information relates in the following situations:

Tax agent

The Commissioner may communicate to a taxpayer who has chosen to have their returns prepared by a tax agent:

- # whether the tax agent is a listed tax agent ([¶12-018](#))
- # any decision of the Commissioner refusing to list the tax agent or removing the tax agent from the list.

Tax pooling intermediary

Where a tax pooling intermediary has made a deposit to a tax pooling account on behalf of a person, the Commissioner may give the details of the deposit to that person.

Representative or nominated person

When a person has another person acting on their behalf as either a representative or nominated person, the Commissioner may communicate to the person:

- # whether approval of the other person's status as a representative is disallowed
- # whether the other person's status as a nominated person is disallowed
- # a decision of the Commissioner refusing to approve, or disallowing, the other person's status.

PAYE intermediary

The Commissioner may communicate the revocation of a PAYE intermediary's approval to an employer for whom the PAYE intermediary is acting.

Approved AIM provider

The Commissioner may communicate the revocation of an approved AIM provider's approval to a person who uses the software provided by that provider.

RWT proxy

The Commissioner may communicate the breach of the requirements to be an RWT proxy to a person for whom the RWT proxy is acting.

Software clients — Sch 7 cl 17

The Commissioner may communicate information relating to a person (the software client) who uses an accepted software package to communicate information to, and receive information from, the Commissioner:

- # to a person, or an employee or agent of a person, who maintains the accepted software package for the software client, and
- # as a consequence of communicating the information to the software client using the accepted software package.

Digital services providers — Sch 7 cl 18

The Commissioner may communicate information about a person to an accepted provider of digital services when the person uses the digital services to communicate with the Commissioner and the disclosure is a consequence of that communication.

Law: TAA ss [16C\(3\)](#), [18G](#), Sch [7](#) pt [B](#)

Last reviewed on 31 December 2025

Permitted disclosures to agencies for certain purposes [¶1-622]

[¶1-622]

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#Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill is proposing a number of amendments that would permit the Commissioner of IR to share certain information for set purposes, including:

- # the Commissioner would be able to disclose certain information to another government agency for a defined purpose, pursuant to a Ministerial agreement signed by the Minister of Finance and the minister responsible for the government agency to which the information is being disclosed
- # to support the collection and enforcement of monetary penalties, the Commissioner would be able to share the last known contact details, including email addresses, of fine defaulters with the Ministry of Justice
- # assist with activities under the Criminal Proceeds (Recovery) Act 2009, where IR had previously disclosed a person's information to the Police under existing rules, IR would be able to provide the Police with updated information to ensure the information remains accurate and up to date.

Section [18H](#) of the TAA removes the restriction on disclosure of sensitive revenue information by the Commissioner when disclosure is made to an agency referred to, and for a purpose specified in, Sch [7 pt C](#) of the TAA. A disclosure made in these circumstances is a permitted disclosure (s [18C](#)).

Part [C](#) has 2 subparts. Subpart 1 (cls [19–39D](#)) deals with disclosures to certain agencies and subpart 2 (cls [41–46B](#)) refers to disclosures under an exchange of information.

Permitted disclosures under an exchange of information allowed under subpart 2 are discussed in the following commentary:

- # The Accident Compensation Corporation — earnings-related payments and levies ([¶1-627](#))
- # The Ministry of Justice — fines defaulter information ([¶1-629](#))
- # The Ministry of Justice or the New Zealand Police — child support exemption ([¶1-631](#))
- # Work and Income — foreign social security agreement ([¶1-633](#))
- # Work and Income — parental leave payments ([¶1-634](#)).

Permitted disclosures to certain agencies allowed under subpart 1 are summarised below.

Statistics New Zealand — Sch 7 cl 20

The Commissioner may communicate sensitive revenue information to the Government Statistician, for official statistics purposes, or research, which the Commissioner considers is not undesirable to disclose, and the disclosure of which is made for the purposes of the Data and Statistics Act 2022.

The Treasury — Sch 7 cl 21

The Commissioner may communicate to an employee of the Treasury any information:

- # the employee is authorised to receive, and
- # the Commissioner considers is not undesirable to disclose and is essential to the preparation of taxation revenue forecasts.

Intelligence and security agencies — Sch 7 cl 22

The Commissioner may allow the Director-General of the New Zealand Security Intelligence Service or the Government Communications Security Bureau (or an authorised employee of those agencies) access to

information specified in a permission given under s 137 or 138 of the Intelligence and Security Act 2017. Broadly, access may be granted if certain criteria based on New Zealand's national security, international relations or economic wellbeing are satisfied.

Government agencies — AML/CFT purposes — Sch 7 cl 23

The Commissioner may disclose to a government agency, or an AML/CFT supervisor, information supplied or obtained under the IT07, the GST Act or the TAA if disclosure is necessary or desirable to ensure compliance with the AML/CFT legislation. An AML/CFT supervisor is defined in s 5 of the Anti-Money Laundering and Countering Financing of Terrorism Act 2009. These persons are the Reserve Bank of New Zealand, the Financial Markets Authority and the Department of Internal Affairs.

Government agencies — Russia sanctions response purposes — Sch 7 cl 23A

The Commissioner may disclose to the Ministry of Foreign Affairs and Trade (or to another government agency) information supplied or obtained under an Act referred to in s 31 of the Russia Sanctions Act 2022 that is necessary or desirable for the purposes of that section about a person or entity for the purpose of enabling the government agency to enforce a sanction.

New Zealand Customs Service — value of imported goods — Sch 7 cl 24

The Commissioner may disclose to the New Zealand Customs Service information for the purpose of assessing the suitability of an arrangement relating to the use of provisional values under the Customs and Excise Act 2018.

Business, Innovation and Employment — New Zealand business number — Sch 7 cl 25

The Commissioner may communicate primary business data to authorised officers of the Ministry of Business, Innovation and Employment for inclusion in the New Zealand Business Number Register. A New Zealand business number is a unique identifier for use by a business in all its dealings with the government. Primary business data includes the business's trading name, address, type of entity, status and other information, including any Australian business number. Information necessary to correct the business register may also be communicated.

Agencies for workplace safety — Sch 7 cl 26

The Commissioner may communicate to an officer or employee of the Ministry of Business, Innovation and Employment, WorkSafe New Zealand, or a designated agency under the Health and Safety at Work Act 2015 (eg a government department or a Crown entity with specialised knowledge) information:

- # the person is authorised to receive, and
- # the Commissioner considers is not undesirable to disclose and is reasonably necessary to enable the performance of the person's duties relating to workplace legislation.

Agencies for charities regulation — Sch 7 cl 27

The Commissioner may communicate to a member, employee or agent of the Charities Registration Board, or the chief executive, any information:

- # the person is authorised to receive, and
- # the Commissioner considers is not undesirable to disclose and is reasonably necessary to enable the performance of the person's duties relating to the exercise of the powers of the Board.

Agencies for foreign trusts regulation — Sch 7 cl 28

The Commissioner may communicate to an officer, employee or agent of the Department of Internal Affairs or the New Zealand Police any information relating to the registration (or absence of registration) for a foreign trust that the person is authorised to receive.

Government agencies — voice recognition analysis — Sch 7 cl 29

The Commissioner may disclose information to an authorised officer or employee of a public sector agency if the information relates to the voice identification of a person that is used to identify that person, it is held and communicated for identity verification purposes and the Minister of Revenue is notified that the information will be communicated to the public sector agency.

Financial Markets Authority — KiwiSaver information — Sch 7 cl 30

The Commissioner may communicate certain information to the Financial Markets Authority (FMA) relating to KiwiSaver schemes or complying superannuation funds and their members, provided the Commissioner considers it not undesirable to disclose the information and the information is reasonably necessary to enable the FMA to perform its duties or functions or exercise its powers.

Land Information New Zealand — Sch 7 cl 31

The Commissioner may communicate information to the chief executive or an authorised employee of Land Information New Zealand relating to the tax statements required under the Land Transfer Act (s [86](#) of the Land Transfer Act 2017).

Registrars of courts — Sch 7 cl 32

Upon request by a Registrar of a court, the Commissioner must supply the name, address and telephone number of the employer of a person who is the subject of an attachment order (s 104A of the Summary Proceedings Act 1957).

Credit reporting agencies — Sch 7 cl 33

The Commissioner may disclose tax debt information for serious cases of non-compliance to credit reporting agencies ([¶1-624](#)).

Agencies for gambling levy — Sch 7 cl 34

The Commissioner may communicate to any employee of the Department of Internal Affairs or the Ministry of Health information that:

- # the employee is authorised to receive, and

the Commissioner considers is not undesirable to disclose and is essential to enable the employee to carry out any duty lawfully conferred on the person relating to the determination of the problem gambling levy rate.

Department of Internal Affairs: offshore betting charges — Sch 7 cl 34A

The Commissioner may communicate information to a person who is an employee of the Department of Internal Affairs that:

the person is authorised by the department to receive, and
the Commissioner considers is not undesirable to disclose and is essential to enable the person to carry out any duty lawfully conferred on the person relating to offshore betting charges payable under the Racing Industry Act 2020 and liable for GST.

NZ Film Commission — government screen production payments — Sch 7 cl 35

The Commissioner may disclose information to an officer, employee or agent of the New Zealand Film Commission for the purposes of enabling the entitlement of a company to a government screen production payment ([¶10-446](#)).

Registrar of Companies — offences under Companies Act 1993 — Sch 7 cl 36

The Commissioner may disclose to the Registrar of Companies information concerning possible offences under certain provisions of the Companies Act 1993 ([¶11-625](#)).

KiwiSaver providers — KiwiSaver details — Sch 7 cl 37

The Commissioner and a KiwiSaver scheme provider may communicate to each other a person's name, date of birth, tax file number, contact information and information relating to a person's transfer from one scheme to another for the purposes of administering the KiwiSaver Act 2006 or a KiwiSaver scheme (s [220B](#) of the KiwiSaver Act 2006).

Agencies for research and development — Sch 7 cl 38

The Commissioner may communicate to officers, employees or agents of the Treasury, Callaghan Innovation, the Ministry of Business, Innovation and Employment (MBIE) or a state sector entity responsible for any function related to research and development advice or incentives, information reasonably necessary for the person to perform their work in relation to evaluating, administering, statistical reporting on, and policy formation for, tax credits provided in subparts [LY](#) and [MX](#) of the IT07. Information may also be communicated to officers, employees or agents of Callaghan Innovation or MBIE if it is reasonably necessary for the person to perform their work in relation to:

offering research and development advice and incentives, including tax incentives, grants, loans, and any related measures aimed at incentivising R&D, or
the grant and administration of a loan made under the research and development loan scheme established by Ministerial direction to Callaghan Innovation under s 112 of the Crown Entities Act 2004, notice number 2020-go2811.

Agencies for Australian wine producer rebate — Sch 7 cl 39

The exchange of information is permitted between the Commissioner, the New Zealand Customs Service and the Australian Taxation Office in relation to the approval or verification of the entitlement of a New Zealand wine producer to the Australian wine producer rebate.

Regulator under the Overseas Investment Act 2005 — Sch 7 cl 39B

The Commissioner may disclose sensitive revenue information to any authorised officer or employee of the regulator under the Overseas Investment Act 2005 (OIA) if the regulator has reasonable grounds to believe disclosure of the information is necessary for determining if an investor meets the investor test under the OIA, for managing national security and public order risks associated with transactions by overseas persons, or for any purpose set out in s [41\(1A\)](#) of the OIA. The Commissioner may disclose the information only where it is reasonable and practical to do so, the information is readily available, and it is not undesirable to disclose it.

Chief Executive responsible for the administration of the Residential Tenancies Act 1986 — Sch 7 cl 39C

The Commissioner may disclose sensitive revenue information to the chief executive responsible for the administration of the Residential Tenancies Act 1986, and to those with delegated authority, if the disclosure of information is necessary for the purpose of the chief executive forming or changing an opinion that land meets, or does not meet, the definition of build-to-rent land.

Law: TAA ss [16C\(3\)](#), [18H](#), Sch [7](#) pt [C](#)

Last reviewed on 31 December 2025

Permitted disclosure: approved credit reporting agency [¶1-624]

[¶1-624]

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The Commissioner may disclose details of a taxpayer's unpaid tax to an approved credit reporting agency. In broad terms, disclosure is permitted when the tax debt exceeds \$150,000, it is not the subject of a tax dispute and the Commissioner has given the taxpayer 30 days' notice of the proposed disclosure.

Tax information that the Commissioner will disclose comprises:

- # the tax type — GST, income tax and employer deductions required to be made under the PAYE rules
- # the total dollar amount of debt, per tax type, and
- # the oldest debt period, per tax type.

The only credit reporting agency currently approved is Centrix.

The existence of any instalment arrangement reached with IR will also be disclosed. Information disclosure will continue until the tax debt is resolved in full.

While the provision includes all taxpayers, currently the practical effect is that it is limited to non-natural persons, such as registered New Zealand companies. This is because personal information about individuals is regulated by the Credit Reporting Privacy Code of Practice (enabled by the Privacy Act). This code currently prevents credit reporters from receiving tax information about individuals. The government intends to apply the provision to all taxpayers and officials will work with the Office of the Privacy Commissioner on the interaction of the provision and the Credit Reporting Privacy Code of Practice.

Details of a taxpayer's unpaid tax may be communicated to allow a credit reporting agency to include information in the taxpayer's credit report. Disclosure is also permitted to evidence and maintain the accuracy of the report (eg updates on changes in the amount of unpaid tax may be given).

Disclosure criteria

The Commissioner may disclose taxpayer information to an approved credit reporting agency when:

- # the taxpayer has an amount of reportable unpaid tax
- # the Commissioner has formally notified the taxpayer of the unpaid tax and of the intention to effect disclosure
- # the Commissioner has made reasonable efforts to recover the reportable unpaid tax, and
- # 30 days after the date formal notification is given to the taxpayer:
- # the reportable unpaid tax is greater than \$150,000 (being the amount fixed by the Taxation (Disclosure of Information to Approved Credit Reporting Agencies) Regulations 2017), or
- # reportable unpaid tax has been outstanding for a year and, in the Commissioner's judgment, the proportion of the unpaid amount to the taxpayer's assessable income for the year is 30% or more.

Reportable unpaid tax is unpaid tax resulting from liability for (or excess refunds of) income tax, GST, deductions required by the PAYE rules, student loan scheme deductions, child support deductions, ESCT, RSCT, tax credits under Pt L (other than working for families tax credits), and use of money interest and civil penalties on such reportable unpaid tax. It does not include unpaid tax subject to a dispute or challenge under the TAA or tax for which the Commissioner has entered into an instalment arrangement after a request by the taxpayer. (Note that it is not sufficient for the taxpayer to merely request such an arrangement.)

12-month rule

The Commissioner may also disclose details of a taxpayer's unpaid tax to a credit reporting agency if:

- # the Commissioner gives formal notification to the taxpayer that disclosure of unpaid tax may occur (“the current notification”)
- # the current notification is the third formal notification given to the taxpayer in 12 months
- # neither of the 2 earlier notifications resulted in a disclosure to a credit reporting agency because the taxpayer paid a portion of the unpaid tax, and
- # the Commissioner has made reasonable efforts to recover unpaid tax from the taxpayer before the current notification.

In this situation, disclosure may be made even if the amount of unpaid tax is less than the prescribed financial thresholds.

Instalment arrangements

Some provision is made for taxpayers seeking to make instalment arrangements. Information concerning a taxpayer’s unpaid tax cannot be disclosed to a credit reporting agency until the Commissioner has completed considering an application to remit tax or a penalty under s [177](#) or [183H](#) of the TAA. This restriction applies to applications for relief made in the 30-day period after formal notification of the intention to disclose has been given to the taxpayer.

Publication

The Commissioner must publish the following details on an annual basis for the previous tax year:

- # the number of taxpayers formally notified
- # the number of taxpayers whose information was disclosed to an approved credit reporting agency, and
- # the number of taxpayers who paid their reportable unpaid tax in full after being formally notified and having their tax data disclosed.

Law: TAA s [18H](#), Sch [7](#), Pt C, cl 33

Last reviewed on 31 December 2025

Permitted disclosure: suspected offences under Companies Act 1993 [¶1-625]

[¶1-625]

[Click to open document in a browser](#)

The Commissioner may pass information to the Registrar of Companies concerning offences under certain provisions of the Companies Act 1993.

The information may be communicated if the Commissioner or the Registrar reasonably suspects that:

- # an offence under s [138A\(1\)](#), [377](#), [382\(4\)](#), [383\(6\)](#), [385\(9\)](#), [385AA\(9\)](#) or [386A\(2\)](#) of the Companies Act 1993 has been, is being, or will be committed, and
- # the information is relevant for the purposes of preventing, detecting, investigating or providing evidence of the offence.

The Commissioner must also be satisfied that the information is readily available, it is reasonable and practicable to communicate the information and that communication of the information is in the public interest.

The relevant offences, all of which carry a penalty of a fine of up to \$200,000 or up to 5 years' imprisonment, are the following:

- # serious breach of a director's duty to act in good faith and in best interests of company
- # a person making or authorising false statements
- # breach of statutory prohibition from managing or being a director, or promoter, of a company
- # breach of a court order disqualifying a person from managing or being a director, or promoter, of a company
- # breach of notice from Registrar or Financial Markets Authority prohibiting a person's involvement as a director, or promoter, of a company, or of managing a company, and
- # director of a failed company being a director or promoter of, or managing, a phoenix company.

A "phoenix company", in relation to a failed company, is a company that, at any time before or within 5 years after the commencement of the liquidation of the failed company, is known by a pre-liquidation name of the failed company or a similar name: s [386B](#) of the Companies Act 1993. "Pre-liquidation name" is any name, including a trading name, by which the failed company was known in the 12 months before commencement of its liquidation.

Law: TAA s [18H](#), Sch [7](#), pt C, cl 36; C93 ss [138A\(1\)](#), [377](#), [382\(4\)](#), [383\(6\)](#), [385\(9\)](#), [385AA\(9\)](#), [386A\(2\)](#), [386B](#)

Last reviewed on 31 December 2025

Permitted disclosure: Accident Compensation Corporation [¶1-627]

[¶1-627]

[Click to open document in a browser](#)

Earnings-related compensation

Information may be exchanged between IR and the Accident Compensation Corporation (ACC) for compensation or levy purposes (Sch [7 pt C](#) cl [41](#) of the TAA).

The range of information that may be exchanged between the government agencies encompasses information to verify:

- # the entitlement or eligibility of a person to earnings-related compensation
- # the amount of any earnings-related compensation to which a person is entitled, or
- # whether any premium or levy is payable by a person or the amount of the premium or levy.

If information matching reveals that a person in receipt of earnings-related compensation was at the same time receiving income from employment (including self-employment) the Commissioner may supply ACC with the following information:

- # the date or dates on which that employment commenced
- # where applicable, the date or dates on which that employment ceased
- # the name and business address of each employer so employing that person.

If the person received other income while receiving earnings-related compensation, the Commissioner may also disclose to the ACC the amount of that other income for the relevant period, provided the other income affected entitlement to the compensation.

ACC levies

Where either an information matching agreement has been entered into under Pt [10](#) of the Privacy Act 1993 and continued under the Privacy Act 2020, or an approved information sharing agreement has been entered into under subpart [1](#) of Pt [7](#) of the Privacy Act 2020, information may be exchanged between IR and the ACC to facilitate the assessment of levies by the ACC (Sch [7 pt C](#) cl [42](#) of the TAA).

The range of information the Commissioner may supply to the ACC encompasses:

- # the names, addresses and ACC file numbers of employers, self-employed persons, private domestic workers and shareholder–employees
- # the time of the commencement or cessation of a person's status as an employer or a private domestic worker
- # the time at which a self-employed person commenced or ceased business
- # the total amount paid in any year by an employer or a private domestic worker as employee earnings
- # the earnings of a self-employed person
- # the earnings of a shareholder–employee
- # whether an employer, self-employed person, private domestic worker or shareholder–employee has a tax agent and, if so, the tax agent's name and contact details, and
- # in the case of an employer, self-employed person, private domestic worker or shareholder–employee who is an individual, whether the individual is deceased and, if so, the individual's date of death and the name and contact details of the administrator or executor of the individual's estate.

Law: TAA s [18H](#), Sch [7 pt C](#) cls [41](#), [42](#)

Last reviewed on 31 December 2025

Permitted disclosure: fines defaulters [¶1-629]

[¶1-629]

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Only where either an information matching agreement has been entered into under Pt 10 of the Privacy Act 1993 and continued under the Privacy Act 2020, or an approved information sharing agreement has been entered into under subpart 1 of Pt 7 of the Privacy Act 2020, may information be exchanged between the Commissioner and an officer, employee or agent of the Ministry of Justice for the purpose of establishing an information matching programme to enable the Ministry of Justice to locate persons with unpaid fines.

If the Commissioner holds information relating to a fines defaulter, the Commissioner may supply any of the following information about that person to the Ministry of Justice:

- # the person's last known address and telephone number, and
- # the name, address and telephone number of the person's last known employer.

A fines defaulter is a person in default in payment of:

- # an amount required to be paid under sentence or by court order, including reparation, expenses, costs of enforcement and an offender levy but excluding an amount ordered to be paid in civil proceedings
- # a fine imposed by the High Court
- # a fine relating to gains from drug dealing
- # an amount payable for the shortfall on the sale of a confiscated motor vehicle.

Law: TAA s [18H](#), Sch [7](#) Pt C cl 43

Last reviewed on 31 December 2025

Permitted disclosure: child support exemption [¶1-631]

[¶1-631]

[Click to open document in a browser](#)

Information may be exchanged between the Commissioner and an officer, employee or agent of the New Zealand Police or the Ministry of Justice to determine the possible application of the child support exemption for a liable parent who conceives a child as a result of a sex offence.

A sex offence is any offence under ss 127–144C of the Crimes Act 1961.

The information that may be provided is:

- # whether a particular person has been convicted of a sex offence or been proved to have committed a sex offence before the Youth Court and details of that offence
- # whether a particular person is the victim of that offence
- # whether a conviction for that offence has been quashed, or a finding of the Youth Court that a sex offence has been committed has been reversed or set aside
- # whether any court has ordered a new trial, and
- # any other particulars the Commissioner considers relevant.

Law: TAA s [18H](#), Sch [7 pt C](#) cl [44](#)

Last reviewed on 31 December 2025

Permitted disclosure: foreign social security agreement [¶1-633]

[¶1-633]

[Click to open document in a browser](#)

Only where either an information matching agreement has been entered into under Pt 10 of the Privacy Act 1993 and continued under the Privacy Act 2020, or an approved information sharing agreement has been entered into under subpart 1 of Pt 7 of the Privacy Act 2020, may information be exchanged between the Commissioner and Work and Income in order to provide assistance to another country with the implementation of a social security agreement made between New Zealand and that country (Sch 7 pt C cl 45 of the TAA).

Personal information received by the Commissioner in accordance with a social security agreement may be used only to make an assessment of tax or to detect tax fraud or evasion. Personal information is information that identifies an individual, and includes that person's tax file number.

The range of information that may be supplied by the Commissioner in relation to a person encompasses:

- # the person's street address
- # the name and street address of the person's last known employer
- # details of income when a comparison indicates that the person is receiving, or has received, income
- # the names and dates of birth of the person's dependent children if known, and
- # any other information held by the Commissioner that is of a type specified in the social security agreement.

Law: TAA s [18H](#), Sch [7](#) pt C cl 45

Last reviewed on 31 December 2025

Permitted disclosure: parental leave payments [¶1-634]

[¶1-634]

[Click to open document in a browser](#)

Information may be exchanged between the Commissioner and Work and Income in order to verify entitlements to a parental leave payment or a preterm baby payment. The Commissioner may refuse an application for payment of a parental leave payment or a preterm baby payment when it appears a parental tax credit has been paid. The Commissioner may also refuse or recover a parental tax credit if a parental leave payment or preterm baby payment is to be, or has been, paid.

Law: TAA s [18H](#), Sch [7](#) pt C cl 46

Last reviewed on 31 December 2025

Permitted disclosure for international purposes [¶1-636]

[¶1-636]

[Click to open document in a browser](#)

Section [18I](#) provides that the confidentiality rule for revenue officers ([¶1-604](#)) does not apply to sensitive revenue information disclosed for the purposes of an international obligation of the Commissioner prescribed by Sch [7](#) pt D.

Reciprocal laws or arrangements — Sch 7 cl 48

The Commissioner may communicate information to any authorised officer of an overseas Government where a revenue law affecting the incidence of tax or duty is expressed to be conditional on the existence of a reciprocal law or concession in that country or where a reciprocal arrangement has been made with that Government affecting the incidence of tax or duty. Any such communication is limited to such information as is necessary to enable the overseas Government to give effect to the reciprocal law or concession or to the reciprocal arrangement.

Arrangements for relief of double taxation — Sch 7 cl 49

The Commissioner is not prevented from disclosing required information under a double tax agreement or tax recovery agreement to a person authorised to receive such information under the law of the territory in relation to which the double tax agreement or tax recovery agreement has been made.

The Court of Appeal considered the disclosure of information by the Commissioner to the Australian Tax Office (ATO) in *Avowal Administrative Attorneys Ltd v District Court at North Shore* ([\(2010\) 24 NZTC 24,252](#)). The High Court had found ([\(2009\) 24 NZTC 23,252](#)) that it was permissible to use the Commissioner's powers under the former s 16 (now s [17](#)) of the TAA to obtain information for the purpose of supplying that information to the ATO under art 26 of the Australia–New Zealand DTA. On appeal it was argued that the power to pass that information on was limited by former ss 81 and 88 (now Sch [7](#) of the TAA). The Court of Appeal held that despite the duty to maintain secrecy in relation to tax information, the exception under former s 88 applied in this case because an exchange of information process between the 2 countries had taken place based on the fact that both countries were investigating the same large-scale tax mitigation scheme which straddled the 2 jurisdictions.

The Court of Appeal briefly touched on whether former s 88 applies only where the Commissioner is required to provide the information under the DTA and not to information that is voluntarily provided, but found it unnecessary to deal with that argument in detail. See [60] of the judgment.

Law: TAA ss [16C\(3\)](#), [18I](#), Sch [7](#) pt D

Last reviewed on 31 December 2025

Permitted disclosure to reduce or remove harm [¶1-638]

[¶1-638]

[Click to open document in a browser](#)

A permitted disclosure of sensitive revenue information may be made if disclosure is necessary to prevent or lessen a serious threat to public health or public safety, or to the life or health of a person: s [18J](#) of the TAA.

A serious threat is defined as a threat that the Commissioner reasonably believes to be serious having regard to—

- # the likelihood of the threat being realised
- # the severity of the consequences if the threat is realised, and
- # the time at which the threat may be realised.

The Commissioner has confirmed that a disclosure of this type must only be made to the person, body or agency that is able to do something to prevent or lessen the threat.

Example:

An IR staff member is speaking with a customer on the phone. During the call the customer makes comments and threats leading the staff member to think that the customer may harm themselves or others. In this situation information could be disclosed to the Police so they can take appropriate steps to prevent the harm.

Example taken from *Tax Information Bulletin* [¶314-102 Vol 31 No 4](#), May 2019 at 51.

Law: TAA ss [16C\(3\)](#), [18J](#)

Last reviewed on 31 December 2025

Permitted disclosure: misapplication of charitable funds [¶1-640]

[¶1-640]

[Click to open document in a browser](#)

The Commissioner may disclose to the Minister of Revenue instances of the application of funds by a gift-exempt body for a purpose that is not of a charitable, benevolent, philanthropic or cultural nature.

Grounds for such a disclosure exist when the Commissioner has reason to believe funds might be or are being applied for a purpose other than one referred to above. The name of any person who has made a donation to the gift-exempt body must not be revealed to the Minister.

The nature of a charitable purpose is discussed at [¶24-195](#).

Law: TAA s [18K](#)

Last reviewed on 31 December 2025

Official Information Act releases [¶1-642]

[¶1-642]

[Click to open document in a browser](#)

All information held by IR is official information subject to the Official Information Act 1982. A person may make a request under that Act if they are:

- # a New Zealand citizen or permanent resident
- # a person in New Zealand
- # a corporate entity (a company or incorporated society) which:
 - # is incorporated in New Zealand, or
 - # has a place of business here.

Requests may be made via the IR website ird.govt.nz/contactus/information-requests. Otherwise, a person may:

- # email oia@ird.govt.nz for official information requests
- # email privacy.officer@ird.govt.nz for personal information requests
- # call on 0800 775 247
- # write to:

Information Requests
Inland Revenue
PO Box 2198
Wellington 6140

The IR website advises:

“When you make your request, make sure you know how they work, and which types of requests you can make.”

Last reviewed on 31 December 2025

Requirements for giving notices [¶1-645]

[¶1-645]

[Click to open document in a browser](#)

#Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill is proposing an amendment to clarify that when the Commissioner is required to publish information under the TAA, the IT07, or the GST Act, he can do so when the information is made accessible and available on an internet site maintained by or on behalf of IR.

The TAA, IT07, GST Act and KiwiSaver Act 2006 often require parties to give notice. The rules for giving notices were changed with effect from 2 June 2016. These rules are discussed below. (Note that the Student Loan Scheme Act 2011 (SLSA) contains its own rules for giving notice under that Act (ss [210–214](#) of the SLSA).)

The rules clarify the communication options available and also provide general rules governing methods of communication delivery. In addition, where legislation requires the Commissioner, a taxpayer or a third party to ask, request, inform, apply or notify, these verbs have been defined.

Communications framework

A communications framework, contained in ss [14–14G](#) of the TAA, facilitates the information flows between the Commissioner and a person, and between 2 persons where the tax legislation governs that interaction.

The rules preserve the precedence of prescribed forms and formats and any specific requirements covered within particular sections. Practically, this means that where paper forms have been prescribed, but no electronic equivalents have been made available, taxpayers will be required to continue to file paper returns on prescribed forms until electronic equivalents are made available. Section [14E](#) also preserves the overriding effect of double tax agreements and other inter-governmental treaties, by applying the new communication rules only to the extent to which they are not inconsistent with the application of the particular agreement.

Three tiers of communication

Sections [14B–14D](#) create 3 distinct tiers to accommodate various modes of communication ranging from the informal (including oral communication) to electronic (whether by electronic filing through IR's website, email or other electronic means) to more formal methods requiring paper or original documents. The tiers are signalled by the use of the following verbs — ask, request, or inform; apply or notify; and formally notify.

Ask, request or inform

The first tier is found in s [14B](#) and deals with person A:

- # asking person B for something
- # requesting something from person B, or
- # informing person B about something.

In each case, person A may communicate:

- # by telephone
- # orally in person in a manner acceptable to the Commissioner
- # by electronic means for an item of information delivered in an appropriate way (see below)
- # in print and delivered in an appropriate way (see below), or
- # in another manner permitted by the Commissioner.

Communication under this tier does not include communication on the internet or by other electronic means if person B is not directly alerted to the communication in some manner.

Apply or notify

The second tier is found in s [14C](#) and deals with person A:

- # applying to person B for something, or
- # notifying person B about something.

In each case, person A may communicate:

- # by electronic means for an item of information delivered in an appropriate way (see below)
- # in print and delivered in an appropriate way (see below), or
- # in another manner permitted by the Commissioner.

Communication under this tier also does not include communication on the internet or by other electronic means if person B is not directly alerted to the communication in some manner.

Formally notify

The third tier is in s [14D](#) and deals with provisions that refer to or describe person A formally notifying person B. In this case, person A may communicate only in print, delivered personally or by registered post. Communication under this tier does not include communication by email, the internet or other electronic means.

General rules

Communication by electronic means must comply with Pt [4](#) of the CCLA. If communication is in print, it does not matter whether the document is handwritten, typewritten or otherwise visibly represented or whether it is copied or reproduced on paper.

The first and second tiers allow for the Commissioner to permit new modes of communication, thereby allowing the framework to be expanded and adapted as systems are upgraded or new technologies emerge, without the need to extensively amend the legislation each time.

Delivery methods

Sections [14F](#) and [14G](#) establish delivery rules that ensure that communications, in particular electronic communications, are delivered only to appropriate contact addresses. This is important to protect both IR and taxpayers from the risk of misdirected communications and to guard against an inadvertent breach of the tax secrecy provisions.

Section [14F](#) sets out the rules that apply when person A is required to deliver information to person B. The applicable rules depend upon whether the Commissioner is person A, person B or neither.

Communications by the Commissioner

When the Commissioner is person A, the Commissioner may communicate with person B (or a representative authorised to act on behalf of person B):

- # if person B is not a corporate body, either by personal delivery to person B or by personal delivery to person B's usual or last known place of residence
- # if person B is a corporate body, by personal delivery to person B's office during working hours, or
- # by delivery to person B's contact address as described in s [14G](#) (see below).

Communications to the Commissioner

When the Commissioner is person B, person A may communicate with the Commissioner:

- # by electronic means
- # by personal delivery during working hours to an office of the department that is available to accept communication of the information, or
- # by post to the street address of an office of the department or to the post office box number of the department.

Communications between others

Where the Commissioner is neither person A nor person B, then person A may communicate with person B:

- # if person B is not a corporate body, by personal delivery to person B
- # if person B is a corporate body, by personal delivery to person B's office during working hours, or
- # by delivery to person B's contact address as described in s [14G](#) (see below).

Contact addresses

For these purposes, a person's contact address may be one of the following:

- # for delivery by electronic means to a person who is not a corporate body:
 - # an email or other electronic address they have provided
 - # their last known email or other electronic address
 - # an email or other electronic address of the person that is otherwise available, if there are reasonable grounds to suppose that the person will receive the communication
- # for delivery by electronic means to a person who is a corporate body:
 - # an email or other electronic address of the corporate body provided by a person acting for the corporate body
 - # the last known email or other electronic address of a person acting for the corporate body
 - # an email or other electronic address of the corporate body that is otherwise available, if there are reasonable grounds to suppose that a person acting for the corporate body will receive the communication
- # for delivery by post:
 - # the street address of their usual or last known place of residence
 - # the street address of any of their usual or last known places of business, or
 - # any other address of the person, if they have notified the Commissioner that they accept delivery at the address

General rules

A communication by post is treated as having been given at the time the communication would have been delivered in the ordinary course of the post.

An electronic communication is taken to be received:

- # in the case of an addressee who has designated an information system for the purpose of receiving electronic communications, at the time the electronic communication enters that information system, or
- # in any other case, at the time the electronic communication comes to the attention of the addressee.

For the purposes of ss [14F](#) and [14G](#), delivery by electronic means does not include a communication to a fax number.

Accepting electronic signatures

Section [13B](#) allows for documents to be "signed" with a digital or electronic signature. It applies to all information provided to the Commissioner including, for example, electronically submitted tax returns or application forms.

When a person provides an electronically signed document, unless there are reasonable grounds to suppose otherwise, the document will be treated as signed by that person and the person will be treated as complying with the Commissioner's guidelines and Pt [4](#) of the CCLA.

Standard for use of electronic signature

Operational guideline [OG 17/02](#), "Standard for the use of a valid electronic signature on documents provided to the Commissioner" (updated in August 2017 to take account of the enactment of the CCLA) confirms IR

will accept an electronic signature on all documents and information that currently require a conventional signature, where this option is specified in the relevant document or associated guidelines.

Customers may only use an electronic signature when submitting documents and information to IR where they are using IR's online services, or they provide an electronic signature (whether directly or via a tax agent or other intermediary) that complies with the requirements set out in the standard. The conditions for presumption of reliability in s [228](#) of the CCLA must be met.

The item states that third party software providers must implement administrative, physical and technical safeguards that are no less rigorous than accepted industry practices, including certain specified ISO standards, to protect confidential information. If the integrity of a transaction is questioned, the third party provider must be able to demonstrate the validity of the transaction on their system or intermediary systems. The software must maintain log files and the log files must be considered and treated as "business records" for the purposes of the TAA and the Evidence Act 2006.

Law: TAA ss [13B](#), [14–14G](#); IT07 s [YA 4](#); KIW s [217](#); GST s [75B](#)

Last reviewed on 31 December 2025